



Office of the Washington State Auditor
Pat McCarthy

Financial Statements and Federal Single Audit Report

City of Redmond

For the period January 1, 2023 through December 31, 2023

Published December 18, 2025

Report No. 1038568



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**Office of the Washington State Auditor
Pat McCarthy**

December 18, 2025

Mayor and City Council
City of Redmond
Redmond, Washington

Report on Financial Statements and Federal Single Audit

Please find attached our report on the City of Redmond's financial statements and compliance with federal laws and regulations.

We are issuing this report in order to provide information on the City's financial activities and condition.

Sincerely,

Pat McCarthy, State Auditor
Olympia, WA

Americans with Disabilities

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TABLE OF CONTENTS

Schedule of Findings and Questioned Costs.....	4
Summary Schedule of Prior Audit Findings	6
Independent Auditor's Report on Internal Control Over Financial Reporting and on Compliance and Other Matters Based on an Audit of Financial Statements Performed in Accordance with <i>Government Auditing Standards</i>	7
Independent Auditor's Report on Compliance for Each Major Federal Program and Report on Internal Control Over Compliance in Accordance With the Uniform Guidance	9
Independent Auditor's Report on the Financial Statements.....	12
Financial Section.....	16
About the State Auditor's Office.....	126

SCHEDULE OF FINDINGS AND QUESTIONED COSTS

City of Redmond January 1, 2023 through December 31, 2023

SECTION I – SUMMARY OF AUDITOR’S RESULTS

The results of our audit of the City of Redmond are summarized below in accordance with Title 2 U.S. Code of Federal Regulations (CFR) Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance).

Financial Statements

We issued an unmodified opinion on the fair presentation of the basic financial statements of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information in accordance with accounting principles generally accepted in the United States of America (GAAP).

Internal Control over Financial Reporting:

- *Significant Deficiencies:* We reported no deficiencies in the design or operation of internal control over financial reporting that we consider to be significant deficiencies.
- *Material Weaknesses:* We identified no deficiencies that we consider to be material weaknesses.

We noted no instances of noncompliance that were material to the financial statements of the City.

Federal Awards

Internal Control over Major Programs:

- *Significant Deficiencies:* We reported no deficiencies in the design or operation of internal control over major federal programs that we consider to be significant deficiencies.
- *Material Weaknesses:* We identified no deficiencies that we consider to be material weaknesses.

We issued an unmodified opinion on the City’s compliance with requirements applicable to each of its major federal programs.

We reported no findings that are required to be disclosed in accordance with 2 CFR 200.516(a).

Identification of Major Federal Programs

The following programs were selected as major programs in our audit of compliance in accordance with the Uniform Guidance.

<u>ALN</u>	<u>Program or Cluster Title</u>
21.027	COVID-19 – Coronavirus State and Local Fiscal Recovery Funds

The dollar threshold used to distinguish between Type A and Type B programs, as prescribed by the Uniform Guidance, was \$750,000.

The City did not qualify as a low-risk auditee under the Uniform Guidance.

SECTION II – FINANCIAL STATEMENT FINDINGS

None reported.

SECTION III – FEDERAL AWARD FINDINGS AND QUESTIONED COSTS

None reported.

SUMMARY SCHEDULE OF PRIOR AUDIT FINDINGS

City of Redmond January 1, 2023 through December 31, 2023

This schedule presents the status of findings reported in prior audit periods.

Audit Period: 2022	Report Ref. No.: 1035798	Finding Ref. No.: 2022-001
Finding Caption: The City's internal controls were inadequate for ensuring proper revenue recognition.		
Background: The City considers revenue available when it is collected during the fiscal year or within 60 days after year-end. In 2022, turnover in key accounting positions led the City to revise its process for identifying unavailable revenues. However, the new process was manual and insufficient. As a result, the City recognized certain grant funds as intergovernmental revenues even though they were collected after the 60-day availability period in the following year. These amounts should have been reported as deferred inflows of resources – unavailable revenue.		
Status of Corrective Action: (check one) ☒ Fully Corrected ☐ Partially Corrected ☐ Not Corrected ☐ Finding is considered no longer valid		
Corrective Action Taken: • <i>Measures have been implemented to proactively monitor and address concerns.</i> • <i>Additional training has been provided to new staff.</i> • <i>Processes and procedures have been updated to enhance monitoring and tracking of when revenues are billed and received.</i> • <i>Extra review levels for year-end receivables have been drafted during year-end to ensure revenue is received and recorded properly.</i>		

INDEPENDENT AUDITOR'S REPORT

Report on Internal Control over Financial Reporting and on Compliance and Other Matters Based on an Audit of Financial Statements Performed in Accordance with *Government Auditing Standards*

City of Redmond January 1, 2023 through December 31, 2023

Mayor and City Council
City of Redmond
Redmond, Washington

We have audited, in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States, the financial statements of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information of the City of Redmond, as of and for the year ended December 31, 2023, and the related notes to the financial statements, which collectively comprise the City's basic financial statements, and have issued our report thereon dated December 9, 2025.

REPORT ON INTERNAL CONTROL OVER FINANCIAL REPORTING

In planning and performing our audit of the financial statements, we considered the City's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the City's internal control. Accordingly, we do not express an opinion on the effectiveness of the City's internal control.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control such that there is a reasonable possibility that a material misstatement of the City's financial statements will not be prevented, or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described above and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies and therefore, material weaknesses or significant deficiencies may exist that were not identified.

Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses.

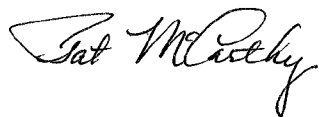
REPORT ON COMPLIANCE AND OTHER MATTERS

As part of obtaining reasonable assurance about whether the City's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion.

The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

PURPOSE OF THIS REPORT

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the City's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the City's internal control and compliance. Accordingly, this communication is not suitable for any other purpose. However, this report is a matter of public record and its distribution is not limited. It also serves to disseminate information to the public as a reporting tool to help citizens assess government operations.

A handwritten signature in black ink, reading "Pat McCarthy". The signature is fluid and cursive, with the first name "Pat" and last name "McCarthy" clearly distinguishable.

Pat McCarthy, State Auditor

Olympia, WA

December 9, 2025

INDEPENDENT AUDITOR'S REPORT

Report on Compliance for Each Major Federal Program and Report on Internal Control over Compliance in Accordance with the Uniform Guidance

City of Redmond
January 1, 2023 through December 31, 2023

Mayor and City Council
City of Redmond
Redmond, Washington

REPORT ON COMPLIANCE FOR EACH MAJOR FEDERAL PROGRAM

Opinion on Each Major Federal Program

We have audited the compliance of the City of Redmond, with the types of compliance requirements identified as subject to audit in the U.S. *Office of Management and Budget (OMB) Compliance Supplement* that could have a direct and material effect on each of the City's major federal programs for the year ended December 31, 2023. The City's major federal programs are identified in the auditor's results section of the accompanying Schedule of Findings and Questioned Costs.

In our opinion, the City complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended December 31, 2023.

Basis for Opinion on Each Major Federal Program

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America (GAAS); the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States; and the audit requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards (Uniform Guidance)* are further described in the Auditor's Responsibilities for the Audit of Compliance section of our report.

We are required to be independent of the City and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on compliance for each major federal program. Our audit does not provide a legal determination on the City's compliance with the compliance requirements referred to above.

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules and provisions of contracts or grant agreements applicable to the City's federal programs.

Auditor's Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and express an opinion on the City's compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS, *Government Auditing Standards* and the Uniform Guidance will always detect a material noncompliance when it exists. The risk of not detecting a material noncompliance resulting from fraud is higher than for that resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material, if there is a substantial likelihood that, individually or in the aggregate, it would influence the judgement made by a reasonable user of the report on compliance about the City's compliance with the requirements of each major federal program as a whole.

Performing an audit in accordance with GAAS, *Government Auditing Standards* and the Uniform Guidance includes the following responsibilities:

- Exercise professional judgment and maintain professional skepticism throughout the audit;
- Identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the City's compliance with the compliance requirements referred to above and performing such other procedures as we considered necessary in the circumstances;
- Obtain an understanding of the City's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of the City's internal control over compliance. Accordingly, no such opinion is expressed; and
- We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance that we identified during the audit.

REPORT ON INTERNAL CONTROL OVER COMPLIANCE

A *deficiency in internal control over compliance* exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. A *material weakness in internal control over compliance* is a deficiency, or combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed. Our consideration of internal control over compliance was for the limited purpose described in the Auditor's Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance and therefore, material weaknesses or significant deficiencies may exist that were not identified.

Given these limitations, during our audit we did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses, as defined above.

Purpose of this Report

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose. However, this report is a matter of public record and its distribution is not limited. It also serves to disseminate information to the public as a reporting tool to help citizens assess government operations.



Pat McCarthy, State Auditor
Olympia, WA
December 9, 2025

INDEPENDENT AUDITOR'S REPORT

Report on the Audit of the Financial Statements

City of Redmond January 1, 2023 through December 31, 2023

Mayor and City Council
City of Redmond
Redmond, Washington

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS

Opinions

We have audited the accompanying financial statements of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information of the City of Redmond, as of and for the year ended December 31, 2023, and the related notes to the financial statements, which collectively comprise the City's basic financial statements as listed in the financial section of our report.

In our opinion, the accompanying financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund and the aggregate remaining fund information of the City of Redmond, as of December 31, 2023, and the respective changes in financial position and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinions

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS) and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the City and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the City's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

Performing an audit in accordance with GAAS and *Government Auditing Standards* includes the following responsibilities:

- Exercise professional judgment and maintain professional skepticism throughout the audit;
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements;
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the City's internal control. Accordingly, no such opinion is expressed;
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements;

- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the City's ability to continue as a going concern for a reasonable period of time; and
- Communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis and required supplementary information listed in the financial section of our report be presented to supplement the basic financial statements. Such information is the responsibility of management and, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the City's basic financial statements. The accompanying Schedule of Expenditures of Federal Awards is presented for purposes of additional analysis as required by Title 2 *U.S. Code of Federal Regulations* (CFR) Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). This supplementary information is not a required part of the basic financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

OTHER REPORTING REQUIRED BY GOVERNMENT AUDITING STANDARDS

In accordance with *Government Auditing Standards*, we have also issued our report dated December 9, 2025 on our consideration of the City's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the City's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the City's internal control over financial reporting and compliance.

A handwritten signature in black ink that reads "Pat McCarthy". The signature is written in a cursive, flowing style.

Pat McCarthy, State Auditor

Olympia, WA

December 9, 2025

FINANCIAL SECTION

City of Redmond January 1, 2022 through December 31, 2023

REQUIRED SUPPLEMENTARY INFORMATION

Management's Discussion and Analysis – 2023

BASIC FINANCIAL STATEMENTS

Statement of Net Position – 2023

Statement of Activities – 2023

Balance Sheet – Governmental Funds – 2023

Statement of Revenues, Expenditures and Changes in Fund Balance – Governmental
Funds – 2023

Reconciliation of the Statement of Revenues, Expenditures and Changes in Fund
Balances of Governmental Funds to the Statement of Activities – 2023

Statement of Net Position – Proprietary Funds – 2023

Statement of Revenues, Expenses and Changes in Fund Net Position – Proprietary Funds
– 2023

Statement of Cash Flows – Proprietary Funds – 2023

Notes to Financial Statements – 2023

REQUIRED SUPPLEMENTARY INFORMATION

Schedule of Revenues, Expenditures and Changes in Fund Balance – Budget and Actual –
General Fund – 2023

Schedule of Proportionate Share of the Net Pension Liability – PERS 1, PERS 2/3, PSERS,
LEOFF 1, LEOFF 2 – 2023

Schedule of Employer Contributions – PERS 1, PERS 2/3, PSERS, LEOFF 2 – 2023

Schedule of Changes in Total Pension Liability and Related Ratios – Firefighter's
Pension Plan – 2023

Schedule of Changes in Total OPEB Liability and Related Ratios – LEOFF 1 – 2023

Notes to the Required Supplementary Information

SUPPLEMENTARY AND OTHER INFORMATION

Schedule of Expenditures of Federal Awards – 2023

Notes to the Schedule of Expenditures of Federal Awards – 2023

Management's Discussion and Analysis

The management discussion and analysis section of the City of Redmond's Annual Financial Report provides an overview of the financial activities for the year ending December 31, 2023. Its purpose is to highlight significant financial issues, major financial activities, changes in the city's financial position, and economic factors. Readers are encouraged to consider the information presented here in conjunction with the information furnished in the financial statements, and the accompanying notes following the financial information.

Financial Highlights

In fiscal year 2023, the City maintained a strong financial position, as evidenced by its AAA long-term rating assigned by Standard and Poor's (S&P) Global Ratings service to its 2022 limited-tax general obligation (GO) refunding bonds and its 2021 utility system revenue refunding bonds. Key investments included \$10 million for affordable housing and \$2 million for human services, underscoring the City's commitment to community well-being. Major financial highlights are noted below:

The City of Redmond's assets and deferred outflows of resources exceeded its liabilities and deferred inflows at the close of the most recent fiscal year by \$1.32 billion. Of this amount, \$896 million is invested in capital assets such as streets, land, and buildings. The remainder is primarily cash and investments, consisting of \$142.45 million that is restricted by legislation or bond covenants for tourism, parks and recreation, transportation, capital projects, and debt service and \$283.07 million that is unrestricted net position and therefore available to meet the government's ongoing obligations to citizens and creditors.

The City's total net position increased by \$86.0 million in 2023. The increase in Business-type activities was \$30.0 million, while the Governmental activities increased by \$56.0 million.

At the end of the 2023 fiscal year, the City's governmental funds reported combined ending fund balances of \$216.56 million, a decrease of \$16.59 million compared to the prior year. Over \$88.40 million of the total fund balance is restricted for use based on bond covenants or enabling legislation. Another \$13.25 million has been committed for specific purposes by the City Council, and another \$68.50 million has been designated by the City Manager for assigned activities. Around \$44.40 million remains unassigned because no limitation of use has been formalized.

At year-end, total outstanding debt, including Public Works Trust Fund loans and excluding leases and SBITA, was \$70.9 million.

Overview of the Financial Statements

This discussion and analysis are intended to serve as an introduction to the City of Redmond's basic financial statements, which are comprised of three components: 1) government-wide financial statements, 2) fund financial statements, and 3) notes to the financial statements. Other supplementary information, intended to furnish additional detail to support the basic financial statements, is also contained in the report.

Government-wide Financial Statements

The government-wide financial statements are designed to provide readers with a broad overview of the City's finances, similar to a private-sector business.

The **Statement of Net Position** presents financial information on the City's assets, liabilities, and deferred inflows/outflows of resources, with the difference reported as net position. Over time, increases or decreases in net position may serve as a valuable indicator of whether the financial position is improving or deteriorating.

The **Statement of Activities** presents information to show how the net position changed during the year. The statement distinguishes revenue generated by specific functions from revenue provided by taxes and other sources unrelated to a specific function. The revenue generated by the particular functions (charges for services, grants, and contributions) is compared to the expenses for those functions to show the degree to which each function supports itself or relies on taxes and other general funding sources for support. All activity on this statement is reported on the accrual basis of accounting, requiring that revenues are reported when they are earned, and expenses are reported when they are incurred, regardless of when cash is

received or disbursed. Items such as (but not limited to) uncollected taxes, unpaid vendor invoices for goods or services received during the year, and earned but unused vacation leave are included in the statement of activities as revenue and expenses even though no cash has changed hands.

Government-wide financial statements distinguish functions principally supported by taxes and intergovernmental revenues (governmental activities) from other functions intended to recover all or a significant portion of their costs through user fees and charges (*business-type activities*). The governmental activities include general government (finance, executive, and human resources), security (police and fire), economic environment, transportation, and culture and recreation. The business-type activities are limited to water/wastewater and stormwater utilities. Governmental activities are primarily supported by taxes, charges for services, and grants. Business-type activities are self-supporting principally through user fees and charges.

Fund Financial Statements

The annual financial report includes fund financial statements and government-wide financial statements. While the government-wide statements present the finances based on the type of activity, general government versus business type, the fund financial statements are presented by fund types, such as the general fund, special revenue funds, and proprietary funds. A fund is a fiscal and accounting entity with a self-balancing set of accounts used to account for specific activities or meet particular objectives. Funds are often set up under special regulations, restrictions, or limitations. Like other state and local governments, the City uses fund accounting to ensure and show compliance with finance-related legal requirements. The funds are divided into two categories: governmental funds and proprietary funds.

Governmental Funds are used to account for essentially the same functions as are reported as governmental activities in the government-wide financial statements. These reports use a different “basis of accounting” than government-wide financial statements. Governmental fund statements focus on near-term revenues/financial resources and expenditures, while government-wide financial statements include both near-term and long-term revenues/financial resources and expenses. The information in the governmental fund statements can be used to evaluate the near-term financing requirements and immediate fiscal health. Comparing the governmental fund statements with the government-wide statements can help the reader better understand the long-term impact of the current year financing decisions. To assist in this comparison, reconciliations between the governmental fund statements and the government-wide financial statements are included with the governmental fund Balance Sheet and the governmental fund Statement of Revenues, Expenditures, and Changes in Fund Balances.

The City maintains thirteen individual governmental funds. Two major governmental funds—the General Fund and the Capital Improvement Program Funds—are presented separately in the governmental fund balance sheet and the governmental fund Statement of Revenues, Expenditures, and Changes in Fund Balances. The remaining governmental funds are combined in this statement into a single column labeled Other Governmental Funds. Individual fund data for each of the other governmental funds can be found in combining statements later in this report.

The City maintains budgetary control over its operating funds by adopting a biennial budget. Budgets are adopted at the fund level for all funds in accordance with state law. All budgetary comparison schedules are included following the other governmental funds’ combining statements in this report.

Following is a brief analysis of each of the City’s major governmental funds:

The General Fund is the city’s primary operating fund through which all receipts and payments for ordinary City operations are processed unless they are required to be accounted for in a different fund. At the end of 2023, the general fund balance was \$100.6 million, an increase from the prior year of \$5.3 million (5.6%).

General Fund revenues increased by \$7.2 million (5.1%) in 2023 primarily due to the net effect of the following:

- Collectively, taxes increased by \$2.9 million (2.9%), with sales tax up \$2.5 million (5.0%), utility taxes up \$39,000 (0.3%), and property tax up \$1.3 million (4.3%). Most of the growth in sales tax was in the services, accommodation, food services, and Information sectors. Property tax growth encompassed the 1% levy increase allowed by state law and new construction added;
- License and Permit Fees revenue declined by \$2.1 million (14.0%) compared to 2022, primarily due to the city’s transition of Business License renewals to the Department of Revenue state system, which aligned renewals with the Department of Revenue’s renewal schedule rather than the calendar year. Revenue from development permits also reduced due to the reduced

construction in 2023 compared to 2022. This reduction of construction also impacted the one-time revenue for sales tax.

- Intergovernmental increased by \$3.8 million (62.0%), primarily due to allocation of ARPA grant funding in 2023.
- The interest on investments increased by \$3.8 million (323%) primarily due to high Annual Percentage Yield (APR) on short-term investments.

General Fund expenditures increased by \$8.9 million (7.1%) in 2023 primarily due to the following factors:

- Salaries and benefits expenses increased by \$4.3 million (6.0%), driven by cost-of-living adjustments, position reclassifications, overtime costs, and the financial impact of newly negotiated union contracts.
- Capital outlay decreased by \$2.8 million (68.0%), primarily driven by implementing the Right-to-Use Lease asset in 2022. See Note 12: Leases for additional information.
- General Government and Security of Person & Property expenditures increased by \$3.7 million, driven primarily by higher salaries and benefits resulting from cost-of-living adjustments (COLA) and newly negotiated union contracts. Additionally, increased professional service costs related to new studies, plans, and projects outlined in the 2023-2024 budget contributed to the overall rise in expenditures;
- Culture & Recreation expenses have increased by approximately \$2.6 million due to parks, arts, and community program investments. The adoption of the 2023 PARCC Plan enhanced recreational spaces and positioned the city for state grants, while expanded cultural initiatives, such as public art installations and events at Marymoor Park, boosted spending. Additionally, the city's focus on improving recreational services, including hiring a Recreation Manager, contributed to the overall growth in expenses.

The Capital Investment Program Fund (CIP Fund) accounts for financial resources to be used for the acquisition, construction, and preservation of significant capital facilities other than those financed by proprietary funds. At the end of 2023, the collective fund balances of the CIP Funds amounted to \$80.9 million, which represents a decrease from the prior year of \$18.3 million (18.4%). Some of the key contributing factors:

- Capital Investment Program revenues decreased by \$25.1 million (69.0%), primarily due to a \$25.7 million decline in impact fee collections and a \$4.8 million reduction in grant revenue, partially offset by a \$1.9 million increase in investment interest earnings. Additionally, the decrease reflects the impact of refunding bonds issued in 2022, which had temporarily increased revenue by \$14.0 million in 2022 to finance a portion of the costs necessary to rebuild the Redmond Senior & Community Center.
- Other financing sources decreased by \$9.6 million mainly due to G.O. bond refunding in 2022, and capital investment program net transfers between other funds increased by \$6.5 million, primarily due to significant investments in affordable housing and Redmond Senior & Community Center.
- Capital Investment Program expenditures total \$42.3 million primarily due to significant investment in the construction of the Redmond Senior & Community Center (\$31.8 million), Parks property acquisition (754,000), and Redmond Central Connector Phase-3 (\$448,000).

Proprietary Funds are used by governments to account for their business-type activities. Business-type activities provide specific goods or services to customers paid for by fees charged to those customers. There is a direct relationship between the fees paid and the services received.

The City of Redmond has two types of proprietary funds: enterprise funds and internal service funds. Enterprise funds account for goods and services provided to the community, while internal service funds account for goods and services provided internally to various City departments. The same accounting basis is used for proprietary funds in government-wide and individual fund statements.

Enterprise funds are used to report the same functions presented as business-type activities in government-wide statements. The fund statements provide more detail than is reported in the government-wide statements. The enterprise fund statements provide separate information for the City's water/wastewater utility, an Urban Planned Development (UPD) water/wastewater utility outside the City limits, and the City's stormwater utility.

Internal service funds are an accounting device used to accumulate and allocate costs internally among various functions. The City uses internal service funds to account for its fleet of vehicles, insurance premiums and claims, medical self-insurance, worker's compensation self-insurance program, and information technology. Internal service fund activities are predominantly governmental and have been included in the governmental activities columns of the government-wide Statement of Net Position and Statement of Activities.

Notes to the Financial Statements

The notes to the financial statements provide additional information that is important for fully understanding the data in the government-wide and fund financial statements. The notes are located immediately following the basic financial statements.

Other Information

In addition to the basic financial statements and accompanying notes, this report presents certain **required supplementary information** concerning the City's progress in funding its obligation to provide pension and lifetime medical benefits to uniformed personnel hired before October 1, 1977. Required supplementary information may be found immediately following the notes to the financial statements.

The combining statements for other governmental and internal service funds are presented immediately following the required supplementary information.

Government-wide Financial Analysis

Statement of Net Position

The Statement of Net Position can serve as a valuable indicator of the City's financial position. As of December 31, 2023, the total net position was \$1.3 billion, representing a \$86.0 million (7%) increase over 2022. The reasons for the increase in governmental and business-type activities are discussed in the following sections.

The most significant component of the total net position (\$896.3 million, or 67.8%) is a net investment in capital assets (i.e., land, buildings, machinery, equipment, vehicles, and infrastructure, less any related outstanding debt used to acquire those assets). The City uses these capital assets to provide various services to the community. Accordingly, these assets are not available for future spending. Although investment in capital assets is reported net of related debt, it should be noted that the resources used to repay this debt must be provided from other sources since the capital assets themselves cannot be used to liquidate these liabilities. The restricted component of total net position (\$142.5 million, or 10.8%) represents resources subject to external restrictions on their use. It primarily encompasses restricted resources for capital projects including impact fees (\$80.4 million) and net pension assets (\$46.2 million). The remaining net position balance of \$283.1 million (21.4%) is unrestricted and may be used to meet ongoing obligations to the community and creditors.

Following is a condensed version of the government-wide Statement of Net Position for 2023 compared to 2022, with governmental activities and business-type activities separately identified.

City of Redmond's Net Position
(in thousands)

	Governmental Activities		Business-Type Activities		Total	
	2023	2022	2023	2022	2023	2022
Current and other assets	\$ 297,359	\$ 308,354	\$ 157,052	\$ 140,187	\$ 454,411	\$ 448,541
Net pension asset	33,538	36,088	2,538	2,304	36,075	38,392
Capital assets, net of accumulated depreciation	567,295	524,632	408,401	397,299	975,697	922,193
Total assets	<u>\$ 898,192</u>	<u>\$ 869,074</u>	<u>\$ 567,991</u>	<u>\$ 539,790</u>	<u>\$ 1,466,184</u>	<u>\$ 1,409,126</u>
Deferred outflows:						
Debt refunding	2,002	2,213	183	201	2,185	2,414
Pensions	25,607	24,351	2,113	2,368	27,719	26,719
Asset retirement Obligation	25	22	276	204	301	226
Total deferred outflows	<u>\$ 27,633</u>	<u>\$ 26,586</u>	<u>\$ 2,572</u>	<u>\$ 2,773</u>	<u>\$ 30,206</u>	<u>\$ 29,359</u>
Total assets and deferred outflows	<u>\$ 925,825</u>	<u>\$ 895,660</u>	<u>\$ 570,563</u>	<u>\$ 542,563</u>	<u>\$ 1,496,389</u>	<u>\$ 1,438,485</u>
Long-term liabilities	\$ 65,851	\$ 74,157	\$ 21,010	\$ 23,023	\$ 86,862	\$ 97,180
Net pension liability	4,935	6,024	1,219	1,451	6,154	7,475
Total OPEB liability	15,091	13,824	-	-	15,091	13,824
Other liabilities	46,110	53,836	2,924	1,242	49,034	55,347
Total liabilities	<u>\$ 131,987</u>	<u>\$ 147,841</u>	<u>\$ 25,154</u>	<u>\$ 25,716</u>	<u>\$ 157,141</u>	<u>\$ 173,826</u>
Deferred Inflows - Property Taxes	-	292	-	-	-	292
Deferred Inflows - Leases	1,278	1,300	1,062	597	2,341	1,897
Deferred Inflows - OPEB	1,761	1,153	-	-	1,761	1,153
Deferred inflows - Pensions	13,695	22,694	1,469	2,427	15,164	25,121
Total deferred inflows	<u>\$ 16,734</u>	<u>\$ 25,439</u>	<u>\$ 2,531</u>	<u>\$ 3,024</u>	<u>\$ 19,265</u>	<u>\$ 28,463</u>
Total liabilities and deferred inflows	<u>\$ 148,721</u>	<u>\$ 173,280</u>	<u>\$ 27,685</u>	<u>\$ 28,740</u>	<u>\$ 176,406</u>	<u>\$ 202,289</u>
	777,104	722,380	542,879	513,823	1,319,983	1,236,196
Net Position						
Net investment in capital assets	\$ 508,182	\$ 458,325	\$ 388,165	\$ 375,711	\$ 896,347	\$ 834,036
Restricted	133,784	141,669	10,992	10,127	144,776	151,796
Unrestricted	135,138	122,116	144,649	127,986	279,787	250,102
	<u>\$ 777,104</u>	<u>\$ 722,110</u>	<u>\$ 543,805</u>	<u>\$ 513,824</u>	<u>\$ 1,320,909</u>	<u>\$ 1,235,934</u>

Changes in Net Position

Following is a condensed version of the Changes in Net Position for 2023 compared to 2022, noting the revenues, expenses, and other items, with governmental and business-type activities separately identified.

City of Redmond's Changes in Net Position (in thousands)

	Governmental Activities		Business-Type Activities		Total	
	2023	2022	2023	2022	2023	2022
Revenues:						
Program revenues:						
Charges for services	\$ 48,985	\$ 76,817	\$ 68,302	\$ 63,408	\$ 117,287	\$ 140,225
Operating grants and contributions	12,002	10,889	12,010	6,552	24,012	17,441
Capital grants and contributions	14,550	22,052	7,167	9,387	21,717	31,439
General revenues:						
Property taxes	31,276	29,943	-	-	31,276	29,943
Sales taxes	55,509	52,453	-	-	55,509	52,453
Other taxes	23,219	27,950	-	-	23,219	27,950
Investment interest	13,327	(3,491)	6,521	1,706	19,848	(1,785)
Miscellaneous	6,470	7,075	256	272	6,726	7,347
Total revenues	\$ 205,338	\$ 223,688	\$ 94,256	\$ 81,325	\$ 299,594	\$ 305,013
Expenses:						
General government	\$ 29,815	\$ 25,937	\$ -	\$ -	\$ 29,815	\$ 25,937
Public Safety	66,277	74,591	-	-	66,277	74,591
Economic environment	11,972	13,679	-	-	11,972	13,679
Transportation	19,894	20,880	-	-	19,894	20,880
Culture and recreation	16,078	11,686	-	-	16,078	11,686
Social Services	4,056	4,205	-	-	4,056	4,205
Interest on long term debt	2,154	2,115	-	-	2,154	2,115
Water/Wastewater	-	-	43,021	39,463	43,021	39,463
UPD Water/Wastewater	-	-	7,772	7,331	7,772	7,331
Stormwater	-	-	12,728	11,808	12,728	11,808
Total expenses	\$ 150,246	\$ 153,093	\$ 63,521	\$ 58,602	\$ 213,767	\$ 211,695
Increase/(Decrease) in net position						
Before special item and transfers	55,092	70,595	30,735	22,723	85,827	93,318
Gain(Loss) on disposal of capital assets	27	(99)	-	(3,240)	27	(3,339)
Transfers, internal activities	754	(404)	(754)	404	-	-
Increase (decrease in net position)	55,873	70,092	29,981	19,887	85,854	89,979
Net position - beginning	722,110	652,287	513,824	493,937	1,235,934	1,146,224
Prior period adjustments	72	(269)	-	-	72	(269)
Net position - ending	\$ 778,055	\$ 722,110	\$ 543,805	\$ 513,824	\$ 1,321,860	\$ 1,235,934

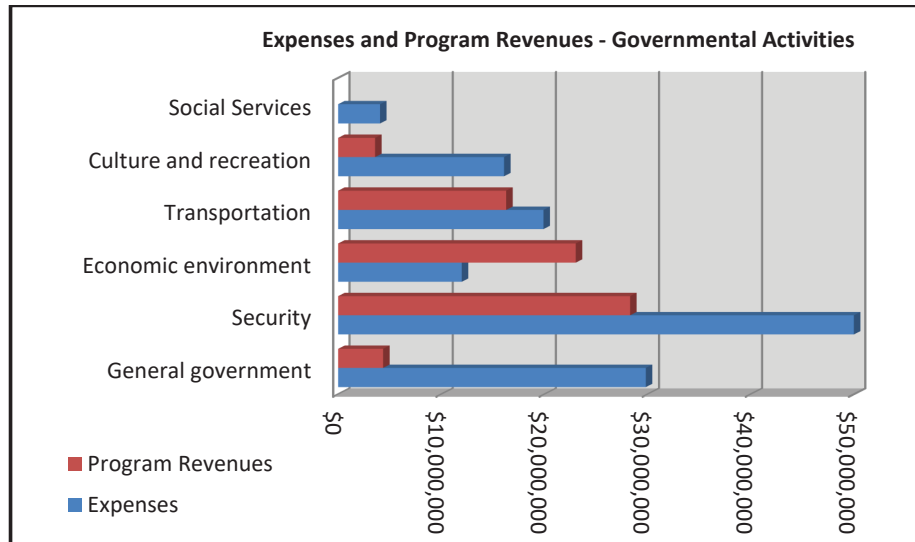
Governmental Activities

The net position for governmental activities increased by \$56 million (7.8%) in 2023. Key elements of the increase are as follows:

- Total assets and deferred outflows from governmental activities increased by \$30.3 million (3.4%) due to the following factors:
 - Cash and investments increased by \$12.2 million (4.5%).
 - Total receivables increased by \$4.0 million (22.65%), mainly due to increased Opioid settlement and accounts receivable.
 - Due from other governments decreased by \$4.6 million (28.6%).
 - Capital assets increased by \$42.7 million (8.1%), which reflects the City's investments in infrastructure and technology and includes assets contributed by developers.
 - Net pension assets decreased \$2.5 million (7.1%), and deferred outflows for pensions increased \$1.3 million (5.2%). See Note 7 – Pensions for additional information.
- Total liabilities and deferred inflows from governmental activities decreased by \$26 million (14.9%) from 2022 to 2023. Primarily due to the following:
 - Net pension liability (including total pension liability for the firefighter pension plan) decreased by \$1.1 million (16.8%), and deferred inflows for pensions decreased by \$9.0

- million (40%). Pension liabilities fluctuate yearly due to assumption changes, investment returns, and other reasons. See Note 7 – Pensions for additional information.
 - Accounts/claims payable decreased by \$.2 million (2.7%) due to timely payments.
- Total revenues decreased by \$17.1 million (7.7%) from 2022 to 2023 due to the following:
 - Total tax revenues decreased by \$342,000 (2.3%). Key contributing factors are:
 - Sales tax revenue increased by \$3.0 million (5.8%), driven by growth in the services, accommodation, food services, and information sectors.
 - Other taxes decreased by \$4.7 million (16.9%), primarily due to a decline in the B&O tax revenue due to the City's transition to the State Department of Revenue system, and offset by an increase in utility taxes on electricity, garbage, and gas resulting from the utility rate increases.
 - Property taxes increased \$1.3 million (4.4%) primarily because of the assessed value increase of 26.7%.
 - Program revenues decreased by \$34.2 million (31.2%) due to the net effect of the following:
 - Charges for services decreased by 27.8 million (36.2%); this includes:
 - A decrease of \$29.8 million (59.9%) related to the economic environment, primarily due to a \$25.6 million (93.1%) decrease in impact fees (including Parks, Fire, and Transportation) due to development saturation in 2023. Additionally, a slowdown in commercial construction activity led to a \$2.5 million decrease in commercial building permit revenue. In comparison, other building permit revenues declined by \$1.03 million, reflecting reduced overall development and permitting activity.
 - Revenue growth related to culture and recreation: an increase of 34.5% from \$1.6 million in 2022 to \$2.2 million in 2023 related to parks recreation fees. Primarily due to the revitalization of parks programs after the COVID-19 pandemic, implementation of an updated cost recovery model, and the addition of new programs in both indoor and outdoor facilities.
 - Public Safety revenue increased by \$1.31 million, primarily due to Fire District 34 contract negotiations, which increased annual dues by \$1.0 million.
 - Grants and contributions, including Intergovernmental revenue, decreased by \$6.5 million (14.1%) due to:
 - Significant contributions made in 2022 to ARCH \$3.6 million for Modera RiverTrail and Modera Overlake;
 - Washington Department of Commerce grant in 2022 for the Redmond Senior & Community Center (\$1.2 million);
 - America Rescue Plan Act (ARPA) (\$3.4 million)
 - Interest on investments increased by \$16.8 million (481.8%) primarily due to the impact of federal interest rate increases on the City's short-term investments.
- Total expenses decreased by \$2.8 million (1.9%). Public Safety costs were reduced by \$8.3 million (11.1%), economic environment by \$1.7 million (12.5%), and transportation by \$986,000 (4.7%), offset by an increase in culture and recreation by \$4.4 million (37.6%), general government \$3.7 million (14.2%).

The following graph compares 2023 program revenues to program expenses from the Statement of Activities. It illustrates the impact of various City functions on net position from operations before taxes for governmental activities.



Business-type Activities

Business-type activities account for 41.1% of the City's net position. Business-type activities of the utilities increased the net position by \$30.0 million (5.8%). Key elements of this increase are in the sections that follow.

Recognizing the financial difficulties that the recession caused by the COVID-19 pandemic placed on the community, no utility rate increases were implemented in 2021 or 2022. The City implemented rate increases for all utility services, effective January 2023 and again in January 2024.

Water/Wastewater Utility:

Water/Wastewater utility showed operating income of \$1.8 million, a 20% increase from 2022. Total revenues increased by \$3.9 million (9.4%), and expenditures increased by \$3.6 million (9.0%) from 2022 to 2023. The main contributing factors are as follows:

- City water and wastewater utility rates were not increased in 2021 or 2022 due to the financial difficulties the COVID-19 pandemic placed on the community. In 2023, City water rates increased by 5%, and City wastewater rates increased by 3%. These increases contributed to a 10% increase in City rate revenue. The 2024 City water and wastewater rates will increase by the same percentage.
- King County (Metro) wastewater service operating revenue increased \$1.5 million (8.7%) due to a 5.76% rate increase to \$52.11 per month and growth. Rates are expected to increase by 5.76% in 2024.
- As a result of King County Metro's rate increase, the cost of wastewater treatment increased by \$1.7 million (10.3%).
- Administrative & General expenditures increased by \$1.0 million, or 30.7%, as a result of increases to salaries and benefits for cost of living adjustments and one-time investments in the development of the water and wastewater comprehensive plans.
- Capital Contributions increased by \$4.8 million (73.9%)

Novelty Hill Water and Wastewater Utility:

Novelty Hill Water/Wastewater shows an operating income of \$0.9 million, a \$0.2 million increase from 2022. Overall revenues increased by \$0.7 million (8.4%), and expenses increased by \$0.4 million. The main contributing factors are as follows:

- Novelty Hill water and wastewater utility rates were not increased in 2021 or 2022 due to the financial difficulties the COVID-19 pandemic placed on the community. In 2023, Novelty Hill water rates increased by 8%, and Novelty Hill wastewater rates increased by 6%. These increases

contributed to a 9.2% increase in Novelty Hill rate revenue. The 2024 Novelty Hill water and wastewater rates will increase by the same percentage.

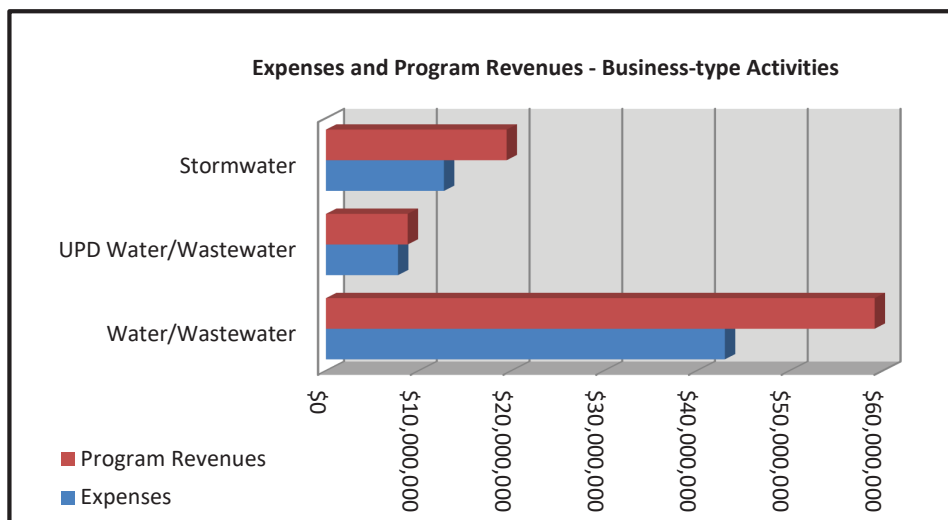
- As a result of King County Metro's rate increase, the cost of wastewater treatment increased by \$0.2 million (9.4%). Other expenses related to operations increased \$0.2 million (32.7%), including the cost increases associated with salary and benefit increases, investments in the water and wastewater comprehensive plans, and the Novelty Hill Asset Management Plan.
- Capital Contributions increased by \$0.1 million (85.1%).

Stormwater Utility:

Stormwater Utility showed an operating income of \$2.5 million in 2023 compared to \$3.0 million in 2022, a decrease of \$0.5 million (18.5%). Total operating revenues increased by \$0.4 million (2.6%) while operating expenditures increased by \$0.9 million (8.1%).

- City stormwater utility rates were not increased in 2021 and 2022 due to the financial difficulties the COVID-19 pandemic placed on the community. In 2023, rates increased by 1%, increasing rate revenue by 2.6%. Rates will increase by 1% in 2024.
- The operating expenditure increase of 8.1% reflects the increase in salary and benefit costs due to cost of living adjustments and the inflationary increase of supplies and outside services.
- Capital Contributions decreased by \$3.6 million (51.6%).

The following graph compares program revenues to program expenses from the Statement of Activities and separately illustrates the revenues by source for the business-type activities in 2023.



General Fund Budgetary Highlights

The City of Redmond budgets on a biennial basis. In 2023, the following budget amendments to the adopted budget were approved by the Council:

- Increasing the General Fund transfer to:
 - NE 70th Street Improvements (Redmond Way to 180th Ave NE) Project (\$2.5 million);
 - 132nd Signal Improvement Project (\$1,120,000)
- Recognizing revenue and expenses related to grants, including but not limited to:
 - Port of Seattle Economic Development Grant (\$120,000);
 - Bureau of Justice Assistance (BJA) Body-worn Camera Grant (\$170,000);
 - Sound Transit Fire Training (\$580,000);

- Montecello Street Sweeping (\$65,000);

Total revenues increased by \$7.2 million (5.1%) in 2023.

- Business License revenue declined by \$1.8 million, primarily due to the transition to the State Department of Revenue system and the alignment of Microsoft's license renewals with the DOR renewal date.
- Sales and use tax exceeded the budget by \$12.1 million, driven by growth in the services, accommodation, food services, and information sectors.
- Utility tax revenue surpassed the budget by \$2.5 million due to increased electricity and gas rates.
- Permit revenues fell short of the budget by \$221,000, mainly due to a decline in construction activity in 2023 compared to 2022. This decrease also impacted one-time sales tax revenue.
- Interest on investments exceeded the target by \$2.7 million (413%), primarily due to high Annual Percentage Yield (APR) on short-term investments.

Total expenditures in 2023 were under budget by \$16.9 million (11.3%) primarily due to the net effect of,

- Salaries and benefits were \$4.7 million over the budget primarily due to position reclassifications, cost of living (COLA) rate increase, benefit rate increases, and overtime spending.
- Overtime salaries exceeded the budget by \$1.6 million, primarily due to backfilling vacancies created by training recruits, existing position vacancies, and employee attrition.
- Capital expenditures were \$2.2 million under the budget due to a delay in Fire apparatus purchases in 2023.
- Travel and training expenses were \$627,000 (51.0%) below budget, primarily due to ongoing concerns related to COVID, with travel activity increasing in the following year.
- Supplies and small tools expenditures were \$1.5 million below budget due to delays in acquiring body-worn cameras and replacing capital equipment, including lockers, office furniture, and PC replacements.
- Other expenditures are \$13.4 million below the budget, primarily due to a delay in contributions to A Regional Coalition for Housing (ARCH).

City of Redmond's Capital Assets (Net of Accumulated Depreciation)

The City of Redmond's investment in capital assets for its governmental and business-type activities (not including investment in joint ventures) at the end of 2023 amounted to \$975.7 million (net of accumulated depreciation), representing an increase of \$53.7 million from 2022. Capital asset investments include land, art, and construction in progress, which are not subject to depreciation. Other capital assets, buildings, and improvements other than buildings, machinery and equipment, and infrastructure are subject to depreciation.

Governmental capital assets (net of accumulated depreciation) totaled \$567 million at the end of 2023, representing an increase of \$42.6 million from 2022. Business-type capital assets (net of accumulated depreciation) totaled \$408.4 million at the end of 2023, representing an increase of \$11.1 million from 2022. In addition to the effects of depreciation, these increases result from land acquisitions, building improvements, contributed capital, and construction in progress. More information on the City's Capital Assets can be found in Note 6 – Capital Assets in the notes to the financial statements.

City of Redmond's Capital Assets
(net of depreciation)
(in thousands)

	Governmental Activities		Business-Type Activities		Total	
	2023	2022	2023	2022	2023	2022
Land & Land Rights	\$ 176,805	\$ 172,090	\$ 25,802	\$ 25,802	\$202,607	\$ 197,891
Intangibles	-	-	1,125	1,125	1,125	\$ 1,125
Buildings/ Bldg. Improvements	71,904	73,182	26,044	25,012	97,948	\$ 98,194
Improvements other than Buildings	29,059	30,820	339,173	312,118	368,232	\$ 342,938
Machinery and Equipment	15,860	14,335	434	473	16,294	\$ 14,808
Construction in Progress	70,865	36,510	15,603	32,551	86,468	\$ 69,061
Infrastructure	195,191	192,292	-	-	195,191	\$ 192,292
Art	2,257	2,257	-	-	2,257	\$ 2,257
Leases & SBITA	5,354	3,146	220	218	5,574	3,364
Total	\$ 567,295	\$ 524,632	\$ 408,401	\$397,298	\$975,697	\$ 921,930

City of Redmond's Outstanding Debt

At the end of 2023, the City of Redmond had total outstanding bonds of \$70.9 million, which consists of \$50.8 million in general obligation bonds and \$16.5 million in revenue bonds. In addition, the City had \$3.6 million in Public Works Trust Fund Loans, which constitute direct borrowings.

City of Redmond's Long-term Debt
(in thousands)

	Governmental Activities		Business-Type Activities		Total	
	2023	2022	2023	2022	2023	2022
General obligation bonds	\$ 47,145	\$ 51,105	\$ -	\$ -	\$ 47,145	\$ 51,105
G.O. bond premiums	3,670	4,050	-	-	3,670	4,050
Revenue bonds	-	-	16,310	17,605	16,310	17,605
Revenue bond issuance premiums	-	-	142	283	142	283
Public Works Trust Fund loans	756	850	2,891	3,104	3,647	3,954
Total	\$ 51,571	\$ 56,005	\$ 19,343	\$ 20,992	\$ 70,914	\$ 76,997

The City's outstanding general obligation bonds, which are reported under governmental activities, include the following. In 2013, the City issued \$33.1 million in limited tax general obligation refunding bonds with an interest rate of 1.75-5.00% to advance refund of \$32.8 million of outstanding 2004 Limited Tax General Obligation Lease Revenue Bonds for City Hall and the parking garage. The refunding resulted in deferred outflows of \$1.5 million. In 2015, the City issued \$9.3 million in limited tax general obligation refunding bonds with an interest rate of 3.00% to advance refund of \$8.9 million of outstanding 2008 Limited Tax General Obligation Bonds. The refunding resulted in deferred outflows of \$0.95 million. In 2016, the City issued \$11.6 million in limited tax general obligation refunding bonds with an interest rate of 2.0-5.0% to advance refund of \$11.7 million of outstanding 2008 Limited Tax General Obligation Bonds. The refunding resulted in deferred outflows of \$1.4 million. In addition, the City issued \$6.0 million in limited tax general obligation bonds with an interest rate of 2.0-5.0% to finance the costs of transportation improvements. In 2021, the City issued \$18.9 million in limited tax general obligation refunding bonds with an interest rate of 0.24-2.40% to advance refund \$17.1 million of outstanding 2013 Limited Tax General Obligation Bonds. The refunding resulted in deferred outflows of \$0.96 million.

The City's outstanding revenue bonds, which are reported under business-type activities, include the following. In 2014, the City issued \$23.0 million in stormwater revenue bonds with an interest rate of 3.26-4.25% to finance the construction and improvement of various pump stations, access chambers, regional facilities in the Overlake and Downtown areas of the City, flow control, and water quality facilities. The 2014 stormwater revenue bonds also funded stream and habitat restoration projects. In 2021, the City issued

\$15.9 million in stormwater revenue refunding bonds with an interest rate of 0.25-2.34% to advance refund \$13.9 million of outstanding 2014 Stormwater Revenue Bonds. The refunding resulted in deferred outflows of \$0.22 million.

The City's outstanding Public Works Trust Fund Loans include the following: For governmental activities, the City has a loan with an outstanding balance of \$0.8 million and an interest rate of 0.25%. For business-type activities, the City has a loan with an outstanding balance of \$2.9 million and an interest rate of 2.6%.

For further details related to the outstanding debt, please refer to note 11 – Long-term Obligations in the notes in the financial statements.

Economic Factors and Next Year's Budget

The Long-Range Financial Strategy (LRFS) is the framework the City of Redmond uses to make budget decisions over future budget cycles. It encourages a deeper understanding of service commitments to the community and a plan to meet those commitments in a sustainable and responsible manner. Such a strategy makes it possible to focus on Redmond's vision to realize the future as a connected community that enhances livability and sustains the environment, placing Redmond as a leader locally, regionally, and nationally. Through innovation and efficiencies, the City continues to provide quality services that meet or exceed the expectations of our community members. Strong financial stewardship, as evidenced by the City's AAA bond rating, and quality customer service are hallmarks of Redmond city government.

In 2023, the City of Redmond's economic recovery exceeded expectations, driven by broader economic expansion and the impact of federal interest rates. General Fund revenues were 15.5%, or \$20.2 million, above target as businesses continued to reopen and more employees returned to the workplace, contributing to increased revenue collections.

Sales tax revenue surpassed projections by 29.6%, or \$12.1 million, primarily due to growth in the services, accommodation, food services, and information sectors. Utility tax revenue was 24.4%, or \$2.5 million, above target, reflecting higher electricity and gas rates. Additionally, interest on investments exceeded the target by \$2.7 million (413%), primarily due to elevated federal interest rates, which resulted in higher returns on short-term investments.

Despite total General Fund expenditures being 11.3%, or \$16.9 million, below target, specific cost categories exceeded expectations. These included higher expenses related to Cost of Living Adjustments (COLA) from union negotiations and increased overtime salaries needed to fill vacancies caused by attrition.

In 2023, the Capital Investment Projects included the Redmond Senior & Community Center Rebuild, Redmond Central Connector Phase III Improvements, Electric Vehicle Charging Stations, PRV meter replacements, wastewater lift stations upgrades, a stormwater trunk extension, 152nd Avenue NE improvements, 156th Ave cycle track, NE 40th Street Shared Use Path, pavement overlay on NE 90th Street, Grass Lawn turf replacement, NE 70th and 173rd improvements, and intersection improvements at Redmond Way and East Lake Sammamish Parkway.

In 2023, the City's regular levy rate is \$0.81368 per \$1,000 on an assessed value of \$38,888,236,196 for a total regular levy of \$31,642,657. This represents a percentage increase of 1.00%, \$303,042, from 2022. Since 2021 and in the 2023-2024 biennial budget, a total of \$9.6 million of ARPA funds have been allocated to fund programs such as affordable housing, PPE purchases, Fire and Police peer support, tourism, recreation programs, small business awards, human services and replace water/wastewater utility revenue.

In the 2023-2024 biennial budget, the City Council approved the formation of a Transportation Benefit District (TBD) by implementing a 0.1% sales tax beginning in 2024 to support transportation projects. This fee will generate \$27.5 million in funding for transportation-related projects in the 2023-2028 General Government Capital Investment Program.

The City's infrastructure investments reinforce the urban centers, Downtown, Overlake, and Marymoor Village, as the primary growth areas and preserve the character of Redmond's residential neighborhoods. Light rail will arrive at stations in the Overlake and Downtown Urban Centers in 2024 and 2025, generating additional growth. Anchored by a new light rail station, the Marymoor Village is further anticipated to add over 1,400 dwelling units and one million square feet of new commercial space by 2030.

Overlake is thoughtfully evolving into the envisioned urban center. The redevelopment of the Microsoft campus will generate new opportunities and challenges for the City's infrastructure and services. The City

will take on a more urban feel, replete with needs for large-scale infrastructure investments, much like the completed regional stormwater vaults and the pedestrian bridge over State Route 520. Development of the Downtown Urban Center is progressing, with thousands of new housing units having come online and many hundreds more programmed over the next several years, complemented by strategic investments in the new Downtown Park and transportation infrastructure that promotes mobility choices. Planning efforts continue to refine design standards, zoning district regulations, parking management, and wellhead protection in the Downtown. In 2023, Sound Transit completed substantial work on the E360 Extension and continues to work on constructing the Redmond Technology Station (RTS) pedestrian bridge and Sound Transit Loop in Overlake and Downtown Redmond.

Redmond 2050 continues to make progress. In the upcoming biennium, the City will likely adopt new zoning and development regulations for Overlake to allow for increased density and plans for the adoption of updated land-use and housing policies, with a focus on planning for all economic segments of the community and reducing barriers to “middle housing.” The City also plans to adopt all other parts of Redmond 2050, including updates to policies related to the natural environment, capital facilities, utilities, parks, transportation, regional planning, participation, human services, community design, and economic vitality.

The City's continued investment in technology infrastructure represents a short and mid-term plan for technology implementations to support the City's strategic goals fully. In the 2023-2026 period, as the City moves toward completion of the initial implementation phase for both the Finance and Human Resource system replacement projects, the TIS department can schedule and allocate resources to slightly smaller but equally critical new technology initiatives throughout the City. The total investment for technology projects is about \$9.6 million that funds some major technology projects, including but not limited to the Capital Investment Portfolio Management Tool, D365 Financial Tool implementation, Parks Activenet replacement, Human Resources Workforce Management tool (phase-2), and Springbrook our utility billing software.

Looking ahead, the City anticipates continued growth in multi-family developments. It aims to complete several key projects in 2024, including the Redmond Senior & Community Center, Redmond Technology Bridge, Overlake Pedestrian Bridge, 40th Street Shared Use Path, 152nd Avenue Improvements, Maintenance and Operations (MOC) plumbing upgrades, Redmond Way and East Lake Sammamish Parkway enhancements, and the 156th Cycle Track project. These developments are expected to positively impact retail sales tax revenue as new residents move to Redmond and property tax revenue as additional properties are added to the tax base.

Requests for Information

This financial report is designed to provide a general overview of the City of Redmond's finances for readers interested in the government's finances. Questions concerning any information provided in this report or requests for additional information may be addressed to the Director of Finance, City of Redmond, PO Box 97010, Redmond, WA 98073-9710.

CITY OF REDMOND
STATEMENT OF NET POSITION
DECEMBER 31, 2023

	Governmental Activities	Business-Type Activities	Total
ASSETS			
Cash and cash equivalents	\$ 117,060,260	\$ 68,589,436	\$ 185,649,696
Cash with outside agency	2,406,140	-	2,406,140
Investments (Note 3)	131,072,742	72,261,245	203,333,987
Receivables:			
Taxes	10,572,839	-	10,572,839
Accounts	5,953,293	6,810,521	12,763,814
Lease	304,624	113,357	417,981
Interest	866,624	501,869	1,368,493
Opioid settlement	2,914,577	-	2,914,577
Due from other governments	11,492,536	754,274	12,246,810
Inventory	47,604	156,141	203,745
Prepayments	3,841,371	-	3,841,371
Restricted assets:			
Deposit cash	1,867,833	57,973	1,925,806
Deposit investments	7,957,821	-	7,957,821
Revenue bond reserve	-	1,999,954	1,999,954
Rate stabilization fund	-	5,807,077	5,807,077
Total current assets	<u>296,358,264</u>	<u>157,051,847</u>	<u>453,410,111</u>
Noncurrent assets:			
Lease receivable	1,001,303	921,083	1,922,386
Net pension asset	33,527,269	2,537,589	36,064,858
Advance on service contract	-	5,617	5,617
Capital assets (Note 6):			
Right-to-use Lease Assets (net)	2,671,888	219,666	2,891,553
Right-to-use SBITA Assets (net)	2,682,437	-	2,682,437
Land, artwork, construction in progress	249,926,706	42,529,947	292,456,653
Depreciable capital assets, net	312,013,881	365,651,732	677,665,613
Total noncurrent assets	<u>601,823,484</u>	<u>411,865,634</u>	<u>1,013,689,116</u>
Total assets	<u>898,181,748</u>	<u>568,917,481</u>	<u>1,467,099,228</u>
DEFERRED OUTFLOWS OF RESOURCES			
Debt refunding	2,001,964	183,444	2,185,408
Pensions	25,606,636	2,112,790	27,719,426
Asset retirement obligation	24,686	276,168	300,854
Total deferred outflows of resources	<u>27,633,286</u>	<u>2,572,402</u>	<u>30,205,688</u>
Total assets and deferred outflows of resources	<u>925,815,034</u>	<u>571,489,883</u>	<u>1,497,304,916</u>
LIABILITIES			
Payables:			
Accounts/claims	8,780,390	282,745	9,063,135
Retainage payable	1,158,911	98,380	1,257,291
Employee wages	3,357,743	378,650	3,736,393
Interest	214,895	27,343	242,238
Due to other governments	2,479,760	2,079,314	4,559,074
Unearned revenues	22,160,177	-	22,160,177
Customer deposits	7,957,821	57,973	8,015,794
Total current liabilities	<u>46,109,697</u>	<u>2,924,405</u>	<u>49,034,102</u>

CITY OF REDMOND
STATEMENT OF NET POSITION
DECEMBER 31, 2023

	Governmental Activities	Business-Type Activities	Total
Noncurrent liabilities (Note 11):			
Due within one year	12,048,775	2,303,020	14,351,795
Due in more than one year	73,817,716	19,926,320	93,744,036
Total noncurrent liabilities	85,866,491	22,229,340	108,095,831
Total liabilities	131,976,188	25,153,745	157,129,933
DEFERRED INFLOWS OF RESOURCES			
Leases	1,278,109	1,062,475	2,340,584
OPEB	1,760,699	-	1,760,699
Pensions	13,695,615	1,468,559	15,164,174
Total deferred inflows of resources	16,734,423	2,531,034	19,265,457
Total liabilities and deferred inflows of resources	148,710,611	27,684,779	176,395,390
NET POSITION			
Net investment in capital assets (Note 6)	508,181,891	388,164,728	896,346,619
Restricted for:			
Net pension asset	45,387,526	3,184,485	48,572,011
Public safety	2,017,574	-	2,017,574
Opioid settlement	117,263	-	117,263
Cable access	26,512	-	26,512
Parks	1,471,742	-	1,471,742
Debt service	332,733	1,999,954	2,332,687
Capital projects	29,401,388	-	29,401,388
Impact fees	51,051,564	-	51,051,564
General governmental maintenance	490,222	-	490,222
Tourism	1,098,609	-	1,098,609
Planning-transportation	1,105,185	-	1,105,185
Recycling	1,283,776	-	1,283,776
Rate stabilization fund	-	5,807,077	5,807,077
Unrestricted	135,138,438	144,648,861	279,787,298
Total Net Position	\$ 777,104,423	\$ 543,805,105	\$ 1,320,909,527

The notes to the financial statements are an integral part of this statement.

CITY OF REDMOND
STATEMENT OF ACTIVITIES
For the Year Ended December 31, 2023

Function/Program	Program Revenues				Net (Expense) Revenue and Changes in Net Position		
	Expenses	Charges for Services	Operating Grants and Contributions	Capital Grants and Contributions	Governmental Activities	Business-Type Activities	Total
Governmental activities:							
General government	\$ 29,814,979	\$ 775,145	\$ 3,581,069	\$ -	\$ (25,458,765)	\$ -	\$ (25,458,765)
Public safety	67,174,309	23,350,987	4,813,648	128,995	(38,880,679)	-	(38,880,679)
Transportation	19,893,895	656,801	1,322,084	14,304,903	(3,610,106)	-	(3,610,106)
Economic environment	11,972,320	21,277,728	1,744,397	-	11,049,805	-	11,049,805
Culture and recreation	16,077,982	2,923,976	540,948	116,030	(12,497,028)	-	(12,497,028)
Social services	4,056,402	-	-	-	(4,056,402)	-	(4,056,402)
Interest on long-term debt	2,153,786	-	-	-	(2,153,786)	-	(2,153,786)
Total governmental activities	151,143,673	48,984,637	12,002,146	14,549,928	(75,606,962)	-	(75,606,962)
Business-type activities							
Water/Wastewater	43,020,622	44,784,156	9,720,680	4,671,444	-	16,155,658	16,155,658
UPD Water/Wastewater	7,772,445	8,640,046	176,850	-	-	1,044,451	1,044,451
Stormwater	12,727,870	14,877,306	2,112,487	2,495,649	-	6,757,572	6,757,572
Total business-type activities	63,520,937	68,301,508	12,010,017	7,167,093	-	23,957,680	23,957,680
Total government	\$ 214,664,610	\$ 117,286,145	\$ 24,012,163	\$ 21,717,020	\$ (75,606,962)	\$ 23,957,680	\$ (51,649,280)
General revenues:							
Taxes							
Property					31,196,686	-	31,196,686
Sales					55,509,169	-	55,509,169
Business and occupation					12,665,615	-	12,665,615
Excise					10,553,530	-	10,553,530
Investment income					13,326,733	6,521,396	19,848,129
Miscellaneous					6,470,980	255,493	6,726,473
Gain on disposal of capital assets					53,013	-	53,013
Transfers, internal activities					753,611	(753,611)	-
Total general revenues					130,529,336	6,023,278	136,552,615
Change in net position					54,922,375	29,980,958	84,903,334
Net position-beginning					722,110,321	513,824,146	1,235,934,467
Prior period adjustments (Note 22)					71,727	-	71,727
Net position-ending					\$ 777,104,423	\$ 543,805,105	\$ 1,320,909,528

The notes to the financial statements are an integral part of this statement.

CITY OF REDMOND
BALANCE SHEET
GOVERNMENTAL FUNDS
December 31, 2023

	General Fund	Capital Improvement Program Fund	Other Governmental Funds	Governmental Funds Total
ASSETS				
Cash and cash equivalents	\$ 44,285,584	\$ 44,506,446	\$ 17,300,525	\$ 106,092,555
Cash with outside agency	2,406,140	-	-	2,406,140
Investments	49,106,942	51,847,146	17,329,795	118,283,883
Receivables:				
Taxes	10,152,903	-	419,936	10,572,839
Accounts	2,073,582	1,502,638	2,371,800	5,948,020
Interest	353,256	302,828	135,849	791,933
Leases	1,117,208	-	188,719	1,305,927
Opioid settlement	2,914,577	-	-	2,914,577
Due from other funds	1,824,921	-	-	1,824,921
Due from other governments	7,727,974	1,154,373	2,610,189	11,492,536
Prepayments	1,928,509	-	-	1,928,509
Restricted assets:				
Deposit investments	5,110,149	3,188	2,844,484	7,957,821
Cash	916,367	951,466	-	1,867,833
Total assets	<u>\$ 129,918,112</u>	<u>\$ 100,268,085</u>	<u>\$ 43,201,297</u>	<u>\$ 273,387,494</u>
LIABILITIES, DEFERRED INFLOWS AND FUND BALANCES				
Liabilities:				
Accounts/claims payable	\$ 3,994,457	\$ 2,626,513	\$ 288,884	\$ 6,909,854
Retainage payable	54,509	1,086,742	-	1,141,251
Employee wages payable	2,612,158	15,051	492,877	3,120,086
Due to other funds	-	-	1,369,741	1,369,741
Due to other governments	1,994,980	1,021	56,193	2,052,194
Payable from restricted assets:				
Deposits payable	5,110,149	3,188	2,844,484	7,957,821
Unearned revenues	8,907,583	13,064,718	187,876	22,160,177
Total liabilities	<u>22,673,836</u>	<u>16,797,233</u>	<u>5,240,055</u>	<u>44,711,124</u>
Deferred Inflows of resources:				
Unavailable revenues	2,237,852	2,557,966	2,762,094	7,557,912
King County property taxes	366,788	-	-	366,788
Leases	1,075,118	-	202,991	1,278,109
Opioid settlement	2,914,577	-	-	2,914,577
Total deferred inflows	<u>6,594,335</u>	<u>2,557,966</u>	<u>2,965,085</u>	<u>12,117,386</u>
Fund balances: (Note 4)				
Non-spendable	2,002,220	-	4,427	2,006,647
Restricted	4,052,383	58,176,371	26,167,814	88,396,568
Committed	4,199,311	-	9,054,996	13,254,307
Assigned	45,762,566	22,736,515	-	68,499,081
Unassigned	44,633,461	-	(231,080)	44,402,381
Total fund balances	<u>100,649,941</u>	<u>80,912,886</u>	<u>34,996,157</u>	<u>216,558,984</u>
Total liabilities, deferred inflows, and fund balances	<u>\$ 129,918,112</u>	<u>\$ 100,268,085</u>	<u>\$ 43,201,297</u>	

Amounts reported for governmental activities in the Statement of Net Position are different because:

Capital assets used in governmental activities are not financial resources and therefore not reported in the funds. \$ 553,394,009

Internal service funds are used by management to charge the costs of certain activities, such as insurance, information services, and fleet maintenance to individual funds. The assets and liabilities of these internal service funds are included in governmental activities in the Statement of Net Position. 35,841,638

Some liabilities, including bonds, loans, and compensated absences payable, are not due and payable in the current period and therefore are not reported in the funds. (Note 2) (60,032,008)

The net pension asset, net pension liability, total pension liability for firefighters' pension plan, and deferred inflows and deferred outflows are reported in the government-wide statement of net position but not in the governmental balance sheet. (Note 2) 21,820,039

Unavailable revenues are susceptible to full accrual in the government-wide statements, but are reported as deferred inflows in the governmental funds. 10,472,491

Net position of governmental activities \$ 778,055,153

The notes to the financial statements are an integral part of this statement.

CITY OF REDMOND
STATEMENT OF REVENUES, EXPENDITURES
AND CHANGES IN FUND BALANCES
GOVERNMENTAL FUNDS
FOR THE YEAR ENDED DECEMBER 31, 2023

	General Fund	Capital Improvement Program Fund	Other Governmental Funds	Total Governmental Funds
REVENUES				
Taxes	\$ 102,792,520	\$ -	\$ 7,138,589	\$ 109,931,109
Licenses and permits	13,120,649	124,335	1,974,934	15,219,918
Contributions	255,108	444,030	116,649	815,787
Intergovernmental	10,004,998	3,391,370	734,906	14,131,274
Charges for services	15,414,454	1,884,266	13,893,139	31,191,859
Fines and forfeitures	257,086	-	42,400	299,486
Investment income	4,924,862	5,189,577	1,925,530	12,039,969
Miscellaneous	3,185,231	260,607	410,130	3,855,968
Total revenues	<u>149,954,908</u>	<u>11,294,185</u>	<u>26,236,277</u>	<u>187,485,370</u>
EXPENDITURES				
Current:				
General government	29,115,704	5,720	-	29,121,424
Public safety	62,042,689	-	11,064,437	73,107,126
Transportation	13,450,134	-	689,745	14,139,879
Economic environment	9,069,330	-	4,725,719	13,795,049
Culture and recreation	13,422,244	-	2,280,578	15,702,822
Social services	4,029,452	-	206,272	4,235,724
Capital outlay	1,307,209	42,332,459	-	43,639,668
Debt service:				
Principal	557,776	-	4,004,480	4,562,256
Interest and debt issuance costs	209,120	-	1,750,458	1,959,578
Total expenditures	<u>133,203,658</u>	<u>42,338,179</u>	<u>24,721,689</u>	<u>200,263,526</u>
Excess (deficiency) of revenues				
Over (under) expenditures	<u>16,751,250</u>	<u>(31,043,994)</u>	<u>1,514,588</u>	<u>(12,778,156)</u>
OTHER FINANCING SOURCES (USES)				
Disposition of capital assets	1	-	40,810	40,811
Leases	377,566	-	-	377,566
Loss on lessor lease termination	-	-	(26,044)	(26,044)
Transfers in (Note 10)	4,093,045	14,938,410	4,065,700	23,097,155
Transfers out (Note 10)	(15,930,524)	(2,121,264)	(9,321,601)	(27,373,389)
Total other financing sources and uses	<u>(11,459,912)</u>	<u>12,817,146</u>	<u>(5,241,135)</u>	<u>(3,883,901)</u>
Net change in fund balances	<u>5,291,338</u>	<u>(18,226,848)</u>	<u>(3,726,547)</u>	<u>(16,662,057)</u>
Fund balances-beginning	95,358,603	99,139,734	38,650,977	233,149,314
Prior period adjustments (Note 21)	-	-	71,727	71,727
Fund balances-ending	<u>\$ 100,649,941</u>	<u>\$ 80,912,886</u>	<u>\$ 34,996,157</u>	<u>\$ 216,558,984</u>

The notes to the financial statements are an integral part of this statement.

CITY OF REDMOND
RECONCILIATION OF THE STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES
IN FUND BALANCES OF GOVERNMENTAL FUNDS TO THE STATEMENT OF ACTIVITIES
FOR THE YEAR ENDED DECEMBER 31, 2023

Amounts reported for governmental funds in the statement of activities are different because:

Net change in fund balances-total governmental funds.	\$ (16,662,057)
Governmental funds report capital outlays as expenditures. However in the Statement of Activities the cost of those assets is allocated over their estimated useful lives and reported as depreciation expense. This is the amount by which capital outlays of \$43,639,668 and contributions of \$4,350,890 exceeds depreciation expense of \$11,809,134 and disposals of \$29,070 in the current period.	36,210,494
Revenues in the Statement of Activities that do not provide current financial resources are not reported as revenues in the funds. (Note 2)	10,292,888
Repayment of long-term debt is an expenditure in the governmental funds, yet the repayment reduces long-term liabilities in the statement of net position. Governmental funds report the effect of premiums, discounts, and similar items when debt is first issued, whereas these amounts are deferred and amortized in the government-wide statement of activities:	4,729,711
Internal service funds are used by management to charge the costs of certain activities, such as insurance, information services, and fleet maintenance, to individual funds. The net revenue (expense) of certain internal service funds is reported with governmental activities.	8,436,807
Some expenses reported in the Statement of Activities do not require the use of current financial resources and therefore are not reported as expenditures in governmental funds. (Note 2)	4,744,491
Pension expenses reported in the governmental fund statements are not reported as expenditures in the statement of activities.	<u>8,120,771</u>
Change in net position of governmental activities.	<u>\$ 55,873,105</u>

The notes to the financial statements are an integral part of this statement.

CITY OF REDMOND
STATEMENT OF NET POSITION
PROPRIETARY FUNDS
December 31, 2023

Page 1 of 2

	Business-type Activities				Governmental Activities Internal Service Funds
	Enterprise Funds			Totals	
	Water/ Wastewater	Novelty Hill Water/ Wastewater	Stormwater Management		
ASSETS					
Current assets:					
Cash and cash equivalents	\$ 23,413,022	\$ 16,974,841	\$ 28,201,573	\$ 68,589,436	\$ 10,967,705
Investments	23,460,865	17,901,954	30,898,426	72,261,245	12,788,859
Accounts and contracts receivable	4,449,031	1,120,382	1,241,108	6,810,521	5,273
Lease receivable	43,768	69,589	-	113,357	-
Interest receivable	174,114	135,614	192,141	501,869	74,691
Due from other Governments	118,816	-	635,458	754,274	-
Inventory	156,141	-	-	156,141	47,604
Prepaid insurance	-	-	-	-	1,912,861
Restricted assets:					
Cash and cash equivalents	15,873	32,000	10,100	57,973	-
Revenue Bond Reserve:					
Investments	-	-	1,999,954	1,999,954	-
Rate stabilization fund:					
Investments	3,877,811	1,929,266	-	5,807,077	-
Total current assets	55,709,441	38,163,646	63,178,760	157,051,847	25,796,993
Noncurrent assets:					
Lease receivable, non-current	329,421	591,662	-	921,083	-
Net pension asset	1,501,139	-	1,036,450	2,537,589	1,438,389
Advance on service contract	4,455	1,162	-	5,617	-
Capital assets:					
Land and land rights	3,241,751	3,274,106	19,285,919	25,801,776	584,292
Buildings	27,042,564	11,031,564	1,676,202	39,750,330	715,786
Improvements other than buildings	236,383,551	66,770,048	171,674,202	474,827,801	356,198
Intangible Assets	1,124,883	-	-	1,124,883	-
Equipment	963,296	267,674	665,330	1,896,300	19,996,036
Construction in progress	8,686,649	894,016	6,022,623	15,603,288	1,727,088
Right to use leased assets, net of amortization	46,835	163,222	9,609	219,666	2,453,037
Less accumulated depreciation	(85,948,314)	(26,342,790)	(38,531,595)	(150,822,699)	(11,931,537)
Total capital assets (net of depreciation)	191,541,215	56,057,840	160,802,290	408,401,345	13,900,900
Total noncurrent assets	193,376,230	56,650,664	161,838,740	411,865,634	15,339,289
Total assets	249,085,671	94,814,310	225,017,500	568,917,480	41,136,282
Deferred outflow of resources:					
Pensions	1,092,909	159	1,019,722	2,112,790	1,181,295
Asset retirement obligations	276,168	-	-	276,168	-
Refunding bonds	-	-	183,444	183,444	-
Total deferred outflows of resources	1,369,077	159	1,203,166	2,572,402	1,181,295
Total assets and deferred outflows of resources	\$ 250,454,748	\$ 94,814,469	\$ 226,220,666	\$ 571,489,883	\$ 42,317,577

The notes to the financial statements are an integral part of this statement.

CITY OF REDMOND
STATEMENT OF NET POSITION
PROPRIETARY FUNDS
December 31, 2023

Page 2 of 2

	Business-type Activities				Governmental Activities Internal Service Funds
	Water/ Wastewater	Novelty Hill Water/ Wastewater	Enterprise Funds Stormwater Management	Totals	
LIABILITIES					
Current liabilities:	\$	\$	\$	\$	\$
Accounts payable	-	-	282,745	282,745	1,870,536
Retainage payable	38,784	19,838	39,758	98,380	17,660
Employee wages payable	206,978	151	171,521	378,650	237,657
Compensated absences	391,776	38	324,913	716,727	434,619
Due to other governments	1,705,248	226,455	147,611	2,079,314	84,964
Due to other funds	-	-	-	-	455,181
SBITA payable	6,230	14,114	2,410	22,754	858,417
Asset retirement obligations	6,718	-	-	6,718	-
Current portion of loans payable	-	-	218,539	218,539	-
Current portion of revenue bonds payable	-	-	1,345,000	1,345,000	-
Accrued interest payable	159	428	26,756	27,343	61,566
Current liabilities payable from restricted assets:					
Customer deposits payable	15,873	32,000	10,100	57,973	-
Total current liabilities	2,371,766	293,024	2,569,353	5,234,143	4,879,016
Noncurrent liabilities:					
Revenue bonds payable, net	-	-	15,106,749	15,106,749	-
Loans payable	-	-	2,672,438	2,672,438	-
Compensated absences	97,944	10	81,228	179,182	108,655
SBITA payable	36,889	130,722	7,246	174,857	1,504,882
Asset retirement obligations	567,362	-	-	567,362	-
Net pension liability	323,029	1,297	894,688	1,219,014	203,202
Total noncurrent liabilities	1,025,224	132,029	18,762,349	19,919,602	1,816,739
Total liabilities	3,396,990	425,053	21,331,702	25,153,745	6,695,755
Deferred inflow of resources:					
Pensions	948,301	198	520,060	1,468,559	638,600
Lease	418,529	643,946	-	1,062,475	-
Total deferred inflows of resources	1,366,830	644,144	520,060	2,531,034	638,600
Total liabilities and deferred inflows of resources	4,763,821	1,069,197	21,851,762	27,684,779	7,334,356
NET POSITION					
Net investment in capital assets	190,943,109	55,889,414	141,332,205	388,164,728	11,163,465
Restricted for net pension asset	1,679,889	-	1,504,596	3,184,485	1,972,010
Restricted for debt service	-	-	1,999,954	1,999,954	-
Restricted for rate stabilization	3,877,811	1,929,266	-	5,807,077	-
Unrestricted	49,190,118	35,926,593	59,532,150	144,648,861	22,706,163
Total net position	245,690,927	93,745,273	204,368,905	543,805,105	35,841,638

The notes to the financial statements are an integral part of this statement.

CITY OF REDMOND
STATEMENT OF REVENUES, EXPENSES, AND CHANGES IN FUND NET POSITION
PROPRIETARY FUNDS
For the Year Ended December 31, 2023

	Water/ Wastewater	Novelty Hill Water/ Wastewater	Enterprise Funds Stormwater Management	Totals	Governmental Activities- Internal Service Funds
Operating revenues:					
Charges for services	\$ 26,020,657	\$ 6,022,901	\$ 14,877,306	\$ 46,920,864	\$ 29,769,010
Metro service	18,763,499	2,617,145	-	21,380,644	-
Charges for replacement	-	-	-	-	1,656,411
Charges for insurance	-	-	-	-	2,659,250
Total operating revenues	<u>44,784,156</u>	<u>8,640,046</u>	<u>14,877,306</u>	<u>68,301,508</u>	<u>34,084,671</u>
Operating expenses:					
Administrative and general	4,389,285	608,137	5,604,048	10,601,470	-
Purchased water	9,308,904	1,405,136	-	10,714,040	-
Metro service	18,009,130	2,702,973	-	20,712,103	-
Supplies	-	-	-	-	678,594
Maintenance and operations	5,904,308	1,396,188	3,554,197	10,854,693	29,941,520
Taxes	977,307	212,315	259,715	1,449,337	-
Depreciation and amortization	4,429,139	1,436,731	2,986,349	8,852,219	2,425,686
Total operating expenses	<u>43,018,073</u>	<u>7,761,480</u>	<u>12,404,309</u>	<u>63,183,862</u>	<u>33,045,800</u>
Operating income (loss)	<u>1,766,083</u>	<u>878,566</u>	<u>2,472,997</u>	<u>5,117,646</u>	<u>1,038,871</u>
Nonoperating revenues (expenses):					
Interest and investment revenue	2,120,107	1,664,272	2,737,017	6,521,396	906,920
Grant income	3,188,489	-	1,229,098	4,417,587	806,928
Interest expense	(2,550)	(10,965)	(323,561)	(337,076)	(66,745)
Gain (Loss) on disposal of capital assets	-	-	-	-	57,602
Insurance recovery	-	-	-	-	71,836
Lease and other revenue	151,036	84,610	19,848	255,494	591,551
Total nonoperating revenues (expenses)	<u>5,457,082</u>	<u>1,737,917</u>	<u>3,662,402</u>	<u>10,857,401</u>	<u>2,368,092</u>
Income before contributions and transfers	<u>7,223,165</u>	<u>2,616,483</u>	<u>6,135,399</u>	<u>15,975,047</u>	<u>3,406,963</u>
Capital contributions	11,203,635	176,850	3,379,038	14,759,523	-
Transfers in	-	-	255,514	255,514	5,029,845
Transfers out	(389,840)	(86,348)	(532,937)	(1,009,125)	-
Change in net position	<u>18,036,960</u>	<u>2,706,985</u>	<u>9,237,014</u>	<u>29,980,959</u>	<u>8,436,808</u>
Total net position - beginning	227,653,967	91,038,288	195,131,891	513,824,146	27,404,831
Total net position - ending	<u>\$ 245,690,927</u>	<u>\$ 93,745,273</u>	<u>\$ 204,368,905</u>	<u>\$ 543,805,105</u>	<u>\$ 35,841,639</u>

The notes to the financial statements are an integral part of this statement.

CITY OF REDMOND
STATEMENT OF CASH FLOWS
PROPRIETARY FUNDS
For the Year Ended December 31, 2023

Page 1 of 2

	Business-type Activities-				Governmental Activities-	
	Enterprise Funds		Internal Service Funds			
	Water/ Wastewater	Novelty Hill Water/ Wastewater	Stormwater Management	Totals		
CASH FLOWS FROM OPERATING ACTIVITIES						
Cash received from customers	\$ 45,054,793	\$ 8,283,648	\$ 14,763,679	\$ 68,102,120	\$	32,422,987
Cash received for replacement	-	-	-	-	1,656,411	
Cash from other sources	607,994	13,646	-	621,640	21,851	
Contributions from employers and employees	-	155	-	155	-	
Cash payments to suppliers	(29,706,787)	(4,403,881)	(1,716,991)	(35,827,659)	(8,325,156)	
Cash payments to employees	(6,457,673)	-	(5,036,502)	(11,494,175)	(23,364,351)	
Taxes payments to other governments	-	-	(220,751)	(220,751)	(106,404)	
Payments for interfund services	(2,373,135)	(1,732,778)	(3,156,749)	(7,262,662)	(948,515)	
Other operating receipts	191,397	112,905	19,848	324,150	663,389	
Net cash provided (used) by operating activities	<u>7,316,589</u>	<u>2,273,695</u>	<u>4,652,534</u>	<u>14,242,818</u>	<u>2,020,212</u>	
CASH FLOWS FROM NONCAPITAL FINANCING ACTIVITIES						
Transfers in/transfers out	(389,840)	(86,348)	(277,423)	(753,611)	5,029,845	
Grant proceeds	3,126,015	-	581,077	3,707,092	806,928	
Net cash provided by noncapital financing activities	<u>2,736,175</u>	<u>(86,348)</u>	<u>303,654</u>	<u>2,953,481</u>	<u>5,836,773</u>	
CASH FLOWS FROM CAPITAL AND RELATED FINANCING ACTIVITIES						
Acquisition and construction of capital assets	(11,756,676)	(181,392)	(2,053,374)	(13,991,442)	(2,216,106)	
Capital contributions	7,024,790	-	1,752,627	8,777,417	-	
Grant Proceeds	-	-	865,436	865,436	-	
Interest paid on other debt	-	-	(79,758)	(79,758)	-	
Principal paid on other debt	-	-	(212,936)	(212,936)	-	
Bond issuance cost	-	-	-	-	-	
Proceeds from bond issuance	-	-	-	-	-	
Deposit to escrow for refunded bonds	-	-	-	-	-	
Interest paid on revenue bonds	-	-	(372,328)	(372,328)	-	
Principal paid on revenue bonds	-	-	(1,295,000)	(1,295,000)	-	
Net cash provided (used) for capital and related financing activities	<u>(4,731,886)</u>	<u>(181,392)</u>	<u>(1,395,333)</u>	<u>(6,308,611)</u>	<u>(2,216,106)</u>	
CASH FLOWS FROM INVESTING ACTIVITIES						
Investment purchases	(11,338,264)	(5,583,504)	(9,685,961)	(26,607,729)	(9,880,578)	
Investment sales/maturities	7,187,337	3,539,389	6,139,940	16,866,666	6,263,309	
Interest on investments	1,397,240	1,063,024	1,820,777	4,281,041	655,996	
Net cash provided (used) in investing activities	<u>(2,753,687)</u>	<u>(981,091)</u>	<u>(1,725,244)</u>	<u>(5,460,022)</u>	<u>(2,961,273)</u>	
Net increase (decrease) in cash and cash equivalents	2,567,191	1,024,864	1,835,611	5,427,666	2,679,606	
Cash and cash equivalents-beginning of year	20,861,704	15,981,977	26,376,062	63,219,743	8,288,099	
Cash and cash equivalents-end of year	<u>\$ 23,428,895</u>	<u>\$ 17,006,841</u>	<u>\$ 28,211,673</u>	<u>\$ 68,647,409</u>	<u>\$ 10,967,705</u>	

The notes to the financial statements are an integral part of this statement.

CITY OF REDMOND
STATEMENT OF CASH FLOWS
PROPRIETARY FUNDS

For the Year Ended December 31, 2023

Page 2 of 2

	Water/ Wastewater	Novelty Hill Water/ Wastewater	Enterprise Funds Stormwater Management	Totals	Governmental Activities- Internal Service Funds
Cash and cash equivalents					
Cash and cash equivalents	\$ 23,413,022	\$ 16,974,841	\$ 28,201,573	\$ 68,589,436	\$ 10,967,705
Customer deposits	15,873	32,000	10,100	57,973	-
Cash and cash equivalents-end of year	<u>\$ 23,428,895</u>	<u>\$ 17,006,841</u>	<u>\$ 28,211,673</u>	<u>\$ 68,647,409</u>	<u>\$ 10,967,705</u>

Reconciliation of operating income to net cash provided by operating activities:

Operating income (loss)	\$ 1,766,083	\$ 878,566	\$ 2,472,997	\$ 5,117,646	\$ 1,038,871
Adjustments to reconcile operating income to net cash provided by operating activities:					
Depreciation and amortization	4,429,139	1,436,731	2,986,349	8,852,219	2,425,686
Other receipts	191,397	112,905	19,848	324,150	663,389
Decrease (increase) in accounts receivable	270,636	(356,399)	(113,627)	(199,390)	(5,273)
Decrease (increase) in inventory	56,856	-	-	56,856	8,462
Decrease (increase) in lease asset	(6,347)	(24,226)	(989)	(31,562)	(936,518)
Decrease (increase) in prepaid expenses	-	-	-	-	(320,854)
Decrease (increase) in deferred outflows	141,701	-	113,984	255,685	146,622
Decrease (increase) in net pension assets	(129,663)	-	(104,300)	(233,963)	(142,629)
Increase (decrease) in accounts payable	-	2	(48,724)	(48,722)	32,157
Increase (decrease) due to other governments	1,585,301	225,960	38,964	1,850,225	(84,553)
Increase (decrease) due to other funds	-	-	-	-	171,164
Increase (decrease) in employee wages payable	(40,989)	151	(23,892)	(64,730)	(32,839)
Increase (decrease) in compensated absences payable	(288,028)	5	(157,689)	(445,712)	(257,982)
Increase (decrease) in retainage payable	(138)	-	-	(138)	2,620
Increase (decrease) in deferred inflows	(530,999)	-	(427,134)	(958,133)	(558,051)
Increase (decrease) in pension liability	(128,360)	-	(103,253)	(231,613)	(130,060)
Net cash provided (used) by operating activities	<u>\$ 7,316,589</u>	<u>\$ 2,273,695</u>	<u>\$ 4,652,534</u>	<u>\$ 14,242,818</u>	<u>\$ 2,020,212</u>

Noncash investing, capital and financing activities:

Developers contributed infrastructure valued at	\$ 4,178,845	\$ 176,850	\$ 1,626,412	\$ 5,982,107	\$ -
Increase (decrease) in fair value of investments	623,165	500,837	823,025	1,947,027	206,955
Right-to-use SBITA assets	51,961	182,283	10,482	244,726	3,294,639

The notes to the financial statements are an integral part of this statement.

NOTES TO THE FINANCIAL STATEMENTS

Note 1: Summary of Significant Accounting Policies

The City of Redmond was incorporated on December 31, 1912 and operates under the laws of the State of Washington applicable to a Non-Charter Mayor/Council form of government (elected Mayor and City Council composed of seven members). Both Mayor and Council are elected to four-year terms. The City provides general government services including public safety, highways and streets, parks and recreation, planning and zoning, permits and inspection, sanitation, general administrative, and water and wastewater services.

The accounting and reporting policies of the City of Redmond conform to generally accepted accounting principles for governments and are regulated by the Washington State Auditor's Office.

The City's Annual Comprehensive Financial Report (ACFR) is prepared in accordance with Governmental Accounting Standards Board (GASB) Statements and the following notes detail the City's significant accounting policies.

Reporting Entity

The City's ACFR includes the financial statements for the City of Redmond and its component units; entities for which the City is considered to be financially accountable. The City has two blended component units, Redmond Community Facilities District 2014-1 (CFD 2014-1), which was created in 2014 for the purpose of financing the construction of a pedestrian/bicycle bridge over SR 520 at the Overlake Transit Station, and Redmond Community Facilities District 2016-1 (CFD 2016-1), which was created in 2016 for the purpose of financing northeast 40th Street Trunkline Project and multimodal improvements on 154th Avenue northeast and northeast 51st Street, and northeast 31st Street and 156th Avenue northeast. The CFDs are reported as blended component units in the Capital Investments Program funds of the City of Redmond because the City appoints a majority of the Board members, has the ability to impose its will on the organizations through the ability to appoint, hire, reassign or dismiss those persons responsible for the day-to-day operation of the organizations, and the CFD's services are primarily provided to the City. (See Note 14 - Component Units for additional information.)

Basic Financial Statements

The City's basic financial statements consist of government-wide statements, including a Statement of Net Position and a Statement of Activities, and fund financial statements which provide a more detailed level of financial information.

The government-wide financial statements report information on all of the activities of the primary government and its component units. To the extent possible, the effect of inter-fund activity has been removed from these statements. Governmental activities, which normally are supported by taxes and intergovernmental revenues, are reported separately from business-type activities, which rely primarily on fees and charges for support.

The Statement of Activities demonstrates the degree to which the direct expenses of a given function or segments are offset by program revenues. Direct expenses are those that are clearly identifiable with a specific function or segment. Program revenues include 1) charges to customers or applicants who purchase, use, or directly benefit from goods, services, or privileges provided by a given function or segment and 2) grants and contributions that are restricted to meeting the operational or capital requirements of a particular function or segment. Taxes and other items not properly included among program revenues are reported instead as general revenues.

Separate fund financial statements are provided for governmental funds, proprietary funds, even though the latter are excluded from the government-wide financial statements. Major individual governmental funds and all individual enterprise funds are reported as separate columns in the fund financial statements.

Measurement Focus and Basis of Accounting

The government-wide financial statements are reported using the economic resources measurement focus and the accrual basis of accounting, as are the proprietary fund financial statements. Revenues are recorded when earned, and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property taxes are recognized as revenues in the year for which they are levied. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been met.

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the City considers revenues to be available if they are collected within 60 days of the end of the current fiscal period. In unusual circumstances, where payment has been delayed beyond the 60-day cut off, the City may recognize the revenue base on normal collection patterns as to not mislead the reader or distort revenue trends from one year to the next. Expenditures generally are recorded when a liability is incurred, as under accrual accounting. However, debt service expenditures, as well as expenditures related to compensated absences and claims and judgments, are recorded only when payment is due.

Under the modified accrual basis of accounting, property taxes, sales taxes, utility taxes, franchise taxes, and interest associated with the current fiscal period are all considered to be susceptible to accrual and so have been recognized as revenues of the current period. Grant revenue is recognized for cost reimbursement grants when the expenditure occurs in accordance with GASB. When the expenditure is incurred, grant revenue is considered to have been earned and therefore available and recognized as revenue. Entitlement grant revenue is not tied to expenditures and is recognized when the City is entitled to receive it according to the grant agreement.

Financial Statement Presentation

The City reports the following major governmental funds:

The **General Fund** is the general operating fund of the City. It accounts for all financial resources and transactions except those required to be accounted for in another fund. The **Firefighters Pension Plan** is reported in the General Fund, as conveyed in Note 7 – Pensions.

The **Capital Investments Program Fund** accounts for financial resources to be used for the acquisition, construction, and preservation of major capital facilities other than those financed by proprietary funds.

The City reports the following major proprietary funds:

The **Water/Wastewater Fund** accounts for the activities of providing water and sewer services to its citizens. The utilities operations are self-supported through user charges.

The **UPD Water/Wastewater Fund** accounts for the activities of providing water and sewer services to an urban planned development outside the City limits. The utilities' operations are self-supported through user charges.

The **Stormwater Management Fund** accounts for the operation, construction, and maintenance of the City's stormwater management system. The utility's operations are self-supported through fees.

Additionally, the City reports the following fund types:

Internal Service Funds account for fleet maintenance, information technology, and insurance services provided to other departments of the City on a cost reimbursement basis.

Special Revenue Funds are used to account for specific revenues that are restricted to or reserved for expenditures for particular purposes.

Debt Service Funds account for the accumulation of resources for and the payment of general obligation and special assessment bonds.

As a general rule the effect of interfund activity has been eliminated from the government-wide financial statements. Direct expenses of the functional categories are included in the government-wide Statement of Activities while indirect expense allocations are eliminated. Indirect expenses are primarily charged to the various functions through the use of internal service funds for fleet maintenance and information technology. Elimination of payments to internal service funds are treated as expense reductions. No other indirect expenses are allocated to the various governmental functions. Exceptions to this general rule are payments-in-lieu of taxes and other charges between the government's utility functions and various other functions of the government. Elimination of these charges would distort the direct costs and program revenues reported for the various functions concerned.

Amounts reported as program revenues include 1) charges to customers or applicants for goods, services, or privileges provided, 2) operating grants and contributions, and 3) capital grants and contributions, including special assessments. Internally dedicated resources are reported as general revenues rather than as program revenues. Likewise, general revenues include all taxes.

The proprietary fund statements distinguish operating revenues and expenses from non-operating items. Operating revenues and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. The principal operating revenues of the City's utility funds and internal service funds are charges to customers for sales and services, vehicle replacement, and insurance. The City also recognizes as operating revenue the portion of utility connection fees intended to recover the cost of connecting new customers to the water and sewer system. Operating expenses for enterprise funds and internal service funds include the cost of sales and services, administrative expenses, taxes, and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as non-operating revenues and expenses.

Budgets and Budgetary Accounting

The City of Redmond budgets its funds in accordance with the Revised Code of Washington (RCW) 35A.34. In compliance with the code, budgets for all funds are established with the exception of the Local Improvement District (LID) Control and the LID Guaranty Debt Service Funds. Budgets established for proprietary funds are "management budgets" and as such are not required to be shown in this report.

The biennial budget is proposed by the Mayor and adopted by the City Council with legal budgetary control at the fund level for all funds. Expenditures and other financing uses may not exceed budgeted appropriations at these levels. The Mayor may authorize transfers within all funds. The City Council must approve by ordinance any additional appropriations which increase the total at the fund level. Any unexpended appropriation balances lapse at the end of the biennium.

In addition to authorizing the budget, the City Council biennially approves the Capital Investments Program and Business Technology Investment Program. This is a six-year plan for capital and technology project expenditures and anticipated revenue sources. Expenditures and revenues for these projects are budgeted in the Capital Projects Funds, Enterprise Funds and Internal Service Funds.

The City prepares all biennial budgets on the modified accrual basis which conforms to generally accepted accounting principles. The ACFR includes budgetary comparisons for the general

funds with legally adopted budgets.

The budget process and the time limits under which a budget must be developed are established by State law. The City uses a "budgeting for outcomes" format and follows the procedures outlined below in the year preceding the first year of the two-year budget to establish its biennial budget:

- In winter, community meetings are held to affirm or revise the City's budget priorities. The Mayor appoints staff and citizens to teams which interpret these priorities and develop the primary factors that the City should support to pursue the given priority. These factors are used by staff to develop budget offers.

- In spring, the Mayor develops and submits a budget calendar to the City Council for approval.
- In June, the City Clerk publishes notice for the first public hearing. Also, around mid-year staff prepares a six-year forecast and reviews this forecast with the City Council at a public meeting.
- Throughout the summer, City staff create budget offers and review revenue and expenditure estimates.
- In October, preliminary budget estimates are made available to the public.
- Sixty days before the ensuing fiscal year, the Mayor files the preliminary budget with the City Clerk's office.
- During the first two weeks of November, the City Clerk publishes notice of the filing of the preliminary budget and publishes notice of public hearings.
- The City Council holds a series of study sessions to review the preliminary budget to determine if they wish to make any modifications to the Mayor's recommended programs.
- Public hearings are held prior to the adoption of the budget for the public to comment on recommended programs and to offer ideas for new programs.
- Prior to the beginning of the first calendar year of the biennial budget, the City Council, by a majority of the members present, adopts a final operating budget by ordinance.
- The Final Budget document is printed and distributed and posted on the City's website after adoption.

Assets, Liabilities, and Net Position

Cash and Investments

It is the City's policy to invest temporary cash surpluses. These investments are reported on the Statement of Net Position and the governmental funds Balance Sheet as cash and cash equivalents or investments. Included in cash and cash equivalents are currency on hand, demand deposits with banks or other financial institutions, investments with the Local Government Investment Pool, investments in U.S. Government Mutual Funds, and investments with original maturities of three months or less. Interest is allocated to each fund on the basis of investments owned.

In accordance with City policy and Washington State law, authorized investment purchases include Certificates of Deposit with financial institutions qualified by the Washington Public Deposit Protection Commission, US Treasury and Agency Securities, Bankers' Acceptances, Bonds of Washington State and any local government in Washington State which have, at the time of purchase, one of the three highest credit ratings of a nationally recognized rating agency, repurchase agreements, the State Investment Pool and mutual funds used specifically for debt issues related to arbitrage.

The City reports its deposit and investment risk disclosures in accordance with GASB (see Note 3).

In accordance with GASB, money market investments, and participating interest-earning investment contracts with remaining maturities of one year or less at the time of purchase are stated at amortized cost. All other investments are stated at fair value.

Receivables

The City of Redmond recognizes receivables in its financial statements based on the accounting requirements for that statement. These receivables are as follows:

Property Taxes

The City's property tax collections records show that approximately 99% of the property taxes due are collected during the year of levy and delinquent taxes are collected in the next few years. The City performs an analysis of all uncollected property taxes to test materiality of the uncollected balance as well as the collectability. Based on this analysis the City will determine the classification of the uncollected portion of property taxes; revenue versus uncollected property taxes. When property taxes become three years

delinquent, the County is required by State statute to foreclose on the property. Historically, all taxes have been collected; therefore, no allowance for uncollectible taxes is recorded.

Sales Taxes

There is a running two-month lag in remittance of sales tax to the City. Sales taxes collected in November and December are not remitted by the State to the City until January and February of the following year and they are reported as receivables at year-end. There is no allowance for uncollectible sales taxes because all sales taxes are required by law to be collected by businesses at the time of sale and remitted to the State.

Investment Interest

Interest receivable consists of interest earned on investments at the end of the year, accrued interest on investments purchased between interest dates, and accrued interest and penalties on special assessments receivable. In proprietary funds and the government-wide Statement of Net Position, investment interest is recorded as receivable, regardless of its payment date. In the governmental fund statements and schedules, investment interest is recorded as receivable if it will be paid to the City within 60 days of year-end.

Accounts Receivable

Customer accounts receivable consist of amounts owed by private individuals or organizations for goods and services provided. Unbilled services provided to utility customers are estimated at year-end and included in accounts receivable. Uncollectible amounts are considered immaterial, and the direct write-off method is used.

Interfund Transactions

Activity between funds that is representative of lending/borrowing arrangements outstanding at the end of the fiscal year are referred to as either "due to/from other funds" (i.e. the current portion of interfund loans) or "advances to/from other funds" (i.e. the non-current portion of interfund loans). All other outstanding balances between funds are reported as "due to/from other funds". Any residual balances outstanding between the governmental activities and business-type activities are reported in the government-wide financial statements as "internal balances."

Inventories

Inventories are defined as assets which may be held for internal consumption or for resale. The City uses the following policies in valuing and recording inventory items:

In proprietary funds a perpetual inventory is maintained, in which the cost is held in an asset account when inventory items are purchased, and expensed when the item is consumed. The first-in, first-out valuation method, which approximates market, is used to value the inventory. A physical inventory is taken at year-end. No inventory is maintained in governmental funds; however, the internal service fund inventories are included in the "Governmental Activities" on the Statement of Net Position.

Restricted Assets

Restricted assets include those monies reserved for customers' deposits, bond reserve monies and impact fees.

Advance on Service Contract

For fiscal years prior to December 31, 2012, the City amortized the Tolt Pipeline project and the Tolt Meter project with the City of Seattle in accordance with GAAP. In further review, this is not a deferred outflow of resources but rather an advance on a service contract.

Capital Assets

General capital assets are those assets not specifically related to activities reported in the proprietary funds. These assets generally result from expenditures in the governmental funds. These assets are reported in the governmental activities column of the government-wide Statement of Net Position but are not reported in the fund financial statements. Capital assets utilized by the proprietary funds are reported both in the business-type activities column of the government-wide Statement of Net Position and in the respective funds. Capital assets are defined by the City as land, buildings, machinery, equipment, software, vehicles, transportation and utility infrastructure and other improvements with an original cost of \$10,000 or more each and an estimated useful life of more than one year, and all artwork regardless of its initial cost. Such assets are recorded at historical cost or estimated historical cost if purchased or constructed. Donated capital assets are recorded at acquisition value at the date of donation.

The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend assets' lives are not capitalized. Major outlays for capital assets and improvements are capitalized as projects are constructed.

Land, construction in progress, and works of art are not depreciated. Property, plant, and equipment of the City are depreciated using the straight-line method over the following estimated useful lives:

<u>Asset</u>	<u>Years</u>
Buildings/Building improvements	50
Other improvements	15-50
Vehicles	3-15
Machinery and equipment	6-20
Utility infrastructure	10-100
Streets, paths, trails	50
Street lights and traffic signals	30

Compensated Absences

It is the City's policy to permit employees to accumulate earned but unused vacation, compensatory time in lieu of overtime and sick leave benefits. Twenty-five percent of unused sick leave is payable at retirement or death. Any outstanding sick leave is lost at resignation; therefore, outstanding sick leave at year-end is not accrued because the payment cannot be deemed probable nor can the amount be reasonably estimated. All vacation and compensatory time is accrued when incurred in the government-wide and proprietary fund financial statements. A liability for these amounts is reported in governmental funds only if they have matured, for example, as a result of employee resignations and retirements.

Pensions

For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the net position of all state sponsored pension plans and additions to/deductions from those plans net position have been determined on the same basis as they are reported by the Washington State Department of Retirement Systems. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value.

For purposes of calculating the restricted net position related to the net pension asset, the City includes the net pension asset and the related deferred outflows and deferred inflows.

Other Post-Employment Benefits (OPEB)

Lifetime full medical coverage is provided to uniformed Police and Fire personnel who became members of the Law Enforcement Officers and Fire Fighters (LEOFF 1) retirement system prior to October 1, 1977. The actual medical costs are reported as expenditures in the year they are incurred and are paid out of the General Fund. A liability for the accumulated unfunded actuarially required contribution and deferred outflow of resources is reported in the Statement of Net Position. For purposes of measuring the net OPEB liability, deferred outflows of resources and deferred inflows of resources related to OPEB the City used the alternative measurement method.

Deferred Outflows/Inflows of Resources

In addition to assets, the Statement of Net Position will sometimes report a separate section for deferred outflows of resources. This separate financial statement element, *deferred outflows of resources*, represents a consumption of net assets that applies to a future period and so will *not* be recognized as an outflow of resources (expense/expenditure) until then. The City has three items that qualify for reporting in this category:

- Deferred charges on debt refunding result from the difference in the carrying value of refunded debt and the reacquisition price. This amount is deferred and amortized over the shorter of the life of the refunded or refunding debt. Deferred outflows related to debt is discussed in detail in Note 11: Long-Term Obligations;
- Deferred outflows related to pension plans are discussed in detail in Note 7: Pension Plans; and
- Deferred outflows related to asset retirement obligations as discussed in detail in Note 20: Asset Retirement Obligation.

In addition to liabilities, the Statement of Net Position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element, *deferred inflows of resources*, represents an acquisition of net assets that apply to a future period and so will *not* be recognized as an inflow of resources (revenue) until that time. The City has three items that qualify for reporting in this category:

- Deferred inflows related to pension plans are discussed in detail in Note 7: Pension Plans
- Deferred inflows related to the other postemployment benefits are discussed in detail in Note 8: Defined Benefit Other Postemployment Benefits; and
- Deferred inflows related to leases are discussed in Note 12: Leases & Subscription-Based IT Arrangements (SBITA)

Long-Term Obligations

In the government-wide financial statements and proprietary fund types in the fund financial statements, long-term debt and other long-term obligations are reported as liabilities in the applicable governmental activities, business-type activities, or proprietary fund type Statement of Net Position. Bond premiums and discounts are deferred and amortized over the life of the bonds using the straight-line method. Bonds payable are reported net of the applicable bond premium or discount.

In the fund financial statements, governmental fund types recognize bond premiums and discounts, as well as bond issuance costs, during the current period. The face amount of debt issued is reported as other financing sources. Premiums received on debt issuances are reported as other financing sources while discounts on debt issuances are reported as other financing uses. Issuance costs, whether or not withheld from the actual debt proceeds received, are reported as debt service expenditures.

Leases

The City is a lessee on a variety of leases. The lease liability and a lease asset are measured at the commencement of the lease term. The lease liability is measured at the present value of payments expected to be made during the noncancellable lease term and uses the stated discount rate or if the rate is not readily available, the incremental borrowing rate is used.

The city reduces the lease liability by the principal portion of the payments made and recognizes an outflow of resources for interest on the liability. The lease asset is amortized on a straight-line basis over the lease term.

The city is a lessor on multiple leases. The city recognizes a lease receivable and a deferred inflow of resources at the commencement of the lease term. The lease receivable is measured at the present value of lease payments expected to be received during the lease term and uses the stated discount rate or the incremental borrowing rate if the discount rate is not known. The deferred inflow of resources are measured at the value of the lease receivable.

The city recognizes interest revenue on the lease receivable and an inflow of resources from the deferred inflows of resources over the term of the lease. The lease receivable is reduced by the principal payments received and the deferred inflow of resources is recognized as revenue over the life of the lease term.

Subscription-Based Information Technology Arrangements (SBITA)

The City is a lessee for subscription-based information technology arrangements (SBITA).

The City recognizes the subscription liability at the start of the subscription term, which occurs when the subscription asset is put into service. The subscription liability is initially measured at the present value of the expected subscription payments throughout the subscription term. Future payments are discounted using the interest rate charged by the SBITA vendor to the City, which may be implicit, or the government's incremental borrowing rate if the interest rate is not readily available. The City records the amortization of the discount on the subscription liability as an outflow of resources in subsequent financial reporting periods.

The subscription asset is initially measured as the total of (1) the initial subscription liability amount, (2) any payments made to the SBITA vendor before the subscription term begins, and (3) capitalized implementation costs minus any incentives received from the SBITA vendor at or before the commencement of the subscription term. The City recognizes the amortization of the subscription asset as an outflow of resources over the subscription term.

Fund Balance

In the fund financial statements, governmental funds report reservations of fund balance for amounts that are not available for appropriation or are legally restricted by outside parties for use for a specific purpose. Fund balances are categorized as Nonspendable or Spendable amounts as follows:

Nonspendable Fund Balance: fund resources that are in a form that either *never* could be spent or in a form that is *temporarily* not spendable. This can include resources that are spendable in form but are under legal restrictions that temporarily or permanently bar spending.

Spendable amounts are further segregated into categories based on the degree to which the uses of resources are constrained.

- *Restricted Fund Balance:* fund resources that are subject to restrictions that are *legally enforceable* by *outside parties*. This includes resources raised through enabling legislation.
- *Committed Fund Balance:* fund resources that are legally limited by the resolution by the City Council. A resolution must be taken to impose limitations on the use of these resources, and another resolution is required to modify or eliminate those limitations.
- *Assigned Fund Balance:* fund resources that are limited by the mayor, or department directors based on delegation, for its intended use. This type of limitation can be imposed by the highest level of decision making within the entity or a designee, but little or no formal action is required to modify or eliminate those limitations.
- *Unassigned Fund Balance:* Unrestricted fund balance not committed or assigned in the General Fund is considered unassigned. Also, negative fund balance in any other governmental fund is unassigned. The city only reports positive unassigned fund balance in the General Fund.

Flow assumption: When expenditure is incurred for purposes for which both restricted and unrestricted resources are available, it is the City's policy to use restricted resources first. When expenditure is incurred for purposes for which unrestricted (committed, assigned, and unassigned) resources are available, and amounts in any of these unrestricted classifications could be used, it is the City's policy to spend committed resources first, then assigned and unassigned, in that order. However, prior to the commencement of any project, the flow assumption is reviewed to ensure that the proper resources are being used.

The proprietary fund's policy at the City is to use restricted resources first, when both restricted and unrestricted resources are available to liquidate a particular expense.

Note 2: Reconciliation of Government-Wide and Fund Financial Statements

Explanation of aggregated differences between the governmental fund balance sheet and the government-wide statement of net position

The governmental fund balance sheet includes reconciliation between total fund balance and total net position as reported in the government-wide statement of net position. The details of the aggregated differences are presented below.

Some liabilities, including bonds, loans and compensated absences payable, are not due and payable in the current period and therefore are not reported in the funds:

GO Bonds payable	\$	(47,145,000)
Unamortized bond premiums		(3,670,469)
Deferred outflows on refunding		2,001,964
Loans payable		(755,606)
Lease payable		(2,904,300)
SBITA payable		(228,800)
Accrued interest payable		(153,330)
Compensated absences		(7,176,467)
Net adjustment to reduce fund balance-total governmental funds to arrive at net position – governmental activities	\$	(60,032,008)

The net pension asset, net pension liability, and deferred inflows and deferred outflows are reported in the government-wide statement of net position but not in the governmental balance sheet:

Net pension asset	\$	32,099,444
Deferred outflows of resources		22,689,328
Other post-employment benefits		(15,383,941)
Asset retirement obligations		(268,123)
Net pension liability		(4,732,091)
Total pension liability-FPP		(502,482)
Deferred inflows of resources		(13,399,617)
Net adjustment to reduce fund balance-total governmental funds to arrive at net position – governmental activities	\$	20,502,517

Unavailable revenues are susceptible to full accrual in the government-wide statements and are reported as deferred inflows in the government funds:

Unavailable revenue	\$	10,839,279
Adjustment		(3,650,901)
Net adjustment to reduce fund balance-total governmental funds to arrive at net position – governmental activities	\$	<u>7,188,378</u>

Explanation of aggregated differences between the governmental fund statement of revenues, expenditures, and changes in fund balances and the government-wide statement of activities.

The governmental fund statement of revenues, expenditures, and changes in fund balances includes reconciliation between net changes in fund balances – total governmental funds and changes in the net position of governmental activities as reported in the government-wide statement of activities. The details of the aggregated differences are presented below.

Revenues in the statement of activities that do not provide current financial resources are not reported as revenues in the funds:

Developer/Private asset contributions	\$	3,776,136
King County property tax accrual		(372,897)
Other financing source-lease & SBITA		(377,566)
Net adjustment to increase net change in fund balances - governmental funds to arrive at change in net position-governmental activities	\$	<u>3,025,673</u>

Repayment of the principal of long-term debt consumes the current financial resources of governmental funds, and governmental funds report the effect of premiums, discounts, and similar items when debt is first issued. In contrast, these amounts are deferred and amortized in the government-wide statement of activities:

<u>Principal repayments (Changes/Net Diff):</u>		
General obligation bonds	\$	3,960,000
Public Works Trust Fund Loans repayment		94,451
Amortization/(addition) of debt premiums		379,846
Amortization of deferred outflows on refunding		(211,062)
Lease principal payments on long-term debt		506,476
Net adjustment to decrease net change in fund balances-governmental funds to arrive at change in net position-governmental activities	\$	<u>4,729,711</u>

Some expenses reported in the statement of activities do not require the use of current financial resources and, therefore are not reported as expenditures in governmental funds:

Change in accrued interest payable	\$	16,855
Change in compensated absences payable		6,017,457
Change in other post-employment benefits payable		(1,533,662)
Change in current amortization expense of ARO		<u>(628,056)</u>
Net adjustment to decrease net change in fund balances- governmental funds to arrive at change in net position- governmental activities	\$	<u><u>3,872,594</u></u>

Change in pensions:		
Pension asset		(2,692,313)
Deferred outflows of pension		1,402,454
Net pension obligations		958,940
Firefighters pension plan liabilities		10,962
Deferred inflows of pension		<u>8,440,729</u>
		8,120,771

NOTE 3:

Deposits and Investments

Deposits

As of December 31, 2023, the carrying amount of the City's cash demand deposits with KeyBank was \$2,560,743, and the in-transit items were \$459,757. In addition, \$8,019,434 was held in a public fund money market account at Pacific Premier Bank. A total of \$951,466 retained from contractors pending acceptance of City construction projects was held in escrow or savings accounts at various banks. Another \$61,735 was held in a City of Redmond Client Trust Account at Bank of America, and \$2,406,140 is held in ARCH Housing Trust Fund Account outside agency. Imprest funds totaled \$48,500, of which \$33,570 was allocated to various City offices.

Custodial Credit Risk. Custodial credit risk for deposits is the risk that in the event of a bank failure, the City will not be able to recover deposits or collateral securities that are in the possession of an outside party. The City of Redmond's deposits are covered by the Federal Deposit Insurance Corporation (FDIC) or by collateral held in a multiple financial institution collateral pool administered by the Washington Public Deposit Protection Commission (WPDPC). The FDIC insures the first \$250,000 of the City's deposits. The WPDPC insures deposit balances over \$250,000. State statute permits additional amounts to be assessed pro-rata to members of the WPDPC pool if the pool's collateral is insufficient to cover a loss.

Investments

The City of Redmond's policy is to invest public funds in a manner that will provide maximum security, meet daily cash flow demands, and strive for a high investment return while conforming to all laws and regulations governing the investment of public funds, as defined in RCWs 39.58, 39.59, and 43.250. The City Council approves the City's Investment Policy, and management responsibility for the investment program is delegated to the City's Investment Oversight Committee.

Authorized investments include the following:

1. Investment deposits, including certificates of deposit, with qualified public depositories.
2. Certificates, notes, or bonds of the United States, or other obligations of the United States or its agencies, or of any corporation wholly owned by the government of the United States.
3. Obligations of government-sponsored corporations that are eligible as collateral for advances to member banks as determined by the Board of Governors of the Federal Reserve System. These include but are not limited to, Federal Home Loan Bank notes, and bonds, Federal Farm Credit Bank consolidated notes and bonds, and Federal National Mortgage Association notes, bonds, and guaranteed certificates of participation.
4. Bankers' acceptances purchased on the secondary market.
5. Bonds of the State of Washington and any local government in the State of Washington that have one of the three highest credit ratings of a nationally recognized rating agency at the time of investment.
6. Repurchase agreements for securities listed in 2, 3, and 4 above, provided that the transaction is structured so that the City of Redmond obtains control over the underlying securities and a Master Repurchase Agreement has been signed with the bank or dealer.
7. State Investment Pool.
8. Commercial paper purchased in the secondary market has received the highest rating by at least two Nationally Recognized Statistical Rating Organizations (NRSROs) at the time of purchase and adhering to the investment policies and procedures adopted by the State Investment Board.
9. Mutual funds, escrow accounts, public fund money market accounts, or cash-type accounts used specifically for the proceeds of municipal securities.
10. State of Washington Separately Managed Account.

Investments are stated at fair value, based on quoted market prices in accordance with Governmental Accounting Standards Board (GASB) Statement 72, *Fair Value Measurement and Application*. Accordingly, the change in the fair value of investments is recognized as an increase or decrease in the investment assets and income. Interest income on investments is recognized as earned in non-operating revenue. Changes in the fair value of investments are identified on the Statements of Revenues, Expenses, and Changes in Net Position.

Interest Rate Risk. Interest rate risk is the risk the City may face should interest rate variances affect the fair value of investments. To limit its exposure to interest rate risk, the City's policy requires that it diversify its investments by security type and institution and limit holdings in any type of investment with any one issuer. The City coordinates its investment maturities to match cash flow needs closely, and unless matched to a specific cash flow or restricted by state guidelines, the City restricts the maximum investment term to less than five years from the purchase date.

Credit Risk. Credit risk is the risk that an issuer or other counterparty to an investment will not fulfill its obligations. State law and city policy limit investments to those authorized by state statute, including commercial paper and bonds of the State of Washington and any local government in the State of Washington which have, at the time of investment, one of the three highest credit ratings of a nationally recognized rating agency. The City further limits its holdings in commercial paper to 10% of the portfolio and 10% per issuer and local government bonds to 25% of the portfolio and 10% per issuer. As of December 31, 2023, the City held no investments in commercial paper. Additionally, the City restricts its investment in mutual fund bonds for arbitrage purposes only.

Custodial Credit Risk. Custodial credit risk is the risk that in the event of a failure of the counterparty, the City will not be able to recover the value of its investment or collateral securities that are in the possession of an outside party. The City's Investment Policy requires that all security transactions, including collateral for repurchase agreements, be conducted on a delivery-versus-payment (DVP) basis and be held in safekeeping in the City's name by a third-party custodian.

Concentration of Credit Risk. Concentration of credit risk is the risk of loss attributable to the magnitude of an investment in a single issuer. The City diversifies its investments by security type and institution. 100% of the City's portfolio may be invested in U.S. Treasury notes, bonds or certificates, U.S. government-sponsored corporations, or the State Investment Pool. 50% of the portfolio may be invested in certificates of deposit with no more than 10% held by any issuer and not exceeding 20% of the issuer's net worth. 25% of the portfolio may be invested in bankers' acceptances (10% per issuer), State of Washington or local government bonds (10% per issuer), or repurchase agreements (25% per dealer). 10% of the portfolio may be invested in commercial paper (10% per issuer).

Investments in the Local Government Investment Pool (LGIP)

The City is a voluntary participant in the Local Government Investment Pool, an external investment pool authorized by Chapter 294, Laws of 1986. The LGIP is managed and operated by the Washington State Treasurer, and over 631 local governments have participated in the pool since it was started in 1986 to provide safe, liquid, and competitive investment options for local governments, according to RCW 43.250. In addition to the City's primary LGIP account, the City established a second LGIP account in 2022 to invest its bond proceeds related to the 2022 Limited Tax General Obligation (LTGO) Bonds for the Redmond Senior & Community Center building. The final spend-down of these bond proceeds occurred in mid-2023, and the City subsequently closed the second LGIP account dedicated to the bond proceeds.

The LGIP is not rated or registered with the SEC and has no legally binding guarantees of share values. Oversight is provided by the State Finance Committee, which administers the statute that created the pool and adopts its rules. The State Treasurer is responsible for establishing the investment policy for the pool and reviews the policy annually, and any proposed changes are reviewed by the LGIP Advisory Committee.

Investments in the LGIP are reported at amortized cost, which approximates fair value and is the same as the pool's value per share. The LGIP manages a portfolio of securities that meet the maturity, quality, diversification, liquidity, and fair value calculation requirements set forth by GASB Statement 79, *Certain External Investment Pools and Pool Participants*, for external investment pools that elect to measure for financial reporting purposes, investments at amortized cost. The funds are limited to high-quality obligations with regulated maximum and average maturities to minimize market and credit risk. Investments are reported on a trade date basis per generally accepted accounting principles (GAAP).

The LGIP transacts with its participants at a stable net asset value per share of \$1.00, using the same method for reporting. The LGIP does not impose any restrictions on participant withdrawals, and participants may contribute or withdraw funds daily. Participants must inform the Office of the State Treasurer (OST) of any contribution or withdrawal over one million dollars no later than 9 a.m. on the same day the transaction is made. Contributions or withdrawals for one million dollars or less can be requested at any time before 10 a.m. at the sole discretion of the OST. All participants are required to file documentation with the State Treasurer containing the names and titles of

the officials authorized to contribute or withdraw funds. The LGIP does not impose liquidity fees or redemption gates on participant withdrawals.

The State Treasurer's Office prepares a stand-alone financial report for the pool. A copy is available from the Office of the State Treasurer, PO Box 40200, Olympia, Washington 98504-0200, or online at www.tre.wa.gov.

Investments in the Separately Managed Account

In 2020, the City of Redmond entered into an Interagency Agreement with the State of Washington's Office of the State Treasurer, authorizing the State Treasurer's Office to invest the City's core funds in a separately managed investment portfolio, as provided for in RCW 43.250. The State Treasurer's Office invests these funds in accordance with the State's investment policies and procedures and provides monthly reporting to the City. The City's separately managed account is intended for the investment of long-term core funds that are not required to meet short-term cash needs, and deposits and withdrawals are carried out by transferring funds in and out of the City's primary LGIP account.

Monies invested in the separately managed account are held separately and are not co-mingled with other state funds. Investments are valued using observable inputs, including quoted prices for similar securities and interest rates. The City does not record the individual transactions but records the net investment changes monthly. The State Treasurer's Office does security-level accounting, allowing investors to account for the portfolio as a single investment. As these are longer-term funds, the portfolio balance is reported at market value as of the valuation date. The State Treasurer's Office invests these funds in a diversified portfolio with a risk profile that is similar to the risk profile of the State's core portfolio, and the underlying assets have the same credit quality as U.S. Treasury securities, Government Sponsored Enterprises (GSEs), and the Supranational Institutions.

The State Treasurer's Office purchases investments in a separately managed account. They are held and registered in the State's name in the trust or safekeeping department of a financial institution, as established by a written third-party safekeeping agreement between the State and the financial institution.

Investments Measured at Amortized Cost

Investments reported as cash equivalents as of December 31, 2023:

	<u>Amortized Cost</u>	<u>Less Than 1 Year</u>
Money Market	8,019,434	8,019,434
Local Government Investment Pool – Primary	180,550,213	180,550,213
Total	\$ 188,569,647	\$ 188,569,647

Investments Measured at Fair Value

The City measures and reports investments at fair value using the valuation input hierarchy established by generally accepted accounting principles, as follows:

Level 1: Quoted prices in active markets for identical assets or liabilities.

Level 2: Quoted market prices for similar assets or liabilities, quoted prices for identical or comparable assets or liabilities in markets that are not active, or other than quoted prices that are not observable.

Level 3: Unobservable inputs for an asset or liability.

As of December 31, 2023, the City had the following investments measured at fair value:

Investment Type	Fair Value Measurement Using			Total
	Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)	
Separately Managed Portfolio	\$ -	\$ 219,098,838	\$ -	\$ 219,098,838
Total	\$ -	\$ 219,098,838	\$ -	\$ 219,098,838

The table below identifies the types of investments, concentration of investments in any one issuer, and maturities of the City's investment portfolio as of December 31, 2023:

Investment Type	Fair Value	Maturities		% of Total Portfolio
		Less Than 1 Year	More Than 1 Year	
Separately Managed Portfolio	\$ 219,098,838	\$ -	\$ 219,098,838	53.74%
<i>Investments Reported as Cash Equivalents:</i>				
Money Market	8,019,434	8,019,434	-	1.97%
Local Government Investment Pool	180,550,213	180,550,213	-	44.29%
Total	\$ 407,668,484	\$ 188,569,647	\$ 219,098,838	100.00%
Percentage of Total Portfolio		46.26%	53.74%	100.00%

The table below identifies the credit risk of the City's separately managed investment portfolio as of December 31, 2023:

Investment Type	Fair Value	Ratings	
		S&P	Moody's
U.S. Agency Securities			
Federal Farm Credit Bank	\$ 8,176,214	AA+	Aaa
Federal Home Loan Bank	31,414,264	AA+	Aaa
Federal Home Loan Mortgage Corporation	4,827,689	AA+	Aaa
Federal National Mortgage Association	7,106,973	AA+	Aaa
Subtotal	51,525,140		
U.S. Treasury Securities			
U.S. Treasury Notes	73,594,570	AA+	Aaa
U.S. Treasury Bills			
Subtotal	73,594,570		
Supranational			
Asian Development Bank	14,466,608	AAA	Aaa
International Finance Corporation	10,109,370	AAA	Aaa
Inter-American Development Bank	26,054,695	AAA	Aaa
Inter-American Invest Co/IDB Invest	2,565,029	AA+	Aa1
International Bank for Reconstruction & Development	14,276,692	AAA	Aaa
European Bank for Reconstruction & Development	5,071,215	AAA	Aaa
Subtotal	72,543,610		
LGIP Deposit Account	21,435,518		
Total	\$ 219,098,838		

Summary of Deposit and Investment Balances

Reconciliation of cash and investments by type to the financial statements as of December 31, 2023, is detailed in the following tables:

Cash & Investments by Type

KeyBank public checking	2,560,743
KeyBank Advance Travel	20,000
Deposits/Debits in transit at 12/31/2023	459,757
Checks/Credits in transit at 12/31/2023	(5,061,416)
Petty Cash/Change Fund - unallocated	13,570
Contractor's Retainage Money Market	951,466
CBRE - Client Trust Account	61,735
ARCH Housing Trust Fund - outside agency	2,406,140
Pacific Premier Bank-money market	8,019,434
State Investment Pool (LGIP)	180,550,213
WA State Treasurer-Separately Managed Portfolio	219,098,838
Grand Total Cash & Investments by Type	\$ 409,080,480

Cash & Investments by Statements	Cash & Equivalents*	Restricted Cash	Rate Stabilization Fund	Investments	Restricted Investments
Governmental Funds					
General Fund	\$ 46,691,723	\$ 916,367		\$ 49,106,942	\$ 5,110,149
Capital Improvement Program Fund	44,506,446	951,466		51,847,146	3,188
Other Governmental Funds	17,300,525	-		17,329,795	2,844,484
Proprietary Funds					
Water/Wastewater	23,413,022	15,873	3,877,811	23,460,865	-
UPD Water/Wastewater	16,974,841	32,000	1,929,266	17,901,954	-
Stormwater Management	28,201,573	10,100	-	30,898,426	1,999,954
Internal Service Funds	10,967,705	-	-	12,788,859	-
	\$ 188,055,835	\$ 1,925,806	\$ 5,807,077	\$ 203,333,987	\$ 9,957,775
Grand Total Cash & Investments by Statements					\$ 409,080,480

Gains and Losses on Investments

Realized gains and losses are computed as the difference between the proceeds of the sales and the original cost of the investments sold. The calculation of realized gains and losses is independent of a calculation of the net change in the fair value of investments. Realized gains and losses on investments held in more than one fiscal year and sold in the current year were included as a change in the fair value of investments reported in the prior year(s) and the current year.

NOTE 4

Governmental Fund Balances

Governmental fund balances are classified as non-spendable, restricted, committed, assigned, and unassigned. The non-spendable fund balance category includes amounts not available to be spent because they are not in spendable form or are legally required to be maintained intact. The city has prepaid expenditures which are not in spendable form. Restricted fund balance, such as those resulting from federal and state legislation, grant awards, bond covenants, and inter-local service agreements, is constrained externally. The committed fund balance is constrained by an ordinance or resolution adopted by the City Council and requires the same action to remove the constraint. Assigned fund balances are constrained by the government's intent to be used for a specific purpose but are not restricted or committed. Unassigned fund balance is the residual classification for the General Fund. The city only reports unassigned fund balances in the General Fund. The breakdown of each fund balance category from the Balance Sheet - Governmental Funds designated for a particular purpose is shown below.

	General	Capital Improvement	Other Governmental Funds	Total Governmental Funds
Fund balances:				
Non-spendable	\$ 2,002,220	\$ -	\$ 4,427	\$ 2,006,647
Restricted for:				
Cable access	-	-	26,512	26,512
Capital projects	-	58,176,371	22,276,581	80,452,952
Debt service	-	-	332,733	332,733
Fire (Public Safety)	647,783	-	-	647,783
General governmental maintenance	490,222	-	-	490,222
Opioid settlement	117,263	-	-	117,263
Parks	1,471,742	-	-	1,471,742
Planning-Transportation	70,461	-	1,034,724	1,105,185
Public safety	800,098	-	114,879	914,977
Recycling	-	-	1,283,776	1,283,776
Reserves (Public Safety)	454,814	-	-	454,814
Tourism	-	-	1,098,609	1,098,609
Committed to:				
Aid Car/Dispatch	-	-	636,429	636,429
Arts	356,487	-	-	356,487
Development review	-	-	7,043,524	7,043,524
Parks maintenance	846,004	-	-	846,004
Fire fighter pension (GASB 73)	2,996,821	-	-	2,996,821
Recreation activities	-	-	1,375,043	1,375,043
Assigned to:				
Capital projects	-	22,736,515	-	22,736,515
Capital equipment replacement	3,541,755	-	-	3,541,755
Community events	192,130	-	-	192,130
Fire equipment	5,698,994	-	-	5,698,994
Maintenance	15,436,187	-	-	15,436,187
Human services fund	1,020,081	-	-	1,020,081
Investigative fund	8,500	-	-	8,500
Parks	897,768	-	-	897,768
Real property fund	1,144,020	-	-	1,144,020
Reserves	6,867,212	-	-	6,867,212
Transportation	8,980,031	-	-	8,980,031
Travel advance fund	20,000	-	-	20,000
Business tax	1,955,889	-	-	1,955,889
Unassigned	44,633,460	-	(231,080)	44,402,380
Total fund balances	\$ 100,649,941	\$ 80,912,886	\$ 34,996,157	\$ 216,558,984

NOTE 5: Property Tax

The King County Treasurer acts as an agent to collect property taxes levied in the County for all taxing authorities. Collections are distributed on a daily basis.

Property Tax Calendar

January 1	Taxes are levied and become an enforceable lien against properties.
February 14	Tax bills are mailed.
April 30	First of two equal installment payments is due.
May 31	Assessed value of property established for next year's levy at 100 percent of market value.
October 31	Second installment is due.

Property taxes are recorded as a receivable when levied. During the year, property tax revenues are recognized when cash is received. At year-end, property tax revenues are recognized for December collections to be distributed by the county treasurer in January and February.

Under Washington State law a city may levy property taxes up to \$3.60 per \$1,000 of assessed valuation. The assessed value was \$39,133,688,267 for the City in 2023.

The City of Redmond's maximum property tax levy rate has been reduced from \$3.60 to \$3.10, or \$.50, as a result of annexing to the King County Library District in May 1990. In addition to the limitation previously noted, the City's levy rate is also subject to the following:

Washington State law in RCW 84.55.010 limits the growth of regular property taxes to one percent per year or IPD, whichever is less, after adjustments for new construction and annexations, unless an increase greater than this limit is approved by the voters. If the assessed valuation increases by more than one percent due to revaluation, the levy rate will be decreased.

The Washington State Constitution limits the total regular property tax levy to a maximum of one percent of assessed valuation or \$10 per \$1,000 of the market value of a property. If the taxes of all districts exceed this amount, each is proportionately reduced until the total is at or below the one percent limit.

Accordingly, the City levied \$0.81 per \$1,000 of assessed value for general governmental services and no additional voter-approved excess tax levy.

NOTE 6: Capital Assets

Capital asset activity for the year ended December 31, 2023, as follows:

	Beginning Balance	Increases	Decreases	Ending Balance
Primary Government				
GOVERNMENTAL ACTIVITIES				
Capital assets, not being depreciated:				
Land	\$ 172,089,638	\$ 4,715,039	\$ -	\$ 176,804,677
Construction in progress	36,510,042	44,111,194	(9,756,295)	70,864,940
Art	2,257,089	-	-	2,257,089
Total capital assets, not being depreciated	<u>210,856,769</u>	<u>48,826,233</u>	<u>(9,756,295)</u>	<u>249,926,706</u>
Capital assets, being depreciated:				
Buildings/building improvements	102,746,368	847,659	-	103,594,027
Improvements other than buildings	54,902,470	-	-	54,902,470
Machinery and equipment	39,818,857	4,370,289	(737,998)	43,451,148
Infrastructure	330,413,494	9,554,773	(317,298)	339,650,969
Total capital assets, being depreciated	<u>527,881,188</u>	<u>14,772,721</u>	<u>(1,055,296)</u>	<u>541,598,613</u>
Less accumulated depreciation for:				
Buildings/building Improvements	(29,564,627)	(2,125,643)	-	(31,690,270)
Improvements other than buildings	(24,082,433)	(1,760,875)	-	(25,843,309)
Machinery and equipment	(25,483,622)	(2,851,029)	743,521	(27,591,130)
Infrastructure	(138,121,651)	(6,655,671)	317,298	(144,460,024)
Total accumulated depreciation	<u>(217,252,333)</u>	<u>(13,393,218)</u>	<u>1,060,819</u>	<u>(229,584,732)</u>
Total capital assets, being depreciated, net	<u>310,628,855</u>	<u>1,379,503</u>	<u>5,522</u>	<u>312,013,881</u>
Capital assets, being amortized:				
Lease assets*				
Building	3,582,583	-	-	3,582,583
Machinery and equipment	83,051	49,852	(13,573)	119,330
Total lease assets, being amortized	<u>3,665,634</u>	<u>49,852</u>	<u>(13,573)</u>	<u>3,701,913</u>
SBITA assets*				
Software	-	3,622,352	-	3,622,352
Total lease assets, being amortized	<u>-</u>	<u>3,622,352</u>	<u>-</u>	<u>3,622,352</u>
Less accumulated amortization for:				
Buildings	(478,240)	(477,933)	-	(956,173)
Machinery and equipment (Leases)	(41,425)	(46,001)	13,573	(73,853)
Machinery and equipment (SBITA)	-	(939,916)	-	(939,916)
Total accumulated amortization	<u>(519,665)</u>	<u>(1,463,850)</u>	<u>13,573</u>	<u>(1,969,942)</u>
Total lease & SBITA assets, being amortized, net	<u>3,145,969</u>	<u>2,208,355</u>	<u>-</u>	<u>5,354,324</u>
Governmental activities capital assets, net	<u>\$ 524,631,593</u>	<u>\$ 52,414,091</u>	<u>\$ (9,750,773)</u>	<u>\$ 567,294,911</u>

*The lease & SBITA assets, similar to other capital assets of internal service funds, are presented as government activities in the entity-wide statement of net position.

NET INVESTMENT IN CAPITAL ASSETS

Governmental Activities		
Capital assets not being depreciated	\$	249,926,706
Capital assets being depreciated		546,952,936
Less accumulated depreciation		(229,584,735)
Less GO bonds		(47,145,000)
Less bond premium		(3,670,470)
Less Public Works Trust Fund loans		(755,606)
Plus deferred outflow on refunding bonds		2,001,964
Less liabilities related to leases-lease payable		(2,904,300)
Less liabilities related to SBITA payable		(2,592,098)
Less unspent bond proceeds		-
Less capital related accounts payable and retainage payable		(3,832,611)
Less accrued interest payable		<u>(214,895)</u>
Governmental Activities, net investment in capital assets	\$	<u><u>508,181,891</u></u>

Depreciation expense was charged to functions/programs of the primary government as follows:

DEPRECIATION EXPENSE BY FUNCTION

Governmental Activities		
General government	\$	2,683,140
Public safety		1,903,010
Physical environment		54,123
Transportation, including depreciation of general infrastructure assets		7,835,963
Economic environment		25,694
Culture and recreation		<u>2,355,138</u>
Total depreciation expense – governmental activities	\$	<u><u>14,857,068</u></u>

	Beginning Balance	Increases	Decreases	Ending Balance
BUSINESS-TYPE ACTIVITIES				
Capital assets, not being depreciated:				
Land	\$ 25,801,776	\$ -	\$ -	\$ 25,801,776
Construction In Progress	32,551,217	13,813,283	(30,761,212)	15,603,291
Intangible Assets	1,124,883	-	-	1,124,883
Total capital assets, not being depreciated	<u>59,477,876</u>	<u>13,813,283</u>	<u>(30,761,212)</u>	<u>42,529,950</u>
Capital Assets, Being Depreciated:				
Buildings/Building Improvements	37,958,925	1,791,406	-	39,750,331
Improvements Other Than Buildings	440,186,642	34,976,396	(335,238)	474,827,800
Machinery and Equipment	1,790,449	105,852	-	1,896,300
Total capital assets, being depreciated	<u>479,936,016</u>	<u>36,873,654</u>	<u>(335,238)</u>	<u>516,474,431</u>
Less Accumulated Depreciation for:				
Buildings/Building Improvements	(12,946,859)	(759,179)	-	(13,706,038)
Improvements Other than Buildings	(128,069,021)	(7,919,142)	333,488	(135,654,675)
Machinery and Equipment	(1,317,468)	(144,520)	-	(1,461,988)
Total accumulated depreciation	<u>(142,333,348)</u>	<u>(8,822,841)</u>	<u>333,488</u>	<u>(150,822,701)</u>
Total capital assets, being depreciated, net	<u>337,602,668</u>	<u>28,050,813</u>	<u>(1,750)</u>	<u>365,651,730</u>
Capital Assets, Being Amortized:				
Lease Assets				
Land easement	219,768	-	-	219,768
Equipment	-	24,958	-	24,958
Total lease assets, being amortized	<u>219,768</u>	<u>24,958</u>	<u>-</u>	<u>244,726</u>
Less Accumulated Amortization for:				
Land easement	(1,004)	(21,977)	-	(22,981)
Equipment	-	(2,080)	-	(2,080)
Total accumulated amortization	<u>(1,004)</u>	<u>(24,057)</u>	<u>-</u>	<u>(25,061)</u>
Total lease assets, being amortized, net	<u>218,764</u>	<u>901</u>	<u>-</u>	<u>219,665</u>
Business-Type activities capital assets, net	<u>\$ 397,299,308</u>	<u>\$ 41,864,997</u>	<u>\$ (30,762,963)</u>	<u>\$ 408,401,345</u>

NET INVESTMENT IN CAPITAL ASSETS

Business-Type Activities

Capital assets not being depreciated	\$ 42,529,947
Capital assets being depreciated	516,719,158
Less accumulated depreciation	(150,847,761)
Plus capital-related deferred outflows on refunding bonds	183,444
Less revenue bonds	(16,310,000)
Less bond premium	(141,749)
Less PWTF loan	(2,890,976)
Less capital-related accounts payable and retainage payable	(852,382)
Less liabilities related to lease-lease payable	(197,610)
Less accrued interest payable	(27,343)
Business-Type Activities, net investment in capital assets	<u>\$ 388,164,728</u>

Depreciation expense was charged to Business-Type Activities as follows:

Business-Type Activities		
Water/Wastewater	\$	4,419,152
UPD Water/Wastewater		1,418,212
Stormwater		<u>2,985,475</u>
Total Depreciation Expense – Business-type Activities	\$	<u>8,822,840</u>

The Business-Type Activities also have \$5,322 in amortization expense, which is included with depreciation expense in the financial statements for 2023.

Since 2017, the City’s business-type activities have invested \$1,124,883 in the Groundwater Protection Incentive Program, an intangible asset with an indefinite useful life. The program provides funds for retrofitting existing private infiltration facilities determined through the City’s assessment process to pose a significant groundwater hazard in wellhead protection zones 1 and 2, to meet State and City regulations for groundwater protection, to ensure a safe drinking water supply for the City.

NOTE 7: Pension Plans

The following table represents the aggregate pension amounts for all plans subject to the requirements of the GASB Statement 68, *Accounting and Financial Reporting for Pensions* for the year 2023:

Aggregate Pension Amounts – All Plans	
Pension liabilities*	\$6,646,227
Pension assets	\$36,064,859
Deferred outflows of resources	\$27,716,298
Deferred inflows of resources	\$15,151,794
Pension expense/expenditures**	\$1,986,674

*Includes \$502,482 Pension liabilities for the Firefighters' Pension Plan

**Includes \$37,804 Pension expense for the Firefighters' Pension Plan

State-Sponsored Pension Plans

Substantially all City full-time and qualifying part-time employees participate in one of the following statewide retirement systems administered by the Washington State Department of Retirement Systems, under cost-sharing, multiple-employer public employee defined benefit and defined contribution retirement plans. The state Legislature establishes, and amends, laws pertaining to the creation and administration of all public retirement systems.

The Department of Retirement Systems (DRS), a department within the primary government of the State of Washington, issues a publicly available Annual Financial Report that includes financial statements and required supplementary information for each plan.

The DRS Annual Comprehensive Financial Report may be downloaded from the DRS website at www.drs.wa.gov.

Public Employees' Retirement System (PERS)

PERS members include elected officials, state employees, employees of local governments, and higher education employees not participating in higher education retirement programs.

PERS is composed of and reported as three separate plans for accounting purposes: Plan 1, Plan 2/3 and Plan 3. Plan 1 accounts for the defined benefits of Plan 1 members. Plan 2/3 accounts for the defined benefits of Plan 2 members and the defined benefit portion of benefits for Plan 3 members. Plan 3 accounts for the defined contribution portion of benefits for Plan 3 members. Although employees can be a member of only Plan 2 or Plan 3, the defined benefits of Plan 2 and Plan 3 are accounted for in the same pension trust fund. All assets of Plan 2/3 may legally be used to pay the defined benefits of any Plan 2 or Plan 3 members or beneficiaries.

PERS Plan 1 provides retirement, disability and death benefits. Retirement benefits are determined as two percent of the member's average final compensation (AFC) times the member's years of service. The AFC is the average of the member's 24 highest consecutive service months. Members are eligible for retirement from active status at any age with at least 30 years of service, at age 55 with at least 25 years of service, or at age 60 with at least five years of service. Members retiring from active status prior to the age of 65 may receive actuarially reduced benefits. Retirement benefits are actuarially reduced to reflect the choice of a survivor benefit. Other benefits include duty and non-duty disability payments, an optional cost-of-living adjustment (COLA), and a one-time duty-related death benefit, if found eligible by the Department of Labor and Industries. PERS 1 members were vested after the completion of five years of eligible service. The plan was closed to new entrants on September 30, 1977.

Contributions

The **PERS Plan 1** member contribution rate is established by State statute at 6%. The employer contribution rate is developed by the Office of the State Actuary, adopted by the Pension Funding Council and is subject to change by the legislature. The PERS Plan 1 required contribution rates (expressed as a percentage of covered payroll) for 2023 were as follows:

PERS Plan 1		
Actual Contribution Rates:	Employer	Employee
January – June		
PERS Plan 1	6.36%	6.00%
PERS Plan 1 UAAL	3.85%	
Administrative Fee	0.18%	
Total	10.39%	6.00%
July – August		
PERS Plan 1	6.36%	6.00%
PERS Plan 1 UAAL	2.85%	
Administrative Fee	0.18%	
Total	9.39%	6.00%
September – December		
PERS Plan 1	6.36%	6.00%
PERS Plan 1 UAAL	2.97%	
Administrative Fee	0.20%	
Total	9.53%	6.00%

PERS Plan 2/3 provides retirement, disability and death benefits. Retirement benefits are determined as 2% of the member's AFC times the member's years of service for Plan 2 and 1% of AFC for Plan 3. The AFC is the average of the member's 60 highest-paid consecutive service months. Members are eligible for retirement with a full benefit at 65 with at least five years of service credit. Retirement before age 65 is considered an early retirement. PERS Plan 2/3 members who have at least 20 years of service credit and are 55 years of age or older, are eligible for early retirement with a benefit that is reduced by a factor that varies according to age for each year before age 65. PERS Plan 2/3 retirement benefits are actuarially reduced if a survivor benefit is chosen. Other PERS Plan 2/3 benefits include a COLA based on the CPI, capped at 3% annually. PERS 2 members are vested after completing five years of eligible service. Plan 3 members are vested in the defined benefit portion of their plan after ten years of service; or after five years of service if 12 months of that service are earned after age 44.

PERS Plan 3 defined contribution benefits are totally dependent on employee contributions and investment earnings on those contributions. Members are eligible to withdraw their defined contributions upon separation. Members have multiple withdrawal options, including the purchase of an annuity. PERS Plan 3 members are immediately vested in the defined contribution portion of their plan.

Contributions

The **PERS Plan 2/3** employer and employee contribution rates are developed by the Office of the State Actuary to fully fund Plan 2 and the defined benefit portion of Plan 3. The rates are adopted by the Pension Funding Council and are subject to change by the Legislature. The employer rate includes a component to address the PERS Plan 1 Unfunded Actuarial Accrued Liability (UAAL).

As established by Chapter 41.34 RCW, Plan 3 defined contribution rates are set at a minimum of 5% and a maximum of 15%. PERS Plan 3 members choose their contribution rate from six options when joining membership and can change rates only when changing employers. Employers do not contribute to the defined contribution benefits.

The PERS Plan 2/3 defined benefit-required contribution rates (expressed as a percentage of covered payroll) for 2023 were as follows:

PERS Plan 2/3			
Actual Contribution Rates:	Employer 2/3	Employee 2	Employee 3
January – June			
PERS Plan 2/3	6.36%	6.36%	Varies
PERS Plan 1 UAAL	3.85%		
Administrative Fee	0.18%		
Total	10.39%	6.36%	
July – August			
PERS Plan 2/3	6.36%	6.36%	Varies
PERS Plan 1 UAAL	2.85%		
Administrative Fee	0.18%		
Total	9.39%	6.36%	
September – December			
PERS Plan 2/3	6.36%	6.36%	Varies
PERS Plan 1 UAAL	2.97%		
Administrative Fee	0.20%		
Total	9.53%	6.36%	

The City's actual PERS plan contributions were \$1,713,646 to PERS Plan 1 and \$3,220,216 to PERS Plan 2/3 for the year ended December 31, 2023.

Public Safety Employees' Retirement System (PSERS)

PSERS Plan 2 was created by the 2004 Legislature and became effective July 1, 2006.

PSERS membership includes certain public employees whose jobs contain a high degree of physical risk to their own personal safety. In addition to meeting strict statutory work requirements, membership is further restricted to specific employers including:

- Certain State of Washington agencies (Department of Corrections, Department of Natural Resources, Gambling Commission, Liquor and Cannabis Board, Parks and Recreation Commission, and Washington State Patrol),
- Washington State Counties,
- Washington State Cities (except for Seattle, Spokane, and Tacoma),
- Correctional entities formed by PSERS employers under the Interlocal Cooperation Act.

PSERS Plan 2 provides retirement, disability and death benefits. Retirement benefits are determined as 2% of the AFC times the member's years of service. The AFC is based on the member's 60 consecutive highest creditable months of service. Members are eligible for retirement at the age of 65 with five years of service; or at the age of 60 with at least ten years of PSERS service credit; or at age 53 with 20 years of service. Benefits are actuarially reduced for each year that the member's age is less than 60 (with ten or more service credit years in PSERS), or less than 65 (with fewer than ten service credit years). There is no cap on years of service credit. Retirement before age 60 is considered an early retirement. PSERS members who retire before turning 60 receive reduced benefits. If retirement is at age 53 or older with at least 20 years of service, a 3% per year reduction for each year between the age at retirement and age 60 applies. PSERS Plan 2 retirement benefits are actuarially reduced if a survivor benefit is chosen. Other benefits include a COLA, capped at 3% annually. PSERS Plan 2 members are vested after completing five years of eligible service.

Contributions

The **PSERS Plan 2** employer and employee contribution rates are developed by the Office of the State Actuary to fully fund Plan 2. The rates are adopted by the Pension Funding Council and are subject to change by the Legislature. The Plan 2 employer rates include components to address the PERS Plan 1 UAAL.

The PSERS Plan 2 required contribution rates (expressed as a percentage of current year covered payroll) for 2023 were as follows:

PSERS Plan 2		
Actual Contribution Rates:	Employer	Employee
January – June		
PSERS Plan 2	6.60%	6.60%
PERS Plan 1 UAAL	3.85%	
Administrative Fee	0.18%	
Total	10.63%	6.60%
July – August		
PSERS Plan 2	6.60%	
PERS Plan 1 UAAL	2.85%	
Administrative Fee	0.18%	
Total	9.63%	6.60%
September - December		
PSERS Plan 2	6.73%	6.73%
PERS Plan 1 UAAL	2.97%	
Administrative Fee	0.20%	
Total	9.90%	6.73%

There were no plan contributions to PSERS Plan 2 and PERS Plan 1 for the year ended December 31, 2023.

Law Enforcement Officers' and Fire Fighters' Retirement System (LEOFF)

LEOFF was established in 1970, and its retirement benefit provisions are contained in Chapter 41.26 RCW. LEOFF membership includes all of the state's full-time, fully compensated, local law enforcement commissioned officers, fire fighters and, as of July 24, 2005, emergency medical technicians.

LEOFF Plan 1 provides retirement, disability and death benefits. Retirement benefits are determined per year of service calculated as a percent of final average salary (FAS) as follows:

- 20+ years of service – 2.0 percent of FAS
- 10-19 years of service – 1.5 percent of FAS
- 5-9 years of service – 1 percent of FAS

The FAS is the basic monthly salary received at the time of retirement, provided a member has held the same position or rank for 12 months preceding the date of retirement. Otherwise, it is the average of the highest-paid consecutive 24 months within the last ten years of service. Members are eligible for retirement with five years of service at the age of 50. Other benefits include a COLA. LEOFF 1 members were vested after the completion of five years of eligible service. The plan was closed to new entrants on September 30, 1977.

Contributions

LEOFF Plan 2 provides retirement, disability, and death benefits. Retirement benefits are determined as 2% of the FAS per year of service (the FAS is based on the highest-paid consecutive 60 months). Members are eligible for retirement with a full benefit at 53 with at least five years of service credit. Members who retire prior to the age of 53 receive reduced benefits. If the member has at least 20 years of service and is age 50 – 52, the reduction is 3% for each year prior to age 53. Otherwise, the benefits are actuarially reduced for each year prior to age 53. LEOFF 2 retirement benefits are also actuarially reduced to reflect the choice of a survivor benefit. Other benefits include a COLA (based on the CPI), capped at 3% annually. LEOFF 2 members are vested after the completion of five years of eligible service.

Contributions

The **LEOFF Plan 2** employer and employee contribution rates are developed by the Office of the State Actuary to fully fund Plan 2. The rates are adopted by the LEOFF Plan 2 Retirement Board and are subject to change by the Legislature.

Effective July 1, 2017, when a LEOFF employer charges a fee or recovers costs for services rendered by a LEOFF 2 member to a non-LEOFF employer, the LEOFF employer must cover both the employer and state contributions on the LEOFF 2 basic salary earned for those services. The state contribution rate (expressed as a percentage of covered payroll) was 3.41% in 2023.

The LEOFF Plan 2 required contribution rates (expressed as a percentage of covered payroll) for 2023 were as follows:

LEOFF Plan 2		
Actual Contribution Rates:	Employer	Employee
January – August		
State and local governments	5.12%	8.53%
Administrative Fee	0.18%	
Total	5.30%	8.53%
Ports and universities	8.53%	8.53%
Administrative Fee	0.18%	
Total	8.71%	8.53%
September – December		
State and local governments	5.12%	8.53%
Administrative Fee	0.20%	
Total	5.32%	8.53%
Ports and Universities	8.53%	8.53%
Administrative Fee	0.20%	
Total	8.73%	8.53%

The City's actual contributions to the plan were \$1,897,432 for the year ended December 31, 2023.

The Legislature, by means of a special funding arrangement, appropriates money from the state General Fund to supplement the current service liability and fund the prior service costs of Plan 2 in accordance with the recommendations of the Pension Funding Council and the LEOFF Plan 2 Retirement Board. This special funding situation is not mandated by the state constitution and could be changed by statute. For the state fiscal year ending June 30, 2023, the state contributed \$87,966,142 to LEOFF Plan 2. The amount recognized by the City as its proportionate share of this amount is \$1,181,788.

Actuarial Assumptions

The total pension liability (TPL) for each of the DRS plans was determined using the most recent actuarial valuation completed in 2023 with a valuation date of June 30, 2022. The actuarial assumptions used in the valuation were based on the results of the Office of the State Actuary's (OSA) 2013-2018 Demographic Experience Study and the 2021 Economic Experience Study.

Additional assumptions for subsequent events and law changes are current as of the 2022 actuarial valuation report. The TPL was calculated as of the valuation date and rolled forward to the measurement date of June 30, 2023. Plan liabilities were rolled forward from June 30, 2022, to June 30, 2023, reflecting each plan's normal cost (using the entry-age cost method), assumed interest and actual benefit payments.

- Inflation: 2.75% total economic inflation; 3.25% salary inflation
- Salary increases: In addition to the base 3.25% salary inflation assumption, salaries are also expected to grow by service-based salary increase.
- Investment rate of return: 7.00%

Mortality rates were developed using the Society of Actuaries' Pub. H-2010 mortality rates, which vary by member status (e.g. active, retiree, or survivor), as the base table. OSA applied age offsets for each system, as

appropriate, to better tailor the mortality rates to the demographics of each plan. OSA applied the long-term MP-2017 generational improvement scale, also developed by the Society of Actuaries, to project mortality rates for every year after the 2010 base table. Mortality rates are applied on a generational basis; meaning, each member is assumed to receive additional mortality improvements in each future year throughout their lifetime.

Methods did not change from the prior contribution rate setting June 30, 2021 Actuarial Valuation Report (AVR). OSA did make an assumption change to adjust TRS Plan 1 assets, LEOFF Plan 1/2 assets, and LEOFF participant data to reflect certain material changes occurring after the June 30, 2022 measurement date.

Discount Rate

The discount rate used to measure the total pension liability for all DRS plans was 7.0 percent.

To determine that rate, an asset sufficiency test was completed to test whether each pension plan's fiduciary net position was sufficient to make all projected future benefit payments for current plan members. Based on OSA's assumptions, the pension plans' fiduciary net position was projected to be available to make all projected future benefit payments of current plan members. Therefore, the long-term expected rate of return of 7.0 percent was used to determine the total liability.

Long-Term Expected Rate of Return

The long-term expected rate of return on the DRS pension plan investments of 7.0% was determined using a building block method. In selecting this assumption, OSA reviewed the historical experience data, considered the historical conditions that produced past annual investment returns, and considered Capital Market Assumptions (CMAs) and simulated expected investment returns provided by the Washington State Investment Board (WSIB). The WSIB uses the CMA's and their target asset allocation to simulate future investment returns at various future times.

Estimated Rates of Return by Asset Class

The table below summarizes the best estimates of arithmetic real rates of return for each major asset class included in the pension plan's target asset allocation as of June 30, 2021. The inflation component used to create the table is 2.2%, representing the WSIB's most recent long-term estimate of broad economic inflation.

Asset Class	Target Allocation	% Long-Term Expected Real Rate of Return Arithmetic
Fixed Income	20%	1.50%
Tangible Assets	7%	4.70%
Real Estate	18%	5.40%
Global Equity	32%	5.90%
Private Equity	23%	8.90%
	100%	

Sensitivity of the Net Pension Liability/(Asset)

The table below presents the City's proportionate share of the net pension liability calculated using the discount rate of 7%, as well as what the City's proportionate share of the net pension liability would be if it were calculated using a discount rate that is 1-percentage point lower (6%) or 1-percentage point higher (8%) than the current rate.

	1% Decrease (6.0%)	Current Discount Rate (7.0%)	1% Increase (8.0%)
PERS 1	8,583,276	6,143,745	4,014,608
PERS 2/3	15,466,725	(14,220,709)	(38,610,812)
LEOFF 1	(1,931,582)	(2,178,381)	(2,392,394)
LEOFF 2	3,256,120	(19,665,769)	(38,425,368)

Pension Plan Fiduciary Net Position

Detailed information about the State's pension plans' fiduciary net position is available in the separately issued DRS financial report.

Pension Liabilities (Assets), Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

At June 30, 2023, the City reported its proportionate share of the net pension liabilities and assets as follows:

	Liability (or Asset)
PERS 1	6,143,745
PERS 2/3	(14,220,709)
LEOFF 1	(2,178,381)
LEOFF 2	(19,665,769)

The amount of the asset reported above for LEOFF Plans 1 and 2 reflects a reduction for State pension support provided to the City. The amount recognized by the City as its proportionate share of the net pension asset, the related State support, and the total portion of the net pension asset that was associated with the City were as follows:

	LEOFF 1 Asset	LEOFF 2 Asset
Employer's proportionate share	2,178,381	19,665,769
State's proportionate share of the net pension asset associated with the employer	14,734,516	12,558,358
TOTAL	16,912,898	32,224,127

At June 30, the City's proportionate share of the collective net pension liabilities was as follows:

	Proportionate Share 6/30/22	Proportionate Share 6/30/23	Change in Proportion
PERS 1	0.268282%	0.269140%	0.000858%
PERS 2/3	0.347312%	0.346958%	0.000354%
LEOFF 1	0.073924%	0.073395%	0.000529%
LEOFF 2	0.860454%	0.819886%	0.040568%

Employer contribution transmittals received and processed by the DRS for the fiscal year ended June 30, 2023 are used as the basis for determining each employer's proportionate share of the collective pension amounts reported by the DRS in the Schedules of Employer and Nonemployer Allocations for all plans except LEOFF 1.

LEOFF Plan 1 allocation percentages are based on the total historical employer contributions to LEOFF 1 from 1971 through 2000 and the retirement benefit payments in fiscal year 2023. Historical data was obtained from a 2011 study by the Office of the State Actuary (OSA). The state of Washington contributed 87.12% of LEOFF 1 employer contributions and all other employers contributed the remaining 12.88% of employer contributions. LEOFF 1 is fully funded and no further employer contributions have been required since June 2000. If the plan becomes underfunded, funding of the remaining liability will require new legislation. The allocation method the plan chose reflects the projected long-term contribution effort based on historical data.

In fiscal year 2023, the state of Washington contributed 39% of LEOFF 2 employer contributions pursuant to RCW 41.26.725 and all other employers contributed the remaining 61% of employer contributions.

Pension Expense

For the year ended December 31, 2023, the City recognized pension expenses as follows:

	Pension Expense
PERS 1	28,544
PERS 2/3	1,725,664
LEOFF 1	178,126
LEOFF 2	16,536
TOTAL	1,948,870

Deferred Outflows of Resources and Deferred Inflows of Resources

On December 31, 2023, the City reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

PERS 1	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	-	-
Net difference between projected and actual investment earnings on pension plan investments	-	(693,041)
Changes of assumptions	-	-
Changes in proportion and differences between contributions and proportionate share of contributions	-	-
Contributions subsequent to the measurement date	750,430	-
TOTAL	750,430	(693,041)

PERS 2/3	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	2,896,742	(158,889)
Net difference between projected and actual investment earnings on pension plan investments	-	(5,359,223)
Changes of assumptions	5,970,346	(1,301,300)
Changes in proportion and differences between contributions and proportionate share of contributions	10,073	(166,122)
Contributions subsequent to the measurement date	1,629,028	-
TOTAL	10,506,189	(6,985,534)

LEOFF 1	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	-	-
Net difference between projected and actual investment earnings on pension plan investments	-	(144,447)
Changes of assumptions	-	-
Changes in proportion and differences between contributions and proportionate share of contributions	-	-
Contributions subsequent to the measurement date	-	-
TOTAL	-	(144,447)

LEOFF 2	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	8,032,909	(161,795)
Net difference between projected and actual investment earnings on pension plan investments	-	(4,161,234)
Changes of assumptions	5,023,548	(1,615,387)
Changes in proportion and differences between contributions and proportionate share of contributions	2,426,817	(1,390,357)
Contributions subsequent to the measurement date	976,405	-
TOTAL	16,459,680	(7,328,772)

Deferred outflows of resources related to pensions resulting from the City's contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ended December 31, 2023. Other amounts reported as deferred outflows and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Year Ended December 31	PERS 1	PERS 2/3	LEOFF 1	LEOFF 2
2024	(471,516)	(2,589,001)	(99,038)	(1,517,056)
2025	(592,987)	(3,136,425)	(124,279)	(2,189,040)
2026	365,627	4,401,213	77,095	3,732,347
2027	5,835	1,582,976	1,775	1,446,893
2028	-	1,567,641	-	1,562,460
Thereafter	-	65,222	-	5,118,898
TOTAL	(693,041)	1,891,627	(144,447)	8,154,502

Firefighters' Pension Plan

The following table represents the aggregate pension amounts for all plans subject to the requirements of GASB Statement 73, Accounting and Financial Reporting for Pensions and Related Assets That Are Not Within the Scope of GASB Statement 68 for the year 2023:

Pension Amounts – Fire Fighter Pension	
Pension liability	502,482
Pension assets	2,996,821
Deferred outflows of resources	-
Deferred inflows of resources	-
Pension expense	37,804

The City is the administrator of the Firefighters' Pension Plan (FPP), a single-employer defined benefit pension plan established in conformance with Revised Code of Washington (RCW) 41.18. The Pension Board consists of five members: the Mayor, who is the chairman of the board, the City Clerk, the City Treasurer, and two regularly employed firefighters elected by secret ballot of the firefighters, each of whom serve two-year terms. Costs of administering the Plan are paid from the Firefighters' Pension Plan. The Plan provides retirement and disability benefits, annual cost-of-living adjustments, and death benefits to Plan members and beneficiaries. Retirement benefit provisions are established in state statute and may be amended only by the State Legislature. Membership is limited to firefighters employed prior to March 1, 1970 when the LEOFF retirement system was established. The City's obligation under the Plan consists of paying the difference between pension and medical benefits provided by LEOFF and those provided by the FPP for covered firefighters who retire after March 1, 1970. Benefits and refunds of the Plan are recognized when due and payable in accordance with the terms of the Plan.

At December 31, 2023, there are three inactive plan members currently receiving benefits, and no active plan members. The pension plan is closed to new entrants.

Under State law, the Firefighters' Pension Plan is provided an allocation of 25% of the taxes the state receives on fire insurance premiums, interest earnings, member contributions made prior to the inception of LEOFF, and City contributions required to meet projected future pension obligations. The City's fire insurance premium and interest earnings were sufficient to pay expenses in 2023. The financial activity of the Firefighters' Pension Plan is reported within the City's General Fund. No separate stand-alone financial report is issued for the Firefighters' Pension Plan.

The pension standards in GASB Statement No. 68 are applicable only to pension plans that are administered through trusts or equivalent arrangements in which:

- a. Contributions from employers to the pension plan and earnings on those contributions are irrevocable.
- b. Pension plan assets are dedicated to providing pensions to plan members in accordance with benefit terms.
- c. Pension plan assets are legally protected from the creditors of employers, the plan administrator and plan members.

The Firefighter's Pension Plan does not meet the requirement "c" that assets be legally protected from the creditors of employers, the plan administrator and plan members. Therefore, the assets are not accumulated in a qualifying trust or equivalent arrangement as required for GASB 68 reporting purposes.

Investment procedures and policies can be found in Note 3: Deposits and Investments.

	Increase (Decrease) Total Pension Liability
Changes in the Total Pension Liability	
Balances at 1/1/2023	513,444
Changes for the year:	
Interest	15,825
Differences between expected and actual experience	11,017
Benefit payments, including refunds of contributions	(37,804)
Changes of assumptions	-
Net changes	(10,962)
Balance at 12/31/2023	502,482

The Schedule of Changes in Total Pension Liability and Related Ratios presented in Required Supplementary Information following the notes to the financial statements presents ten-year trend information about whether the total pension liability is increasing or decreasing over time and the factors affecting the changes.

Discount Rate and Investment Earnings

The discount rate is the single rate that reflects (1) the long-term expected rate of return on pension plan investments that are expected to be used to finance payment of benefits, to the extent that the pension plan's net position is projected to be sufficient to make projected benefit payments and pension plan assets are expected to be invested using a strategy to achieve that return, and (2) a yield or index rate for 20-year, tax-exempt general obligation municipal bonds with an average rating of AA/Aa or higher (or equivalent quality on another scale), to the extent that conditions for use of the long-term expected rate of return are not met. Since the Fiduciary Net Position is projected to be positive in all future years, the discount rate is equal to the Investment Earnings assumption of 3.2%.

Sensitivity of the Total Pension Liability to Changes in the Discount Rate

The following presents the total pension liability of the Firefighters' Pension Plan, calculated using the discount rate of 3.2%, as well as what the total pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (2.2%) or 1-percentage-point higher (4.2%) than the current rate:

	1% Decrease (2.2%)	Current Discount Rate (3.2%)	1% Increase (4.2%)
Total Pension Liability	555,695	502,482	456,552
Fiduciary Net Position	2,996,821	2,996,821	2,996,821
	(2,441,126)	(2,494,339)	(2,540,269)

Actuarial Assumptions

The total pension liability was determined by an actuarial valuation as of January 1, 2023, using the following actuarial assumptions applied to all periods included in the measurement:

Salary Increases (inflation only)	3.0%
Investment earnings	3.2%
Growth in membership	0.0%
Postretirement benefit increases	
Related to salaries	3.0%
Related to Consumer Price Index	2.5%
Actuarial Cost Method	Entry Age Normal
Valuation of Assets	Market value basis

Mortality rates were based on the RPI-2012 Blue Collar Retiree Amount-Weighted Mortality Table, projected to 2021 using MP-2021 projection scale.

Municipal Employees Benefit Trust

By majority vote, City employees approved the City's withdrawal from the Social Security System pursuant to U.S.C.A., Section 418 (g) effective January 1, 1975. Permanent employees working 1,040 or more hours per year are eligible but not required to participate in the plan. Temporary employees working less than 1,040 hours per year are required to participate in the plan. Participating permanent employees may choose to defer income tax in accordance with Internal Revenue Code Section 401K, on all, part or none of their contribution while temporary employees may not defer income tax on any of their contribution. There were 991 permanent and 118 temporary participants with account balances on December 31, 2023.

The Municipal Employees Benefit Trust Plan (MEBT) is a defined contribution plan with participants contributing an amount equal to the current Social Security rate (7.65%). One hundred percent of the contributions made by employees hired before April 1, 1986 go to MEBT. Employees hired on or after April 1, 1986 contribute 6.2% to MEBT and 1.45% to Medicare. Permanent employees may make additional contributions up to the limit set by the Internal Revenue Code. The City contributes 7.65% for permanent employees and 4.75% for temporary employees. Of the City's contribution, 1.45% goes to Medicare for employees hired on or after April 1, 1986. Eighty percent of the remaining City contribution goes to MEBT and 20% to administrative fees. The City's contribution is based on the payroll for all employees who are eligible to participate in the plan, regardless of the number of participants. The City's payroll for participating employees in 2023 was \$88,573,775. Employee contributions were \$5,923,833. City contributions were \$4,684,165. The City's total payroll was \$89,695,479.

Plan assets consisting of stocks, bonds, and guaranteed insurance contracts, are not the property of the City and are not subject to the claims of the City's general creditors. The Plan is administered by the Plan Committee consisting of seven employee members appointed by the City. The Plan Committee administers the MEBT Plan according to the Plan Document adopted by the City and all applicable IRS regulations. Plan provisions may be established or amended by a majority vote of the Plan Committee. Employees who elect not to participate in the Municipal Employees Benefit Trust plan retain the disability and survivor income insurance provided by the Standard Insurance Company.

Actuarial determinations are not required because (1) long-term disability insurance and survivor income insurance are provided by a group insurance policy with Standard Insurance Company, and (2) each participant shall at his normal retirement date instruct the Plan Committee to (a) acquire a non-forfeitable, non-transferable annuity contract, (b) pay retirement benefits in monthly or annual installments (no contributions by the City or the participant shall be added to his account after retirement), (c) pay a single sum in cash, or (d) elect to defer any or all retirement benefits to a later date.

NOTE 8:
Defined Benefit Other Postemployment Benefits (OPEB) Plans

GASB Statement 75, Accounting and Financial Reporting by Employers for Post-Employment Benefits Other Than Pensions, requires governments to account for other post-employment benefits (OPEB) on an accrual basis rather than on a pay-as-you-go basis. The effect is recognizing an actuarially determined expense on the Statement of Activities when retirees earn their post-employment benefits rather than when they use them. The Statement of Net Position recognizes the liability for post-employment benefits over time. The City changed the actuarial cost method from GASB 45 to GASB 75, starting with the reporting periods after January 1, 2018.

The following table represents the aggregate OPEB amounts for all plans subject to the requirements of GASB Statement 75 for the year 2023:

OPEB liabilities	\$ 15,383,941
Deferred inflows of resources	\$ 1,760,699
OPEB expenses/expenditures	\$ 1,533,662

Plan Description

The City provides post-retirement healthcare benefits for members of the Law Enforcement Officers and Firefighters (LEOFF) retirement system hired before October 1, 1977 under a single-employer, defined benefit healthcare plan administered by the City, as required by the Revised Code of Washington (RCW Chapter 41.26). Retirees are eligible to receive lifetime retiree medical benefits upon service retirement after age 50 with at least five years of service. This is a closed plan covering retired employees only. New entrants are not permitted.

One of the City's employee medical insurance programs provides most medical coverage for eligible retirees as a single-employer. Under the authorization of the LEOFF Disability Board, direct payment is made for other retiree medical expenses not covered by standard medical plan benefit provisions.

No retiree contributions toward the cost of retiree medical benefits are required.

As of December 31, 2023, the following retired employees were covered by the benefit terms:

Inactive employees or beneficiaries currently receiving benefits	28
Total	28

Funding Policy

The city provides entirely funding for the LEOFF retiree healthcare costs, as required by RCW. The City's funding policy is based upon pay-as-you-go financing requirements, and the net assets available for plan benefits are always zero.

Financial reporting for the LEOFF retiree healthcare plan is included in the City's Annual Financial Report.

Actuarial Methods and Assumptions

In 2023, the City used the alternative measurement method (AMM), which was permitted under GASB Statement 75. Retirement, disablement, termination, and mortality rates were assumed to follow the LEOFF 1 rates used in the June 30, 2022, actuarial valuation report issued by the Office of the State Actuary (OSA).

The total OPEB liability (TOL) was determined using the following methodology:

Actuarial Valuation Date	6/30/2023
Actuarial Measurement Date	6/30/2023
Actuarial Cost Method	Entry Age
Amortization Method	Recognized Immediately
Asset Valuation Method	N/A (No Assets)

For purposes of the AMM online tool, a simplifying actuarial assumption is made considering that over 99 percent of the LEOFF 1 members are already retired. The remaining active members are eligible to retire and will retire immediately following the measurement date.

This approach inherently assumes that all liabilities are fully earned and the service cost equals zero. In other words, the entry-age normal total OPEB liability is, by definition, equal to the present value of future benefits. The OSA determines that they implicitly do not need to make assumptions with respect to projected salary changes.

Each cohort is assumed to be 100 percent male. As of the measurement date, greater than 98 percent of the eligible LEOFF 1 population is male. This simplification is believed to be reasonable, and only the mortality assumptions selected (since the medical assumptions are already blended based on the actual gender distribution within the eligible population) are impacted. The OSA will continue to monitor this assumption for future versions of the tool.

Based on the overall distribution of the LEOFF 1 eligible population, the four age-based cohorts are selected for the AMM online tool. This grouping approach is believed to be reasonable for purposes of the AMM.

Medical and long-term care costs were projected from June 30th, 2022, to the measurement date of June 30, 2023, using the healthcare trend rates detailed in the 2022 LEOFF 1 OPEB Actuarial Valuation Report (AVR).

Mortality rates were based on the PubS.H-2010 (Public Safety) mortality table report published by the Society of Actuaries. The OSA applied offsets to the base table and recognized future improvements in mortality by projecting the mortality rates using 100 percent Scale BB. Mortality rates are applied on a generational basis, meaning members are assumed to receive additional mortality improvements in each future year throughout their lifetime.

Healthcare Trend Rates

Medical costs	Approximately 4.5%, varies by year.
Long-term care	4.75%
Medicare Part B Premiums	Approximately 5.0%, varies by year.

Please see the OSA's 2022 LEOFF 1 Medical Benefits Actuarial Valuation Report for additional detail on the healthcare trend rates.

Discount Rate

Since OPEB benefits are funded on a pay-as-you-go basis, the discount rates used to measure the total OPEB liability were set equal to the Bond Buyer General Obligation 20-Bond Municipal Index, or 3.54 percent for the June 30, 2022, measurement date and 3.65 percent for the June 30, 2023, measurement date.

Changes in Total OPEB Liability

The following table presents the change in the total OPEB liability as of the June 30, 2023, measurement date:

Total OPEB Liability (TOL)	
Total OPEB Liability - Beginning	\$ 14,457,858
Interest Cost	\$ 501,148
Changes in experience data and assumptions	\$ 1,032,514
Estimated benefit payments	\$ (607,579)
Net Changes in Total OPEB Liability	<u>\$ 926,083</u>
Total OPEB Liability - Ending	<u>\$ 15,383,941</u>
Covered Employee Payroll	\$ -
TOL as a Percentage of Covered Payroll	N/A

Sensitivity Analysis of the Total OPEB Liability to Changes in the Discount Rate

The following table presents the city's total OPEB liability as an employer, calculated using the discount rate of 3.65%, as well as the total OPEB liability would be if it were calculated using a discount rate that is 1 percent point lower (2.65 percent) or 1 percent point higher (4.65 percent) than the current rate.

	Total
1% Decrease	\$ 17,196,666
Current Discount Rate	\$ 15,383,941
1% Increase	\$ 13,847,599

Sensitivity Analysis of the Total OPEB Liability to Changes in the Healthcare Cost Trend Rates

The following table presents the total OPEB liability of the City as an employer, calculated using the healthcare trend rates of 4.50 percent, as well as what the total OPEB liability would be if it were calculated using healthcare trend rate that is 1 percent point lower (3.50 percent) or 1 percent point higher (5.50 percent) than the current rate:

	Total
1% Decrease	\$ 13,908,615
Current Discount Rate	\$ 15,383,941
1% Increase	\$ 17,084,872

OPEB Expense, Deferred Outflows of Resources, and Deferred Inflows of Resources Related to OPEB.

For the year ended December 31, 2023, the City recognized OPEB expense of \$ 661,765. On December 31, 2023, the City reported deferred outflows of resources related to OPEB for the City from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Transactions subsequent to the measurement date	292,495	-
Total \$	292,495 \$	-

NOTE 9:
Construction Commitments

At December 31, 2023 the City had significant contractual obligations on construction projects:

Transportation Projects	\$ 4,814,244
General Government	7,888,731
Utilities Projects	<u>1,713,199</u>
Total	<u>\$ 14,416,174</u>

Note 10:
Interfund Transfers

Interfund transfers are used to move revenues from the fund that statute or budget requires to collect them to the fund that statute or budget requires to expend them, to move receipts for debt service from the fund collecting the receipts to a debt service fund as debt service payments become due, and to use unrestricted revenues collected in the general fund to finance various programs accounted for in other funds in accordance with budgetary authorizations.

Interfund balances on December 31, 2023 were as follows:

Due To/From Other Funds	Receivables	Payables
General Fund	\$ 1,824,921	\$ -
Other Governmental Funds	-	1,369,741
Internal Service Funds	-	455,181
Total due other funds	\$ 1,824,921	\$ 1,824,921

Interfund transfers on December 31, 2023 were as follows:

		Transfer from						
		General Fund	Capital Improvement Program Funds	Other Governmental Funds	Water/Wastewater Funds	UPD Water/Wastewater Funds	Stormwater Management Funds	Total
Transfer to	General Fund	\$ -	\$ 775,000	\$ 3,056,997	\$ -	\$ -	\$ 261,048	\$ 4,093,045
	Capital Improvement Program Funds	\$ 9,412,002	\$ -	\$ 5,526,408	\$ -	\$ -	\$ -	\$ 14,938,410
	Other Governmental Funds	\$ 2,974,950	\$ 1,090,750	\$ -	\$ -	\$ -	\$ -	\$ 4,065,700
	Water/Wastewater Funds	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
	UPD Water/Wastewater Funds	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
	Stormwater Management Funds	\$ -	\$ 255,514	\$ -	\$ -	\$ -	\$ -	\$ 255,514
	Internal Service Funds	\$ 3,543,572	\$ -	\$ 738,196	\$ 389,840	\$ 86,348	\$ 271,889	\$ 5,029,845
	Total	\$ 15,930,524	\$ 2,121,264	\$ 9,321,601	\$ 389,840	\$ 86,348	\$ 532,937	\$ 28,382,514

NOTE 11: Long-Term Obligations

Direct Borrowings

As of December 31, 2023, the City had no direct placements, no unused lines of credit, and no assets pledged as collateral for debt. The City's direct borrowings included the following:

Direct Borrowings

- 2012 Public Works Trust Fund Loan – 161st Ave NE Extension
- 2015 State of Washington Department of Ecology Loan – Redmond Way Stormwater Treatment Facility

Below are the terms of the City's debt obligations, related to significant events of default with finance-related consequences, termination events with finance-related consequences, and subjective acceleration clauses, if any.

Public Works Trust Fund (PWTF) Loans– Construction Loan Agreement Between City of Redmond and Washington State Public Works Board ("Board")

Default in Repayment – Loan repayments shall be made on the loan in accordance with the contract terms. A payment not received within thirty (30) days of the due date shall be declared delinquent and the City shall be assessed a monthly penalty beginning on the first day past the due date. The penalty will be assessed on the entire payment amount. The penalty will be 1% per month or 12% per annum.

Performance Incentives – The City shall complete the project no later than 60 months after the date of contract execution. Failure to meet the time of performance shall constitute default of the contract. The City may request in writing to extend the deadline for the project completion. Should the City complete the project within 48 months after the date of contract execution, the City may exercise an incentive option, to either increase the repayment period or decrease the interest rate. Irrespective of the performance incentive chosen, the minimum loan interest rate shall not be less than 0.25%. The calculation of interest rate and term adjustments will apply to the remaining payments.

Repayment – The City has the right to repay the unpaid balance of the loan in full at any time or make accelerated payments without penalty.

Termination for Cause – If the City fails to comply with the terms of the agreement or fails to use the loan proceeds only for those activities identified in the agreement, the Board may terminate the contract in whole or in part at any time. Nothing in this section shall affect the City's obligation to repay the unpaid balance of the loan.

Termination for Convenience – The Board may terminate the contract if state funds are no longer available to the Board or are not appropriated for the purpose of meeting the Board's obligations under the contract. Termination will be effective when the Board sends written notice of termination to the City. Nothing in this section shall affect the City's obligation to repay the unpaid balance of the loan.

Washington State Department of Ecology (DOE) Loan – Water Quality Facility Project Loan Agreement Between City of Redmond and Washington State DOE ("Department")

Late Charges – If any amount of the loan agreement remains unpaid after it becomes due and payable, the Department may assess a late charge. The late charge will be 1% per month on the past due amount, starting on the date the debt becomes past due and until it is paid in full. The City will be in default of its obligations under the loan agreement when any loan payment becomes 60 days past due.

Default Events – The loan agreement may be terminated by the Department for insufficient department funds. The loan agreement may also be terminated if the City fails to commence project work or for past due payments. In addition, the City will be in default of its obligations under the loan agreement if, in the opinion of the Department, the City has unjustifiably failed to perform any obligation required of it by the loan agreement. In response to a Department-initiated termination event or in response to a loan default event, the Department may in its sole discretion demand that the City repay the outstanding balance of the loan amount and all accrued interest. From the time that the Department demands repayment of funds, amounts owed by the City to the Department will accrue additional interest at the rate of 1% per month, or a fraction thereof. In the event of a default, the Department shall

not have the right to declare the principal of an interest on the loan immediately due and payable, but repayments not made immediately will incur late charges.

Collection and Enforcement Actions – In the event of a default event, the State of Washington reserves the right to take any actions it deems necessary to collect the amounts due, or to become due, or to enforce the performance and observance of any obligation by the City, under the loan agreement.

Prepayment – So long as the Department will hold the loan, the City may prepay the entire unpaid principal balance of and accrued interest on the loan or any portion of the remaining unpaid principal balance of the loan amount. Any prepayments on the loan will be applied first to any accrued interest due and then to the outstanding principal balance of the loan amount.

Refinancing or Early Repayment – So long as the Department will hold the loan, the City will give the Department 30 days written notice if the City intends to refinance or make early repayment of the loan.

Termination for Cause – In the event the City unjustifiably fails, in the opinion of the Department, to perform any obligation required of it by the loan agreement, the Department may refuse to pay any further funds thereunder and/or terminate the loan agreement by giving written notice of termination.

Recovery of Payments – In the event the City fails, for any reason, to perform obligations required of it by the loan agreement, the City may be required to repay to the Department all loan funds disbursed to the City for those parts of the project that are rendered worthless in the opinion of the Department by such failure to perform. Interest shall accrue at the rate of 12% per year, from the time the Department demands repayment of funds. If payments have been discontinued by the Department due to insufficient funds, the City shall not be obligated to repay monies which had been paid to the City prior to such termination. Any property acquired under the agreement, at the option of the Department, may become the Department's property and the City's liability to repay monies shall be reduced by an amount reflecting the fair value of such property.

Defeasance of the Loan – So long as the Department will hold the loan, the City will not be entitled to, and will not effect, an economic defeasance of the loan. The City will not advance refund the loan. If the City defeases or advances refunds the loan, it will be required to use the proceeds thereof immediately upon their receipt, together with other available City funds, to repay both of the following: (i) the loan amount with interest and (ii) any other obligation of the City to the Department under the loan agreement, unless in its sole discretion the Department finds that repayment from those additional sources would not be in the public interest. Failure to repay the loan amount plus interest within the time specified in the Department's notice to make such repayment will incur late charges and will be treated as a loan default.

Public Works Trust Fund Loans

The City's governmental activities currently have one State of Washington Public Works Trust Fund Loan with principal outstanding of \$755,606. The interest rate is 0.25%. This loan is considered an obligation of the general government and is being repaid from General Fund revenues which are transferred to the Capital Investments Program Fund where the loan payments are recorded.

The City's business-type activities currently have one State of Washington Agency Fund Loan with principal outstanding of \$2,890,977. In 2012 the City Council of the City of Redmond adopted Resolution #1371, accepting a Washington State Department of Ecology (DOE) loan for funding towards the Redmond Way Water Quality Facility. The loan amount of \$4,412,000 was drawn down on September 2, 2015. The loan bears interest at the rate of 2.6% per annum, calculated on the basis of a 365-day year. The final loan amount will be repaid from the City's utility funds in equal installments semiannually over a term of twenty years.

Public Works Trust Fund Loans outstanding at December 31, 2023 are as follows:

Governmental Activities				Business Type Activities			
Year	Principal	Interest	Total	Year	Principal	Interest	Total
2024	94,451	1,889	96,340	2024	218,539	74,155	292,694
2025	94,451	1,653	96,104	2025	224,289	68,405	292,694
2026	94,451	1,417	95,868	2026	230,191	62,503	292,694
2027	94,451	1,180	95,631	2027	236,247	56,446	292,693
2028	94,451	945	95,396	2028	242,464	50,230	292,694
2029-2031	283,352	1,417	284,769	2029-2033	1,311,438	152,030	1,463,468
-	-	-	-	2034-2035	427,809	11,232	439,041
Total	<u>\$ 755,607</u>	<u>\$ 8,501</u>	<u>\$ 764,108</u>	Total	<u>\$ 2,890,977</u>	<u>\$ 475,001</u>	<u>\$3,365,978</u>

Other Debt Obligations

As of December 31, 2023, the City's other debt obligations included the following long-term limited tax general obligation (LTGO) and utility system revenue bonds:

Other Debt

- 2014 Stormwater Capital Improvement Revenue Bonds (unrefunded portion)
- 2015 LTGO Refunding – 2008 Bonds Years 2025-2028 & Transportation Projects
- 2016 LTGO Refunding – 2008 Bonds Years 2019-2025 & Transportation Projects
- 2021 LTGO Refunding Bonds (Taxable) – 2013 City Hall Building
- 2021 Stormwater Refunding (Taxable) – 2014 Capital Improvement Revenue Bonds
- 2022 LTGO Bonds – Senior & Community Center Building

While there are no identifiable listed events of default for the City's publicly sold bonds, terms of default would include: (i) failure to pay principal and interest and (ii) failure to uphold the covenants made in the authorizing ordinances, by which remedial steps would be appropriated. LTGO debt is backed by the full faith and credit of the City. Revenue debt is secured by the pledge of a specific revenue stream, such as utility user fees. The City is liable for principal and interest payments only as they become due. The City's publicly sold bonds are not subject to termination events or acceleration clauses.

General Obligation Bonds

The City issues general obligation bonds to provide funds for the acquisition and construction of major capital facilities. General obligation bonds are direct obligations and pledge the full faith and credit of the City. General obligation bonds have been issued for general government activities and are being repaid from debt service funds.

In 2013 the City issued \$33,085,000 in limited tax general obligation (LTGO) refunding bonds, with a final maturity of December 1, 2035; the callable portion of \$17,115,000 of the bonds was refunded in 2021, and the last principal amount on the unrefunded portion was paid in full in 2023.

In November 2015, the City Council of the City of Redmond adopted Ordinance #2809, providing for the issuance of two series of LTGO and Refunding Bonds in the aggregate principal amount of not to exceed \$31,000,000 to provide funds to finance the costs of transportation improvements, to refund certain outstanding LTGO bonds of the City, and to finance costs of issuance of each series of bonds. In December 2015, the City issued \$9,280,000 in LTGO refunding bonds with an interest rate of 3.00% to advance refund \$8,940,000 of outstanding 2008 LTGO bonds. The reacquisition price exceeded the net carrying amount of the old debt by \$951,425. This amount is being charged to operations through the year 2028 using the straight-line method. The remaining balance of \$362,012 is reported as a deferred outflow in the statement of net position. In January 2016, the City issued \$11,630,000 in LTGO refunding

bonds with an interest rate of 2.0%-5.0% to advance refund \$11,675,000 of outstanding 2008 LTGO bonds. The reacquisition price exceeded the net carrying amount of the old debt by \$1,386,462. This amount is being charged to operations through the year 2035 using the straight-line method. The remaining balance of \$831,802 is reported as a deferred outflow in the statement of net position. In January 2016, the City also issued \$6,000,000 in LTGO bonds with an interest rate of 2.0%-5.0% to provide funds to finance the costs of transportation improvements.

In 2021, the City issued \$18,850,000 in LTGO refunding bonds to advance refund and defeased a portion of the 2013 bonds used to build a City Hall and parking garage and to provide for other enhancements to the City campus. The City realized a net present value savings of 11.29% by advance refunding \$17,115,000 of those bonds in 2021. The debt payments are budgeted biennially and paid from levies of taxes within the constitutional and statutory tax limitations provided by law without a vote of the voters of the City. Redmond uses general revenues and utility user fees to support these debt payments. The reacquisition price exceeded the net carrying amount of the old debt by \$958,447. This amount is being charged to operations through the year 2035 using the straight-line method and is reported as a deferred outflow in the statement of net position.

In 2022, the City issued \$14,015,000 in LTGO bonds to finance a portion of the costs necessary to acquire, construct, design, develop, improve, equip, and furnish the City's Senior and Community Center building. The debt payments are budgeted biennially and paid from the levies of taxes within the constitutional and statutory tax limitations provided by law without a vote of the city's voters.

General obligation bonds outstanding on December 31, 2023 are as follows:

	Issue Date	Maturity Date	Interest Rate	Amount Issued	Redemptions to Date	Outstanding 12/31/2023
2013 LTGO Refunding Bonds (unrefunded portion)	9/12/2013	12/1/2023	1.75% - 5.0%	33,085,000	33,085,000	-
2015 LTGO Refunding Bonds	12/22/2015	12/1/2028	3.0%	9,280,000	-	9,280,000
2016 LTGO Refunding Bonds	1/21/2016	12/1/2024	2.0% - 5.0%	11,630,000	9,750,000	1,880,000
2016 LTGO Bonds	1/21/2016	12/1/2035	2.0% - 5.0%	6,000,000	1,840,000	4,160,000
2021 LTGO Refunding Bonds- City Hall building	10/14/2021	12/1/2035	0.24% - 2.40%	18,850,000	650,000	18,200,000
2022 LTGO Bonds-Senior & Community Center Building	6/1/2022	12/1/2037	2.08% - 3.18%	14,015,000	390,000	13,625,000
Total General Obligation Bonds				<u>\$ 92,860,000</u>	<u>\$ 45,715,000</u>	<u>\$ 47,145,000</u>

Annual debt service requirements to maturity for general obligation bonds are as follows:

Year Ending	Governmental Activities	
	Principal	Interest
2024	4,120,000	1,569,404
2025	4,295,000	1,427,368
2026	4,405,000	1,315,080
2027	4,520,000	1,196,955
2028	4,660,000	1,068,381
2029-2033	15,275,000	3,670,096
2034-2037	9,870,000	911,306
	<u>\$ 47,145,000</u>	<u>\$ 11,158,590</u>

Revenue Bonds

The City issues revenue bonds to finance construction projects for the City's utilities. Revenue bonds are payable from revenues generated by the user fees and are backed by the Stormwater utilities. Revenue bonds generally require a cash reserve be maintained of 120% of the current portion of revenue bonds payable, plus interest.

The 2014 revenue bonds were issued for \$22,950,000, with a final maturity of December 1, 2034; the callable portion of \$13,865,000 of the bonds was refunded in 2021. The outstanding principal amount of the unrefunded portion is \$1,050,000 as of December 31, 2023, which is scheduled to remit annually and will be paid in full on December 1, 2024.

In 2021, the City issued \$15,880,000 in utility system revenue refunding bonds to advance refund and defease a portion of the 2014 stormwater revenue bonds issued to pay for the construction and improvement of various pump stations, access chambers, regional facilities in the Overlake and Downtown areas of the City, flow control, and water quality facilities. The 2014 bonds also included funding for stream and habitat restoration projects. The City realized a net present value savings of 9.09% by advance refunding \$13,865,000 of those bonds in 2021.

The reacquisition price exceeded the net carrying amount of the old debt by \$221,732. This amount is being charged to operations through the year 2034 using the straight-line method and is reported as a deferred outflow in the statement of net position.

Revenue bonds outstanding at year-end are as follows:

	<u>Issue Date</u>	<u>Maturity Date</u>	<u>Interest Rate</u>	<u>Amount Issued</u>	<u>Redemptions to Date</u>	<u>Outstanding 12/31/2023</u>
2014 Stormwater Revenue Bonds (unrefunded portion)	7/24/2014	12/1/2024	3.26% - 4.25%	\$ 22,950,000	\$ 21,900,000	\$ 1,050,000
2021 Stormwater Refunding Bonds	10/14/2021	12/1/2034	0.25% - 2.34%	<u>15,880,000</u>	<u>620,000</u>	<u>15,260,000</u>
Total Revenue Refunding Bonds				<u>\$ 38,830,000</u>	<u>\$ 22,520,000</u>	<u>\$ 16,310,000</u>

Annual debt service requirements to maturity for revenue bonds are as follows:

<u>Year Ending</u>	<u>Business-type Activities</u>	
	<u>Principal</u>	<u>Interest</u>
2024	1,345,000	320,451
2025	1,400,000	265,915
2026	1,415,000	251,033
2027	1,430,000	233,870
2028	1,450,000	212,791
2029-2033	7,645,000	669,042
2034	<u>1,625,000</u>	<u>38,041</u>
	<u>\$ 16,310,000</u>	<u>\$ 1,991,143</u>

Changes in Long-Term Liabilities

Long-term liability activity for the year ended December 31, 2023, was as follows:

	Beginning Balance	Additions	Reductions	Ending Balance	Due Within One Year
Governmental Activities:					
Bonds Payable:					
General Obligation Bonds	\$ 51,105,000	\$ -	\$ (3,960,000)	\$ 47,145,000	\$ 4,120,000
For issuance premiums	4,050,316	-	(379,846)	3,670,470	-
Total Bonds Payable	55,155,316	-	(4,339,846)	50,815,470	4,120,000
Direct borrowings	850,056	-	(94,450)	755,606	94,451
Compensated absences	13,995,181	1,073,594	(7,349,034)	7,719,741	6,175,793
Net pension liability	6,024,293	-	(1,089,001)	4,935,292	-
Other post employment benefits	14,457,858	926,083	-	15,383,941	292,495
Net firefighters' pension	513,444	-	(10,962)	502,482	-
Asset retirement obligation	259,935	8,188	-	268,123	5,808
Subscription	-	2,592,099	-	2,592,099	958,471
Leases*	3,262,011	95,391	(453,102)	2,904,300	407,565
Total Governmental activity long-term liabilities	\$ 94,518,094	\$ 4,695,355	\$ (13,336,395)	\$ 85,877,054	\$ 12,054,583
Business-Type Activities:					
Bonds Payable:					
Revenue Bonds	\$ 17,605,000	\$ -	\$ (1,295,000)	\$ 16,310,000	\$ 1,345,000
For issuance premiums	283,497	-	(141,749)	141,748	-
Total Bonds Payable	17,888,497	-	(1,436,749)	16,451,748	1,345,000
Direct borrowings	3,103,913	-	(212,936)	2,890,977	218,539
Compensated absences	1,341,621	216,183	(661,896)	895,909	716,728
Asset retirement obligation	498,437	81,001	(5,358)	574,080	6,718
Net pension liability	1,450,628	-	231,613	1,219,015	-
Leases*	190,560	24,066	(17,016)	197,610	22,753
Total Business-type activity long-term liabilities	\$ 24,473,656	\$ 321,250	\$ (2,102,342)	\$ 22,229,339	\$ 2,309,738

Internal service funds predominantly serve the governmental funds. Accordingly, their long-term liabilities for governmental activities are included in the above totals. At year-end, \$203,202 of internal service funds net pension liability, \$2,363,299 subscription liabilities, and \$543,274 compensated absences are included in the above amounts. Compensated absences for governmental activities are liquidated in the governmental fund from which the employee's salary is paid. Governmental funds typically used to liquidate compensated absences are the General Fund, Recreation Activities Fund, Advanced Life Support Fund, and the Recycling Fund.

The General Fund liquidates the other post-employment benefits, liabilities, and pension obligations.

Arbitrage

Arbitrage occurs when the City invests funds borrowed at tax-exempt rates of interest in higher yielding taxable securities. These interest earnings in excess of interest expense must be remitted to the federal government. At the fund level, the City recognizes this liability only when it is due and payable. The City had no arbitrage excess earnings liability in 2023.

Additional information on the City's long-term liabilities is provided in the City's Debt Manual, which is available at:

<https://www.redmond.gov/DocumentCenter/View/30903/2024-Debt-Manual-PDF>

NOTE 12:
Leases & Subscription-Based IT Arrangements (SBITA)

Leases

In 2022, the City implemented GASB Statement No. 87 to all contracts that control the right to use another entity's nonfinancial assets as specified in the contract for a period in an exchange or exchange-like transactions.

Under GASB Statement No. 87, the lessor is required to recognize a lease receivable and deferred inflow of resources, and a lessee is required to recognize a lease liability and an intangible right-to-use lease asset.

City as Lessor:

The City, as a lessor, has entered into lease agreements involving land, office space, telecommunication sites, pump station sites, and equipment facilities. The terms and conditions of these leases vary, with periods ranging from one to ten years. We have generally included these renewal periods in the lease term when it is reasonably certain that we will exercise the renewal option. The City's lease arrangements do not contain any material residual value guarantees. Since the implicit interest rate in the City's leases is not readily determinable, the City utilizes its incremental borrowing rate, ranging between 6.48% to 6.74%, to discount these lease payments.

The minimum lease payments receivable on leases are shown below:

Year	Governmental Funds	
	Principal	Interest
2024	\$ 304,624	\$ 87,109
2025	258,132	66,810
2026	195,593	51,610
2027	152,866	38,067
2028	114,562	27,489
2029-2032	280,150	41,157
Total	\$ 1,305,928	\$ 312,242

The minimum lease payments receivable on leases are as follows:

Year	Proprietary Funds	
	Principal	Interest
2024	\$ 113,357	\$ 70,615
2025	128,632	62,698
2026	145,087	53,896
2027	127,782	43,982
2028	143,241	35,394
2029-2032	376,339	61,396
Total	\$ 1,034,439	\$ 327,979

The total amount of inflow of resources, including lease revenue, interest revenue, and other lease-related inflows, recognized during the fiscal year are as follows:

	Governmental Activities		Business-Type Activities		Total
Lease revenue	\$	366,464	\$	237,236	\$ 603,700
Interest revenue	\$	90,893	\$	62,842	\$ 153,735

City as Lessee:

As a lessee, the City's general government has entered into lease agreements involving building space and equipment. The terms and conditions of the lease vary, with the terms ranging from one to seven years. The total of the City's lease assets is recorded at a cost of \$3,701,913, less accumulated amortization of \$1,030,026.

The statement of net position shows the following amounts relating to leases:

For Lessee: Right-to-use assets	Governmental Activities		Business-Type Activities		Total
Buildings	\$	3,582,583	\$	-	\$ 3,582,583
Equipment		119,330		24,958	144,288
Land		-		219,768	219,768
Total	\$	3,701,913	\$	244,726	\$ 3,946,639

Lease payable	Governmental Activities		Business-Type Activities		Total
Current	\$	407,565	\$	22,753	\$ 430,318
Non-current		2,496,735		174,857	2,671,592
Total	\$	2,904,300	\$	197,610	\$ 3,101,910

The future lease payments under lease agreements are as follows:

Year	Governmental Funds	
	Principal	Interest
2024	\$ 407,565	\$ 184,650
2025	460,012	155,189
2026	446,367	123,742
2027	514,516	91,362
2028	543,914	56,086
2029-2032	531,926	18,074
Total	\$ 2,904,300	\$ 629,102

The City's proprietary funds, as lessees, have entered into lease agreements on land for terms and conditions ranging from one to ten years. The City's lease assets are recorded at a cost of \$219,768, less accumulated amortization of \$22,981. In 2023, the City entered into lease agreements for gas monitoring equipment for a duration of 48 months. The City's lease assets are recorded at \$24,958, less accumulated amortization of \$2,080.

The future lease payments under lease agreements are as follows:

Year	Proprietary Funds	
	Principal	Interest
2024	\$ 22,753	\$ 13,517
2025	24,360	11,911
2026	26,038	10,232
2027	25,459	8,457
2028	22,296	6,912
2029-2032	76,704	10,920
Total	\$ 197,610	\$ 61,950

Subscription-Based Information Technology Arrangements (SBITA)

Subscription Payable

For the year ending 12/31/2023, the financial statements include adopting Governmental Accounting Standards Board (GASB) Statement No. 96, Subscription-Based Information Technology Arrangements. The primary objective of this statement is to enhance the relevance and consistency of information about governments' subscription activities. This statement establishes a single model for subscription accounting based on the principle that subscriptions are financings of the right to use an underlying asset.

Under this statement, the City is required to recognize both a subscription liability and an intangible right-to-use subscription asset in the Internal Service Fund and the government-wide financial statements. When a subscription-based information technology arrangement (SBITA) contract begins, the City initially measures the subscription liability based on the present value of the expected payments during the subscription term. Over time, the subscription liability is decreased by the principal portion of subscription payments.

The subscription asset is initially recorded at the same value as the subscription liability, adjusted for any payments made before the subscription start date and certain initial direct costs. It is then amortized on a straight-line basis over its useful life.

As of 12/31/2023, the City has nine active subscriptions. The subscriptions have payments that range from \$7,990 to \$689,443 and interest rates that range from 2.5827% to 2.8443%. The total combined value of the subscription liability is \$2,592,099, and the total combined value of the short-term subscription liability is \$958,472. The combined value of the right-to-use assets, as of 12/31/2023, of \$3,622,352 with accumulated amortization of \$939,916, is included in the subscription class activities table below. The subscriptions have zero variable payments and zero other payments, which are not included in the subscription liability, within the calendar year.

The City's SBITA contracts do not contain any material residual value guarantees. As the interest rate implicit in the City's SBITA contracts is not readily determinable, the City utilizes its incremental borrowing rate to discount the subscription payments.

The statement of net position shows the following amounts relating to SBITA contracts:

For Lessee:

Right-to-use SBITA assets	Governmental Activities	Business-Type Activities	Total
SBITA	\$ 3,622,352	-	\$ 3,622,352

SBITA payable	Governmental Activities	Business-Type Activities	Total
Current	\$ 958,472	-	\$ 958,473
Non-current	1,633,627	-	1,633,627
Total	\$ 2,592,099		\$ 2,592,099

The future principal and interest subscription payments as of December 31, 2023, are as follows:

Year	Governmental Funds	
	Principal	Interest
2024	\$ 958,471	\$ 71,145
2025	866,549	44,729
2026	750,020	21,113
2027	17,058	442
Total	\$ 2,592,100	\$ 137,427

NOTE 13:

Tax Abatement

The State of Washington enters into various tax abatement agreements that reduce the amount of tax revenue that flows to local jurisdictions. The Department of Revenue provides the reported figures, which are estimates based on calendar year 2022 as a proxy for fiscal year 2023.

Three state tax abatement programs reduced the 2023 tax revenues of the City of Redmond, as follows:

High-Technology Sales and Use Tax Deferral Program

RCW 82.63 provides a deferral and ultimate waiver of sales and use tax to encourage the creation of high-wage, high-skilled jobs in Washington state. The deferral applies to sales and use tax arising from the construction or expansion of a qualified research and development facility or a pilot-scale manufacturing facility used in advanced computing, advanced materials, biotechnology, electronic device technology, or environmental technology. This program expired on January 1st, 2015.

Businesses that hold approved certificates under this program must begin "meaningful construction" no later than December 31, 2019 (five years from the date the program expired). If the business does not start meaningful construction by December 31, 2019, the deferral certificates become invalid, and businesses will immediately owe any deferred taxes. "Meaningful construction" refers to active construction activities. Examples include building site excavation, laying a building foundation, and other clear indicators of construction progress. Conversely, planning, permitting, and land clearing are not considered active construction.

This abatement program is estimated to reduce the City of Redmond's 2023 sales and use tax revenues by \$2,263,980.

Aerospace Incentives

RCWs 82.08.975 and 82.12.975 provide tax abatement on the purchase and use of computer hardware, software, or peripherals when the buyer uses the purchases primarily in developing, designing, and engineering aerospace products. Under this incentive program, the sales and use tax exemption is also granted to aerospace services, including installation charges for computer hardware, software, or peripherals.

Since the Department of Revenue cannot disclose tax information for less than three taxpayers for either state or local estimates, the estimated reduction in 2023 sales and use tax revenues for the City of Redmond is, therefore, unavailable for this abatement program.

Multi-Unit Urban Housing Property Tax Exemption

RCW 84.14.020 offers a property tax exemption to enhance residential opportunities in urban centers. To qualify for this exemption, a property must meet the following criteria:

1. It must be located in a designated residential area.
2. At least fifty percent of the space must be dedicated to permanent residential occupancy.
3. The property must comply with all construction and development regulations.
4. Construction must be completed within three years from the date the application is approved.

Additionally, for a property to qualify as a rehabilitated unit, it must not comply with one or more relevant state or local building or housing codes standards as of July 23, 1995, or later.

NOTE 14:

Component Units

RCW 36.145 authorizes cities to form Community Facilities Districts (CFDs) when the owners of one hundred percent (100%) of the land to be included in the district petition the city to do so. The CFDs are independently governed, special-purpose districts vested with the corporate authority included under Article VII, section 9 of the state Constitution to make local improvements by special assessments.

The City has formed two Community Facilities Districts:

Redmond Community Facilities District 2014-1 is a special purpose district established on July 15, 2014, by Resolution No. 1411 from the City Council of Redmond, Washington. This formation was initiated in response to a petition from Microsoft Corporation, requesting the creation of a community facilities district designed to finance the construction of a pedestrian/bicycle bridge over SR 520 at the Overlake Transit Station, as well as the installation of canopy coverage for waiting areas at the same station. The improvements will be funded through special assessments totaling \$33,300,000, levied against specific properties owned by Microsoft Corporation. These assessments will be paid in fifteen equal annual installments, with the first installment due in November 2015. Initially, Microsoft was expected to advance the project fund in yearly installments from December 2014 to December 2017. However, changes in the project scope that the Board approved on April 7, 2020, necessitated amendments to the funding agreement. Specifically, the CFD Board voted to remove the pedestrian/bicycle bridge construction from the planned improvements. On May 5, 2020, the Board formally recognized the change in project costs by adjusting the funding agreement. They relieved Microsoft of the obligation to contribute an additional \$10,000,000 to the CFD and arranged for the CFD to refund the \$15,411,409 that Microsoft had previously deposited. The design and construction of the project components will be managed by Sound Transit, which has agreed to cover any costs that exceed the assessed amounts.

The Redmond Community Facilities District 2016-1 is a special purpose district established on June 21, 2016, by Resolution No. 1453 of the City Council of Redmond, Washington. This district was created in response to a petition from Microsoft Corporation to finance the northeast 40th Street Stormwater Trunk Line project and multimodal improvements for eastbound and westbound left-turn lanes at the intersection of 154th Avenue NE and NE 51st Street. Additionally, it includes the installation of bicycle lanes along NE 51st Street, extending from 154th Avenue NE to the eastbound on-ramp of SR 520. Furthermore, the district will support multimodal improvements along NE 31st Street, from the roundabout just east of SR 520 to 156th Avenue NE, including enhancements to the intersection of NE 31st Street and 156th Avenue NE. These improvements will be funded through special assessments totaling \$24,618,000, which will be levied against specific Microsoft Corporation properties. This assessment will be paid in fifteen equal annual installments, with the first installment due in November 2017. Microsoft has advanced the project fund in yearly installments from December 2016 to December 2017. The City of Redmond will manage the design and construction of these improvements, and the completed projects will become the city's capital assets.

Each Community Facilities District (CFD) Board of Supervisors consists of three members from the Redmond City Council and two representatives nominated by the petitioner, Microsoft. The City Finance Director serves as the Treasurer for the CFDs, while City staff provides the necessary accounting and reporting services. Since the City appoints a majority of the Board members and has the authority to impose its will on the organizations through the appointment, hiring, reassignment, or dismissal of those responsible for daily operations, the CFDs primarily serve the City. As a result, the CFDs are reported as blended component units in the Capital Improvement Program funds within the City of Redmond's Annual Financial Report for the fiscal year ended December 31, 2023.

For questions regarding the CFDs or requests for financial statements, please contact the Redmond Community Facilities District Treasurer, c/o Director of Finance, City of Redmond, PO Box 97010, Redmond, WA 98073-9710.

NOTE 15:

Joint Ventures and Operations

Water Storage and Pumping Facility

In February 1990, the City of Redmond joined with the City of Bellevue to construct, operate, and maintain a joint-use water storage and pumping facility located on the common boundary of the two cities. The City of Redmond has an undivided interest in the facility of 44%, and the City of Bellevue has an undivided interest of 56%. The City of Redmond's share of costs to construct the joint-use facility totaled \$2,078,539 and is reported on the business-type activity financial statements as improvements other than buildings. The City recognizes depreciation expense annually, and the asset was fully depreciated in 2023. Redmond reimbursed the City of Bellevue \$44,165 for its share of operating costs for 2023.

Budget monitoring information can be obtained from the City of Bellevue Budget Department, 450 – 110th Avenue NE, Bellevue, WA 98004.

Cascade Water Alliance (CWA)

In April 1999, the City of Redmond entered an interlocal agreement with seven other regional water providers to create the Cascade Water Alliance (CWA). The alliance's purpose is to provide a cost-effective and environmentally responsible water supply to meet its members' current and future needs.

The Alliance is governed by a Board of Directors consisting of one representative appointed by resolution of the member's legislative authority. Each member entity must pay annual dues based on the number of units served by the water system within their jurisdiction. The City of Redmond's dues for 2023 were \$716,711. The City of Redmond also paid the Alliance \$3,330,463 for Regional Capital Facilities Charges (RCFCs) for new hookups to the water system that Redmond collected from new customers in 2023.

A member may withdraw from the Alliance with a resolution of its legislative authority expressing such intent. The Board will then determine the withdrawing member's obligations to the Alliance and the withdrawing member's allocable share of the Alliance's then-existing obligations. The member's withdrawal shall be effective upon payment of obligations. Members do not hold legal ownership rights in any assets the Alliance owns.

In 2011, the CWA's Board passed a resolution offering to purchase the outstanding RCFC credits from its members at a discounted rate. These credits were awarded to its members who transferred or retained an independent water supply in excess of its needs. The Alliance's members were allowed to use such credits to apply against future RCFCs. The CWA offered to buy out the RCFC credits at \$2,500 per Cascade Equivalent Residential Unit (CERU) from its members. The City of Redmond chose the one-time redemption option. The payment was finalized, and a total of \$ 3,076,875 was sent to the City of Redmond in December 2012. Such receipt was reported as capital contributions to the city's Water/Wastewater fund on the proprietary funds' statement of revenues, expenses, and changes in fund net position. These monies were used to help pay off the remaining balance of the 2008 revenue bonds that became callable in 2018.

Financial statement information can be obtained from Cascade Water Alliance, c/o Chris Paulucci, Finance and Administration Manager, 520 - 112th Avenue NE, Suite 400, Bellevue, WA 98004.

A Regional Coalition for Housing (ARCH)

In November 1992, Redmond joined the Cities of Kirkland, Bellevue, and King County to establish A Regional Coalition for Housing (ARCH). The agreement was recently amended in 2010. Since its inception, King County, the Cities of Redmond, Bellevue, Kirkland, Bothell, Clyde Hill, Hunts Point, Issaquah, Kenmore, Mercer Island, Newcastle, Sammamish, Woodinville, Yarrow Point, and Beaux Arts Village joined ARCH.

ARCH's purpose is to formulate affordable housing goals and policies cooperatively and to foster efforts to provide affordable housing for low and moderate-income households by combining public funding with private-sector resources. ARCH assists member governments in developing housing policies, strategies, programs, and development regulations; identifies and prioritizes projects that the member cities fund directly through their grants, Community Development Block Grants, and US Department of Housing and Urban Development's (HUD) grants.

ARCH is governed by an executive board of chief executive officers from each member. The Board is responsible for reviewing and approving all budgetary, financial, policy, and contractual matters. It is assisted by an administrative staff and a Citizen Advisory Board.

Each member city provides operating funding and contributes operating revenues as specified in the annual budget for ARCH. Contributions from the member cities are based on each member's population. Contributions by member agencies are held in the ARCH Housing Trust Fund Account and dispersed by the Administering Agency for approved projects. In 2023, the city contributed \$219,472 for operations or 13.73% of the total contributions for operations by all members. The City has accumulated \$2,406,140 in the Trust Fund for funding affordable housing projects.

Members may withdraw from the ARCH agreement by giving one year's written notice to the Executive Board, by December 31st of any year, of its intention to terminate, effective December 31st of the following year. Members remain legally and financially responsible for any obligation incurred while a member of ARCH. Upon dissolution, the agreement provides for the distribution of all property and assets among the members based on the percentage of the total annual contributions during the agreement period paid by each member. The City's share of assets is deemed immaterial and thus is not reflected in the financial statements.

Budget monitoring information can be obtained from ARCH, c/o Lindsay Masters, Executive Director, 16305 NE 87th Street, Redmond, WA 98052.

Eastside Public Safety Communications Agency (EPSCA)

The Eastside Public Safety Communications Agency (EPSCA), an emergency regional radio access service provider operation, was established on May 26, 1992, by an interlocal agreement among the Cities of Redmond, Bellevue, Kirkland, and Mercer Island. The Agreement was amended in 1993 to include the City of Issaquah as an additional Principal. EPSCA began principal operations of the 800 MHz radio system in December 1995.

EPSCA is governed by an Executive Board comprised of the principals' Chief Executive Officers. The Board reviews and approves all budgetary, financial, and contractual matters.

An Operations Committee, composed of the Chief of Police and Fire Chief of each principal, reports to the Board and oversees budget preparation, rates, revenues, expenditures, policies, and other operational issues. The Committee also includes representation from non-principal EPSCA user agencies.

EPSCA has developed an Eastside radio communications system integrated with a regional radio communications network. Its capital funding derives from a September 15th, 1992, voter-approved King County excess property tax levy of \$57,016,764. EPSCA's portion of the levy was \$10,004,469.

Operating revenues derive from fees charged to the principals for communications services and subscriber fees for communications services. The City of Redmond paid EPSCA \$142,232 in 2023 for the 800 MHz radios used throughout the city. These fees would change when the access fee rate changes or when radios are added or removed from the system.

The interlocal agreement among the Eastside cities provides a weighted vote according to the proportion of each principal's system radios and the total number of system radios used by all principals. As of December 31st, 2023, the weighted vote percentage was shown as follows:

Redmond	23.79%
Bellevue	47.02%
Kirkland	18.60%
Mercer Island	5.95%
Issaquah	4.64%
	100.00%

These percentages are reviewed and adjusted annually on January 1st, based on the number of radios on the system in use by current Principals as of December 31st of the preceding year. Upon dissolution, the interlocal

agreement provides for the distribution of assets among the Principals based on weighted voting percentages in force at the time of dissolution.

Budget monitoring and compiled financial statements for EPSCA can be obtained from EPSCA, c/o Kale Fong, MS PSEPS, P.O. Box 97010, Redmond, WA 98073-9710.

Hazardous Materials Unit and Response Team (HazMat)

In January 1984, the City of Redmond joined the Cities of Bellevue, Kirkland, Bothell, and King County Fire Protection Districts 16 and 36 to form a Hazardous Materials Unit and Response Team (HazMat). The agreement was recently modified on July 13th, 2004. Current members are the Cities of Redmond, Bellevue, Kirkland, Bothell, Snoqualmie, Eastside Fire & Rescue, Woodinville Fire & Life Safety District, and King County Fire Districts 27 & 45.

The HazMat agreement aims to provide equipment and personnel to improve the quality of emergency services by developing the cooperative HazMat unit as a normal function of fire protection services. Through this existing collaborative model, Eastside is better prepared to respond to any HazMat incident with low frequency but high risk.

The HazMat team is governed by a Joint Board composed of the Fire Chiefs of the member agencies plus one member from the HazMat team. The Joint Board is responsible for formulating policy, establishing annual budgets, and acquiring, holding, and disposing of real and personal property. Except for the HazMat team members, each representative on the Joint Board has a vote on all matters. Member agencies have no equitable interest in the holdings of the consortium, as stated in the agreement.

The City of Bellevue has the administrative authority for operations conducted under the agreement and provides administrative and secretarial support to the Joint Board.

The agreement may be terminated at any time upon the members' mutual agreement. A decision to withdraw will not relieve the withdrawing member of liability incurred before withdrawal. Members withdrawing from the agreement relinquish all rights to any reserve funds, equipment, or material purchased. Upon dissolution, the agreement provides for the distribution of assets among the members based on the percentage of the total annual charges paid by each member during the agreement period.

The HazMat team has no outstanding debt or leases in 2023. Operating revenues are provided by an annual charge assessed to each member based on their property values and the number of emergency incidents. The City of Redmond paid the HazMat team \$24,246 for 2023's contract fee.

Budget monitoring information can be obtained from Eastside Hazardous Materials Joint Board, c/o Babette Bechtold, Bellevue Fire Department, 450 110th Avenue N.E., Bellevue, WA 98004.

Community Connectivity Consortium

The Community Connectivity Consortium is a public corporation organized according to the ordinances and approvals of the Consortium members and RCW 35.21.730 through 35.21.759 and Chapter 39.34.RCW. The Consortium was created in 2011 and is governed by sixteen public agencies that are voting members: cities of Redmond, Bellevue, Kirkland, Renton, Auburn, Kent, Tukwila, Lake Washington School District, University of Washington, Bellevue College, Bellevue School District, Evergreen Hospital, Renton School District, Valley Communication Center, NORCOM, and King County. The Consortium sets the terms and conditions for sharing fiber optic installation projects, outlines how the parties will work together on fiber projects, and establishes the original backbone of the Fiber Consortium network through contributions of budget, fiber assets, conduit, right of way, and staff expertise. It has built over 35 miles of fiber optic cable, creating strategic connection points. The partners use the fiber network to connect schools and universities to enhance learning; to connect hospitals, medical facilities, and clinics to improve health care; connect government facilities for public safety, transportation, and other needs; and to provide an open access network to serve the public with wireless and broadband access.

The City of Redmond petitioned to join the Consortium as a non-voting member on May 14th, 2012 and became a voting member the following year. Redmond has the option to participate in fiber projects with a project agreement that documents scope, roles and responsibilities, ownership, share of the overall project cost, etc.

Since 2012, access to cloud services has become more strategic as more agencies opt for a hybrid approach, with some services in the cloud and others remaining on-premises. The fiber ring provides an integrated approach, offering high-speed private transport of data to the cloud at a minimal cost instead of using transport links offered by network and telecommunication carriers.

As a member, Redmond paid \$5,355 for its annual dues in 2023. The Board can recommend new projects or services with increased dues, and all members get to vote on the recommended budget each May. Besides getting the connectivity any member needs, members with similar interests may share the cost of new projects. Redmond has an equitable interest in the projects in which it participates. If the City decides to leave the Consortium, the assets Redmond acquired under any project agreements remain Redmond's.

Compiled financial statements for the Consortium can be obtained from Chelo Picardal, Chief Technology Officer, City of Bellevue, Information Technology Department, P.O. Box 90012, Bellevue, WA 98009-9012.

North East King County Regional Public Safety Communication Agency (NORCOM)

In November 2007, the City of Kirkland, with the Cities of Bellevue, Bothell, Clyde Hill, Medina, Mercer Island, and Snoqualmie, along with Eastside Fire and Rescue, King County Fire Protection Districts 27 and 45, King and Kittitas County Fire Protection District 51, Northshore Fire Department, Shoreline Fire Department, and Woodinville Fire and Life Safety District entered into an interlocal agreement to establish and maintain a consolidated emergency service communications center to the public for emergency medical services, fire and police.

In 2008, the City of Redmond joined as a subscriber. Prior to the interlocal agreement, the formation efforts were carried out under a Joint Powers Agreement initially approved in 2005 and amended in 2006 and 2007. On July 1st, 2009, the separate dispatch operations of the Cities of Bellevue and Kirkland were combined. They began operating as the North East King County Regional Public Safety Communications Agency (NORCOM). NORCOM includes 911 telephone answering, computer-aided dispatch of fire, police, and EMS resources, public safety field technology, and a records management system.

Operating revenues are provided by user fees charged to each member based on average call volume. The City of Redmond paid \$697,208 to NORCOM for calls for services and maintenance fees in 2023. Redmond has become a principal agency since January 1st, 2017.

Additional financial information can be obtained from NORCOM, c/o Marianne Deppen, Finance Manager, P.O. Box 50911, Bellevue, WA 98015-0911.

North Sound Metro SWAT and Crisis Negotiation Team

In 2016, Redmond joined the North Sound Metro Special Weapons and Tactics (SWAT) and Crisis Negotiation Team (CNT), which is a regional team made up of the following cities: Bothell, Edmonds, Kirkland, Lake Forest Park, Lynnwood, Mill Creek, Monroe, Mountlake Terrace, Mukilteo, and Redmond. Redmond joined this team to combine resources to create a specially trained and equipped unit to respond to and resolve criminal activity of a high-risk nature. The Executive Board is comprised of the Police Chiefs of all participating cities. The Board reviews and approves changes and updates to the SWAT Policy and Procedures Manual and gives approval and direction on operational matters.

Operating revenues are provided by contributions from the participating cities based on population. The City of Redmond paid \$7,565 for 2023's dues. The City's share of assets is deemed immaterial and thus is not reflected in the financial statements. Upon termination of the SWAT team, any funds or jointly purchased assets will be distributed to the participating cities.

Budget monitoring information can be obtained from Deputy Chief Michel St. Jean, Kirkland Police Department, 11750 NE 118th Street, Kirkland, WA 98034.

Sound Cities Association

In 1970, the Sound Cities Association (SCA) was formed to help cities act locally and partner regionally to create vital, livable communities through advocacy, education, leadership, mutual support, and networking. The

The City of Redmond is among 38 cities represented by SCA. The SCA Board of Directors oversees the general activities of the Association and governs the organization by establishing broad policies and objectives for SCA. Operating revenues are provided by membership dues based on population. The City of Redmond's dues were \$54,244 in 2023. The City's share of assets is deemed immaterial and thus is not reflected in the financial statements. Upon dissolution of SCA, any funds or assets shall be distributed to member cities and towns according to the same formula used to determine membership dues.

For additional information, contact Robert Feldstein, Executive Director, at robert@soundcities.org.

NOTE 16:
Contingencies and Litigation

As of December 31, 2023, there were a number of damage claims and lawsuits pending against the City. However, per the management and the City's Attorney, neither the potential liability from any single claim or lawsuit, nor the aggregate potential liability resulting from all pending claims and lawsuits, would materially affect the financial condition of the City.

NOTE 17:

Risk Management

The City of Redmond is exposed to various risks of loss such as: theft of, damage to, destruction of assets; errors & omissions; injuries or property damage to others; employees' health; and natural disasters. The city has three internal service funds to account for and finance its self-insured risks of loss. The city purchases commercial insurance for claims in excess of anticipated self-insured losses. All funds of the city participate in the self-insurance programs and make payments to the self-insurance funds based on estimates of the amounts needed to pay excess insurance and related risk management and service costs, prior and current year claims paid in the current year, and to maintain adequate reserves for catastrophic losses in a given year.

Property and Liability Claims Program

The self-insured portion of the Insurance Claims and Reserve Fund provides coverage up to a maximum of \$500,000 per occurrence for related claims and expenses. There was no claims which exceeded the City's self-insurance limit in 2023; there was one (1) claim exceeded the limit in 2022; no claims exceeded the limit in 2021. Reserves for open claims are established by an independent claim adjusting firm on a case reserve basis based on the assessment of the settlement potential and costs specifically associated with a particular claim, given the information available at the time. Cases are reviewed at least monthly and are subject to periodic audits. Lawsuits are reviewed and handled directly by the city Attorney or the excess insurer's appointed legal counsel.

The city's current approach to risk management stems from 2010 when the city conducted a comprehensive review of its property and liability risk programs. As a result, the city issued a request for proposal (RFP) for a broker/consultant and selected Bannon Carlson & Kessel, Inc. In 2015, Bannon Carlson & Kessel, Inc. joined Leavitt Group's Northwest office. Leavitt Group conducted a search for service providers to meet the city's needs. This resulted in the city selecting Travelers Insurance for liability coverage and retaining Affiliated F.M. for property coverage. As a result, the city's risk program changed from a \$100,000 self-insured retention for general liability claims to a \$25,000 deductible. A deductible limit applies to all claim costs while a self-insured retention only applies to any judgment or settlement. The liability limits were extended to \$25 million for general liability as described in the table below. There was no claims in 2023 which exceeded the deductible amounts; there was one (1) claim in 2022 which exceeded the deductible amounts; no claims in 2021 exceeded the deductible amounts.

Property insurance coverage had remained with Travelers since September 1, 2013. In September 2022, the City replaced Travelers with the Cities Insurance Association of Washington (CIAW) through Leavitt Group. The CIAW is a public entity risk program that provides comprehensive property and liability coverage, and it was formed with the purpose of sharing risk and creating buying power for its members. Currently, CIAW has over 200 members, including 63 Washington cities. A Board of Directors, which is elected by the membership, governs the CIAW and decides the organization's future direction. The Board contracts with a third-party administrator, Clear Risk Solutions, to carry out the day-to-day administrative duties, as well as provide claims and risk control services. Prior to its relationship with Travelers, the city was a member of CIAW.

Medical Self Insurance Program

For 2023, the Medical Self-Insurance Fund provided coverage up to a maximum of \$175,000 per person per calendar year with the Excess Insurance covering an Unlimited Major Medical Maximum. There were two (2) claimants who exceeded the per-person limit in 2023; there were four (4) claimants who exceeded the per-person limit in 2022; there were nine (9) claimants who exceeded the per-person limit in 2021. All funds of the city from which employee wages are paid make premium payments to the Medical Self-Insurance Fund based on health insurance rates derived from actual fund experience and historical and market trend rates.

For several years, the City's Medical Self-Insurance Fund was carrying excess reserves of approximately \$5 million. On March 19th, 2019 Council approved the establishment of Health Reimbursement Arrangement (HRA) Voluntary Employees' Beneficiary Association (VEBA) accounts for employees based on eligibility requirements and the use of reserves in the Medical Self-Insurance Fund to support the new accounts. HRA VEBA trust is a third-party, Voluntary Employees' Beneficiary Association (VEBA) authorized under Internal Revenue Code 501(c)(9). Trust offers tax-exempt funded health reimbursement arrangement. On April 25th, 2019, a total of \$4,935,775 of excess reserves was transferred, on a one-time basis, from Medical Self-Insurance Fund to HRA VEBA employee accounts.

Council authorized the city to self-insure workers' compensation benefits effective January 1, 1998 for employee injuries and illnesses. In 2023, the City's self-insured maximum was \$1,000,000 of each accident or illness for Police and Fire and \$500,000 for the rest of the employees. There was an exception for the wildland fires. If any firefighters were injured during a "wildland event", the self-insured maximum would be \$1,500,000. The City purchases excess insurance above the self-insured amounts, up to the statutory requirements. There were no claims which exceeded the insurance coverages for each of the past three fiscal years. Claims handling is currently contracted to an independent, qualified third-party administrator (TPA).

As of December 31, 2023, the city had reserves of \$1,457,694 in the Insurance Fund, \$7,190,041 in the Medical Self-Insurance Fund, and \$2,553,290 in the Workers' Compensation Fund to provide against risk of future loss. Claims liabilities of \$107,928 have been reported in the Insurance Fund, \$5,043,000 in the Medical Self-Insurance Fund, and \$682,507 in the Workers' Compensation Fund based on estimates provided by the city's third-party administrators. Historical claims liabilities for incurred but not reported (IBNR) in the Insurance Claims and Reserve Fund average 15% to 17% of paid claims for the year. Reported claims liabilities are based on the requirements of GASB Statement 10, which requires that a liability for claims be reported if information prior to the issuance of the financial statements indicates that it is probable that a liability has been incurred at the date of the financial statements and the amount of the loss can be reasonably estimated.

Changes in the self-insurance funds' claims liabilities from fiscal year ended December 31, 2022 to December 31, 2023, were:

	<u>Insurance Fund</u>	<u>Medical Insurance Fund</u>	<u>Workers' Comp Fund</u>
December 31, 2022			
Unpaid claims, beginning of fiscal year	\$ 77,360	\$ 3,195,000	\$ 399,850
Claims incurred (including IBNRs)	277,245	11,081,699	826,368
Claims payments	(262,441)	(10,172,699)	(724,593)
Unpaid claims-December 31, 2022	<u>\$ 92,164</u>	<u>\$ 4,104,000</u>	<u>\$ 501,625</u>
December 31, 2023			
Unpaid claims, beginning of fiscal year	\$ 92,164	\$ 4,104,000	\$ 501,625
Claims incurred (including IBNRs)	247,479	10,991,130	1,586,456
Claims payments	(231,715)	(10,052,130)	(1,405,574)
Unpaid claims-December 31, 2023	<u>\$ 107,928</u>	<u>\$ 5,043,000</u>	<u>\$ 682,507</u>

Commercial insurance policies were purchased to protect the city from claims which exceed the coverage provided by the self-insurance funds.

<u>Policy Type</u>	<u>Coverage</u>	<u>Self-Insurance Retention</u>	<u>Excess</u>
Property Policy Limit	\$250,000,000	\$100,000	
Earth Movement	5,000,000	250,000	
Flood	5,000,000	100,000	
Employee Theft	1,225,000	25,000	
General Liability - Per Occurrence	5,000,000	500,000	
General Liability - Aggregate	5,000,000		
Law Enforcement	5,000,000	500,000	
Employment Related Practices	5,000,000	500,000	
Auto Liability	5,000,000	500,000	
Umbrella Excess Liability (Excess of General, Auto and Law Enforcement Liabilities)	5,000,000		
Aggregate	5,000,000		
Excess over Umbrella	5,000,000		\$5M XS of \$5M
Excess over Excess	5,000,000		\$5M XS of \$10M
Excess over Excess	5,000,000		\$5M XS of \$15M
Excess over Excess	5,000,000		\$5M XS of \$20M
Excess over Excess	5,000,000		\$5M XS of \$25M
Cyber Liability	4,000,000	500,000	
Public Entity Management Liability	5,000,000	500,000	
Underground Storage Tank Liability - Each	1,000,000	15,000	
Underground Storage Tank Liability - Aggregate	3,000,000		
Aboveground Storage Tank Liability - Each	1,000,000	5,000	
Aboveground Storage Tank Liability - Aggregate	3,000,000		
Excess Workers Compensation	Statutory	\$1,000,000	
Excess Medical Insurance	Unlimited	\$175,000	

NOTE 18:

Accounting and Reporting Changes

Implementation of new Governmental Accounting Standards Board (GASB) pronouncements

Effective for fiscal year 2023 reporting, the City adopted the following new standards issued by the Governmental Accounting Standards Board (GASB):

GASB Statement No. 96, Subscription-Based Information Technology Arrangements – provides guidance on the accounting and financial reporting for subscription-based information technology arrangements (SBITAs) for government end users (governments). This Statement (1) defines a SBITA; (2) establishes that a SBITA results in a right-to-use subscription asset-an intangible asset-and a corresponding subscription liability; (3) provides the capitalization criteria for outlays other than subscription payments, including implementation costs of a SBITA; and (4) requires note disclosures regarding a SBITA. To the extent relevant, the standards for SBITAs are based on the standards established in Statement No. 87, Leases, as amended.

GASB Statement No. 99, Omnibus 2022 – enhance comparability in accounting and financial reporting and to improve the consistency of authoritative literature by addressing (1) practice issues that have been identified during implementation and application of certain GASB Statements and (2) accounting and financial reporting for financial guarantees. The practice issues addressed by this Statement are as follows:

- Classification and reporting of derivative instruments within the scope of *Statement No. 53, Accounting and Financial Reporting for Derivative Instruments*, that do not meet the definition of either an investment derivative instrument or a hedging derivative instrument.
- Clarification of provisions in Statement No. 87, Leases, as amended, related to the determination of the lease term, classification of a lease as a short-term lease, recognition and measurement of a lease liability and a lease asset, and identification of lease incentives.
- Clarification of provisions in Statement No. 94, *Public-Private and Public-Public Partnerships and Availability Payment Arrangements*, related to (a) the determination of the public-private and public-public partnership (PPP) term and (b) recognition and measurement of installment payments and the transfer of the underlying PPP asset.
- Clarification of provisions in Statement No. 96, *Subscription-Based Information Technology Arrangements*, related to the subscription-based information technology arrangement (SBITA) term, classification of a SBITA as a short-term SBITA, and recognition and measurement of a subscription liability.
- Extension of the period during which the London Interbank Offered Rate (LIBOR) is considered an appropriate benchmark interest rate for the qualitative evaluation of the effectiveness of an interest rate swap that hedges the interest rate risk of taxable debt.
- Accounting for the distribution of benefits as part of the Supplemental Nutrition Assistance Program (SNAP).
- Disclosures related to nonmonetary transactions.
- Pledges of future revenues when resources are not received by the pledging government.
- Clarification of provisions in Statement No. 34, *Basic Financial Statements—and Management's Discussion and Analysis—for State and Local Governments*, as amended, related to the focus of the government-wide financial statements.
- Terminology updates related to certain provisions of Statement No. 63, *Financial Reporting of Deferred Outflows of Resources, Deferred Inflows of Resources, and Net Position*.
- Terminology used in Statement 53 to refer to resource flows statements.

Note 19: Other Disclosures

American Rescue Plan Act

In 2021, the federal government passed the American Rescue Plan Act, which authorized the Coronavirus State and Local Fiscal Recovery Funds (CSLFRF). The City was awarded CSLFRF funds of \$9,928,999. The City received \$4,964,500 in 2021 and \$4,964,500 in 2022. The funds must be committed by December 31, 2024, and entirely spent no later than December 31, 2026.

Among the approved uses of this funding, the City is allowed to pay for the provision of government services to the extent of the revenue reduction relative to revenues collected in 2019. To backfill for declined revenues due to the COVID-19 pandemic, \$3.0 million of the American Rescue Plan Act (ARPA) grant funding will be transferred into the utility operating fund and \$250,000 to the Recreation Activity Fund over the 2023-2024 Biennium.

The proforma calculation of such revenue loss in 2020 amounted to \$9.9 million using the revised base growth rate assumption of 5.2% as provided by the US Treasury Final Rule guidelines.

The remaining ARPA funds will be used for various programs and projects, including small grants to businesses negatively impacted by the COVID pandemic, providing funding and support for human service partnerships and tourism recovery, and technology enhancements to support a hybrid work environment.

As of December 31, 2023, the City has spent \$7,773,724 on qualifying programs, and \$2,155,276 was booked as unearned revenue.

Opioid Settlement

In 2021, nationwide settlements were reached to resolve opioid litigation brought by states and local political subdivisions against the three largest pharmaceutical distributors – McKesson, Cardinal Health, and AmerisourceBergen – and against manufacturer Janssen Pharmaceuticals, Inc. and its parent company, Johnson & Johnson. The 2021 settlement payments began at the end of 2022. In late 2023, nationwide settlements were reached with three pharmacy chains – CVS, Walgreens, and Walmart – and two additional manufacturers – Allergan and Teva.

The City will receive \$3.03 million over 17 years, with the final payment to be received in July 2038. The payments received through December 31, 2023, are \$117,263, with an outstanding receivable of \$2,914,577.

In December 2023, the City recorded \$2,914,577 in deferred inflow of resources to support the following programs:

- Improving and expanding treatment for opioid use disorder.
- Supporting individuals in treatment and recovery, including providing comprehensive wrap-around services to individuals with opioid use disorder, including housing, transportation, education, job placement, job training, or childcare.
- Addressing the needs of pregnant women and their families, including those with babies with neonatal disorders.
- Preventing opioid misuse, overprescribing, and overdoses through, among other strategies, school-based and youth-focused programs, public education campaigns, increased availability and distribution of naloxone and other drugs that treat overdoses, additional training and enhancements to the prescription drug monitoring program; and
- Supporting first responders.

NOTE 20:

Asset Retirement Obligation

The City has three types of assets that have asset retirement obligations (AROs) under State law: fuel tanks, drinking water wells, and resource protection wells.

The City first implemented asset retirement obligations in 2020 using a probability weighting average methodology. GASB 83 requires a government to evaluate all relevant factors at least annually to determine whether the effects of one or more of the factors are expected to change the estimated asset retirement significantly outlays. During this review, additional information was discovered, resulting in changes to the City's assumptions and methodology for 2021. Specifically, the cost estimate for each type of ARO and the estimated functional life of the asset were updated, and the amortization methodology was revised.

Fuel Tanks:

The City currently has four underground fuel tanks with a legal enforcement liability associated with decommissioning costs at retirement. An underground fuel tank is an underground storage tank with unconnected underground piping, underground ancillary equipment, and containment systems. In accordance with WAC 173-360A and RCW 90.76, the retirement of these assets would create a threat of releasing hazardous materials, mainly petroleum, requiring financial assurance to decommission such assets.

To determine the AROs for 2023, the City continued to update the cost of decommissioning the fuel tanks based on the actual 2013 cost.

The city utilized a "remaining years methodology" and amortized the asset over a 35-year useful life.

<u>Underground Fuel Tank</u>	<u>Asset Remaining Useful Life in Years</u>	<u>Asset retirement obligation</u>
15,000 Gal UST (Diesel) in service since 9/25/1990	2	\$ 67,030
15,000 Gal UST (Unleaded gas) in service since 7/1/1997	9	67,031
15,000 Gal UST (Diesel) in service since 7/1/1997	9	67,031
600 Gal UST (Used motor oil) in service since 6/8/1998	10	67,031
		<u>\$ 268,123</u>

Drinking Water Wells

The City has five drinking water wells that have a legally enforced liability associated with decommissioning costs of retirement. In accordance with WAC 173-160-381, WAC 173-162, and RCW Chapter 18.104 for the Washington Well Construction Act, certain decommissioning steps are required when these drinking water wells are abandoned.

To determine the ARO for 2023, the city focused on the linear foot and depth of the well to determine the cost of decommissioning.

The city utilized a "remaining years methodology" and amortized the asset over a 100-year useful life.

<u>Drinking Water Wells</u>	<u>Asset Remaining Useful Life</u> <u>in Years</u>	<u>Asset retirement</u> <u>obligation</u>
Wells 1 & 2	100	\$ 27,559
Wells 5	81	8,120
Wells 3	65	8,708
Wells 4	93	9,921
		<u>\$ 54,308</u>

Resource Protection Wells

The City has 89 resource protection wells that have a legal enforcement liability associated with decommissioning costs of retirement. In accordance with WAC 173-160-460 for resource protection wells, decommissioning steps are required when these assets are abandoned. Two resource protection wells were decommissioned in 2022, and one was decommissioned in 2023.

To determine the ARO for 2023, the city updated the cost of decommissioning the fuel tanks based on the actual average cost.

The city utilized a “remaining years methodology” and amortized the asset over a 50-year useful life.

<u>Resource Protection</u> <u>Wells</u>	<u>Asset Remaining Useful</u> <u>Life in Years</u>	<u>Asset retirement</u> <u>obligation</u>
4	21	\$ 22,106
2	23	11,053
3	27	16,580
5	28	27,633
4	30	22,106
1	32	5,527
1	33	5,527
30	34	165,797
6	35	33,159
8	36	44,213
2	37	11,053
10	38	55,266
1	40	5,527
3	43	16,580
4	47	22,106
2	50	11,052
		<u>\$ 475,285</u>

Note 21:
Prior Period Adjustments

Other Governmental Funds, Tourism Fund

A prior period adjustment of \$71,727 has been recorded as an increase in net position within the Governmental Funds, as shown in the Combining Statement of Revenues, Expenditures, and Changes in Fund Balances for Governmental Funds. This adjustment relates to tourism revenue that was inaccurately recorded in the previous year. Additionally, the "Due to Other Government" liability in the Governmental Fund Balance Sheet was reduced by the same amount. This adjustment only affects the Tourism Fund.

NOTE 22

Subsequent Events

Utility tax of City's Utilities

On November 19, 2024, the City Council voted to impose a new Utility Tax (1%) on the City's stormwater, Water, and wastewater utilities, estimated to generate \$584,000 in annual revenue over the biennium to provide for public safety needs. The utility tax on utilities is effective beginning January 1, 2025.

Transport Fees for Emergency Medical Services

On November 19, 2024, the City Council approved ordinance 3179, approving an Emergency Medical Services (EMS) transport fee program. The Fire Department proposes adopting an EMS Transport Fee to improve revenue in support of the current EMS program and align with all other Private and Fire-based EMS providers in Kings County and the majority of EMS transport systems throughout the state and nation. In the 2025-2026 budget, \$1.8 million in revenue is projected.

REQUIRED SUPPLEMENTARY INFORMATION

City of Redmond					
Schedule of Revenues, Expenditures and Changes in Fund Balance					
Budget and Actual - General Fund					
For the year ended December 31, 2023					
	Original Budget 2023-2024	Final Budget 2023-2024	2023 Actual	Actual 2023-2024 Biennium	Variance with Final Budget Positive (Negative)
REVENUES					
Taxes	\$ 185,369,334	\$ 179,869,334	\$ 102,792,520	\$ 102,792,520	\$ (77,076,814)
Licenses and permits	29,159,840	29,159,840	13,120,649	13,120,649	(16,039,191)
Contributions	351,364	426,364	255,108	255,108	(171,256)
Intergovernmental	13,616,079	12,563,556	10,004,998	10,004,998	(2,558,558)
Charges for services	34,416,890	34,495,234	15,414,454	15,414,454	(19,080,780)
Fines and forfeitures	561,021	561,021	257,086	257,086	(303,935)
Investment income	1,297,000	1,297,000	4,924,862	4,924,862	3,627,862
Miscellaneous	5,153,672	5,832,465	3,185,231	3,185,231	(2,647,234)
Total revenues	<u>269,925,200</u>	<u>264,204,814</u>	<u>149,954,908</u>	<u>149,954,908</u>	<u>(114,249,906)</u>
EXPENDITURES					
Current					
General government	\$ 60,338,026	\$ 71,259,065	29,115,704	29,115,704	\$ 42,143,361
Public safety	124,752,046	127,478,055	62,042,689	62,042,689	65,435,366
Physical environment	268,583	458,292	-	-	458,292
Transportation	36,220,329	34,634,299	13,450,134	13,450,134	21,184,165
Economic environment	16,331,014	16,720,712	9,069,330	9,069,330	7,651,382
Social services	9,173,403	9,271,761	4,029,452	4,029,452	5,242,309
Culture and recreation	40,201,477	29,195,179	13,422,244	13,422,244	15,772,935
Capital outlay	3,674,197	3,749,197	1,307,209	1,307,209	2,441,988
Debt service	-	-	557,776	557,776	(557,776)
Principal	-	-	209,120	209,120	(209,120)
Interest and issuance costs	-	-	-	-	-
Total expenditures	<u>290,959,075</u>	<u>292,766,560</u>	<u>133,203,658</u>	<u>133,203,658</u>	<u>159,562,902</u>
Excess (deficiency) of revenues over (under) expenditures	(21,033,875)	(28,561,746)	16,751,250	16,751,250	45,312,996
OTHER FINANCING SOURCES (USES)					
Disposition of capital assets	-	-	1	1	1
Leases	-	-	377,566	377,566	377,566
Transfers in	45,400,042	48,207,474	4,093,045	4,093,045	(44,114,429)
Transfers out	(67,142,247)	(68,474,235)	(15,930,524)	(15,930,524)	52,543,711
Total other financing sources and uses	<u>(21,742,205)</u>	<u>(20,266,761)</u>	<u>(11,459,912)</u>	<u>(11,459,912)</u>	<u>8,806,849</u>
Net change in fund balance	<u>(42,776,080)</u>	<u>(48,828,507)</u>	<u>5,291,338</u>	<u>5,291,338</u>	<u>54,119,845</u>
Fund balance-beginning	86,512,262	101,983,168	95,358,603	95,358,603	(6,624,565)
Fund balance-ending	<u>\$ 43,736,182</u>	<u>\$ 53,154,661</u>	<u>\$ 100,649,941</u>	<u>\$ 100,649,941</u>	<u>\$ 47,495,280</u>

REQUIRED SUPPLEMENTARY INFORMATION

City of Redmond Schedule of Proportionate Share of the Net Pension Liability PERS 1 As of June 30, 2023 Last 10 Fiscal Years*										
	2015	2016	2017	2018	2019	2020	2021	2022	2023	
Employer's proportion of the net pension liability (asset)	%	0.277269%	0.282854%	0.279288%	0.277829%	0.272760%	0.267873%	0.267230%	0.268282%	0.269140%
Employer's proportionate share of the net pension liability (asset)	\$	14,503,747	15,190,592	13,252,433	12,407,938	10,488,590	9,457,363	3,263,504	7,469,955	6,143,745
TOTAL	\$	14,503,747	15,190,592	13,252,433	12,407,938	10,488,590	9,457,363	3,263,504	7,469,955	6,143,745
Employer's covered payroll	\$	31,572,345	33,640,475	34,727,464	36,583,419	38,037,993	40,491,902	40,927,146	45,890,131	50,632,157
Employer's proportionate share of the net pension liability as a percentage of covered payroll	%	45.94%	45.16%	38.16%	33.92%	27.57%	23.36%	7.97%	16.28%	12.13%
Plan fiduciary net position as a percentage of the total pension liability	%	59.10%	57.03%	61.24%	63.22%	67.12%	68.64%	88.74%	76.56%	80.16%

* Until a full 10-year trend is compiled, information is presented only for those years for which information is available.

REQUIRED SUPPLEMENTARY INFORMATION

City of Redmond
Schedule of Proportionate Share of the Net Pension Liability
PERS 2, 3
As of June 30, 2023
Last 10 Fiscal Years *

	2015	2016	2017	2018	2019	2020	2021	2022	2023
Employer's proportion of the net pension liability (asset) %	0.349456%	0.354613%	0.352032%	0.350327%	0.348441%	0.346017%	0.341492%	0.347312%	0.346958%
Employer's proportionate share of the net pension liability (asset) \$	12,486,262	17,854,484	12,231,429	5,981,522	3,384,547	4,425,360	(34,018,098)	(12,881,041)	(14,220,709)
TOTAL \$	12,486,262	17,854,484	12,231,429	5,981,522	3,384,547	4,425,360	(34,018,098)	(12,881,041)	(14,220,709)
Employer's covered payroll \$	31,081,296	33,183,481	34,513,096	36,338,197	37,874,599	40,387,810	40,844,260	45,778,975	50,632,155
Employer's proportionate share of the net pension liability as a percentage of covered payroll %	40.17%	53.81%	35.44%	16.46%	8.94%	10.96%	-83.29%	-28.14%	-28.09%
Plan fiduciary net position as a percentage of the total pension liability %	89.20%	85.82%	90.97%	95.77%	97.77%	97.22%	120.29%	106.73%	107.02%

* Until a full 10-year trend is compiled, information is presented only for those years for which information is available.

REQUIRED SUPPLEMENTARY INFORMATION

City of Redmond
Schedule of Proportionate Share of the Net Pension Liability
PSERS
As of June 30, 2023
Last 10 Fiscal Years*

	2015	2016	2017	2018	2019	2020	2021	2022	2023
Employer's proportion of the net pension liability (asset)	%	0.092509%	0.073365%	0.060021%	0.013917%	0.000000%	0.000000%	0.000000%	0.000000%
Employer's proportionate share of the net pension liability (asset)	\$	16,958	31,179	11,760	172	-	-	-	-
TOTAL	\$	16,958	31,179	11,760	172	-	-	-	-
Employer's covered payroll	\$	268,804	242,743	212,505	54,645	-	-	-	-
Employer's proportionate share of the net pension liability as a percentage of covered payroll	%	6.31%	12.84%	5.53%	0.31%	-	-	-	-
Plan fiduciary net position as a percentage of the total pension liability	%	95.08%	90.41%	96.26%	99.79%	101.85%	123.67%	105.96%	107.90%

REQUIRED SUPPLEMENTARY INFORMATION

City of Redmond
Schedule of Proportionate Share of the Net Pension Liability
LEOFF 1
As of June 30, 2023
Last 10 Fiscal Years*

	2015	2016	2017	2018	2019	2020	2021	2022	2023
Employer's proportion of the net pension liability (asset)	%	0.061310%	0.066346%	0.066931%	0.067634%	0.068841%	0.070351%	0.073924%	0.073395%
Employer's proportionate share of the net pension liability (asset)	\$	(738,921)	(683,554)	(1,015,491)	(1,227,897)	(1,360,719)	(2,439,891)	(2,120,593)	(2,178,381)
State's proportionate share of the net pension liability (asset) associated with the employer	\$	(4,998,043)	(4,623,539)	(6,868,753)	(8,305,462)	(9,203,868)	(16,503,361)	(14,343,642)	(14,734,516)
TOTAL	\$	(5,736,964)	(5,307,093)	(7,884,244)	(9,533,359)	(10,564,587)	(18,943,252)	(16,464,235)	(16,912,898)
Employer's covered payroll	\$	182,331	-	-	-	-	-	-	-
Employer's proportionate share of the net pension liability as a percentage of covered payroll	%	-405.26%	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Plan fiduciary net position as a percentage of the total pension liability	%	127.36%	123.74%	135.96%	144.42%	148.78%	187.45%	169.62%	175.99%

* Until a full 10-year trend is compiled, information is presented only for those years for which information is available.

REQUIRED SUPPLEMENTARY INFORMATION

City of Redmond
Schedule of Proportionate Share of the Net Pension Liability
LEOFF 2
As of June 30, 2023
Last 10 Fiscal Years*

	2015	2016	2017	2018	2019	2020	2021	2022	2023
Employer's proportion of the net pension liability (asset)	%								
	0.905449%	0.844407%	0.888184%	0.857127%	0.845952%	0.794078%	0.885280%	0.860454%	0.819886%
Employer's proportionate share of the net pension liability (asset)	\$	(9,306,205)	(4,911,324)	(12,325,116)	(17,401,547)	(19,598,111)	(51,420,727)	(23,384,541)	(19,665,769)
State's proportionate share of the net pension liability (asset) associated with the employer	\$	(6,153,272)	(3,201,826)	(7,995,073)	(11,267,173)	(12,834,137)	(33,171,982)	(15,147,996)	(12,558,358)
TOTAL	\$	(15,459,477)	(8,113,150)	(20,320,189)	(28,668,720)	(32,432,247)	(84,592,709)	(38,532,537)	(32,224,127)
Employer's covered payroll	\$	26,361,527	25,582,420	27,783,905	28,236,058	29,619,230	34,022,324	35,662,719	36,962,136
Employer's proportionate share of the net pension liability as a percentage of covered payroll	%	-35.30%	-19.20%	-44.36%	-61.63%	-66.17%	-151.14%	-65.57%	-53.21%
Plan fiduciary net position as a percentage of the total pension liability	%	111.67%	106.04%	113.36%	118.50%	119.43%	142.00%	116.09%	113.17%

* Until a full 10-year trend is compiled, information is presented only for those years for which information is available.

REQUIRED SUPPLEMENTARY INFORMATION

City of Redmond
Schedule of Employer Contributions
PERS 1
As of December 31, 2023
Last 10 Fiscal Years*

	2015	2016	2017	2018	2019	2020	2021	2022	2023
Statutorily or contractually required contributions	\$ 1,444,684	1,653,434	1,789,500	1,885,408	1,983,953	1,944,165	1,784,515	1,731,355	1,713,646
Contributions in relation to the statutorily or contractually required contributions	\$ (1,444,684)	(1,653,434)	(1,789,500)	(1,885,408)	(1,983,953)	(1,944,165)	(1,784,515)	(1,731,355)	(1,713,646)
Contribution deficiency (excess)	\$ -	-	-	-	-	-	-	-	-
Covered payroll	\$ 32,615,637	34,388,717	36,162,379	36,909,229	40,004,857	40,352,746	41,590,805	45,890,131	50,632,157
Contributions as a percentage of covered payroll	% 4.43%	4.81%	4.95%	5.11%	4.96%	4.82%	4.29%	3.77%	3.38%

* Until a full 10-year trend is compiled, information is presented only for those years for which information is available.

REQUIRED SUPPLEMENTARY INFORMATION

City of Redmond
Schedule of Employer Contributions
PERS 2, 3
As of December 31, 2023
Last 10 Fiscal Years*

	2015	2016	2017	2018	2019	2020	2021	2022	2023
Statutorily or contractually required contributions	\$ 1,814,140	2,112,355	2,461,861	2,751,819	3,077,929	3,187,761	2,962,486	2,911,549	3,220,216
Contributions in relation to the statutorily or contractually required contributions	\$ (1,814,140)	(2,112,355)	(2,461,861)	(2,751,819)	(3,077,929)	(3,187,761)	(2,962,486)	(2,911,549)	(3,220,216)
Contribution deficiency (excess)	\$ -	-	-	-	-	-	-	-	-
Covered payroll	\$ 32,160,083	33,906,036	35,809,117	36,690,221	39,899,665	40,247,586	41,547,057	45,778,975	50,632,155
Contributions as a percentage of covered payroll	% 5.64%	6.23%	6.87%	7.50%	7.71%	7.92%	7.13%	6.36%	6.36%

* Until a full 10-year trend is compiled, information is presented only for those years for which information is available.

REQUIRED SUPPLEMENTARY INFORMATION

City of Redmond
Schedule of Employer Contributions
PSERS
As of December 31, 2023
Last 10 Fiscal Years*

	2015	2016	2017	2018	2019	2020	2021	2022	2023
Statutorily or contractually required contributions \$	15,367	17,958	7,514	-	-	-	-	-	-
Contributions in relation to the statutorily or contractually required contributions \$	(15,367)	(17,958)	(7,514)	-	-	-	-	-	-
Contribution deficiency (excess) \$	-	-	-	-	-	-	-	-	-
Covered payroll \$	237,629	272,507	112,895	-	-	-	-	-	-
Contributions as a percentage of covered payroll %	6.47%	6.59%	6.66%	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%

REQUIRED SUPPLEMENTARY INFORMATION

City of Redmond
Schedule of Employer Contributions
LEOFF 2
As of December 31, 2023
Last 10 Fiscal Years*

	2015	2016	2017	2018	2019	2020	2021	2022	2023
Statutorily or contractually required contributions	\$ 1,350,946	1,339,697	1,455,369	1,515,013	1,569,795	1,658,832	1,750,521	1,835,836	1,897,432
Contributions in relation to the statutorily or contractually required contributions	\$ (1,350,946)	(1,339,697)	(1,455,369)	(1,515,013)	(1,569,795)	(1,658,832)	(1,750,521)	(1,835,836)	(1,897,432)
Contribution deficiency (excess)	\$ -	-	-	-	-	-	-	-	-
Covered payroll	\$ 26,751,402	26,528,575	28,238,790	28,691,585	30,083,310	32,073,660	33,902,108	35,662,719	36,962,136
Contributions as a percentage of covered payroll	% 5.05%	5.05%	5.15%	5.28%	5.22%	5.17%	5.16%	5.15%	5.13%

* Until a full 10-year trend is compiled, information is presented only for those years for which information is available.

REQUIRED SUPPLEMENTARY INFORMATION

City of Redmond
Schedule of Changes in Total Pension Liability and Related Ratios
Firefighter's Pension Plan
Last 10 Fiscal Years

	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023
Total pension liability - beginning	\$ 331,168	\$ 483,433	\$ 567,121	\$ 685,451	\$ 692,473	\$ 676,110	\$ 640,242	\$ 518,247	\$ 589,347	\$ 513,444
Service cost	-	-	-	-	-	-	-	-	-	-
Interest	10,399	15,014	17,704	21,443	21,608	21,075	19,919	15,871	18,196	15,825
Changes in benefit terms	-	-	-	-	-	-	-	-	-	-
Differences between expected and actual experience	154,238	97,140	128,397	16,300	(3,536)	(21,894)	(106,394)	129,301	(52,640)	11,017
Changes of assumptions	-	-	-	-	-	-	-	(29,517)	-	-
Benefit payments, including refunds of contributions	(12,372)	(28,466)	(27,771)	(30,721)	(34,435)	(35,049)	(35,520)	(44,555)	(41,459)	(37,804)
Other changes	-	-	-	-	-	-	-	-	-	-
Net change in total pension liability	<u>152,285</u>	<u>83,688</u>	<u>118,330</u>	<u>7,022</u>	<u>(16,363)</u>	<u>(35,868)</u>	<u>(121,995)</u>	<u>71,100</u>	<u>(75,903)</u>	<u>(10,962)</u>
Total pension liability - ending	<u>\$ 483,433</u>	<u>\$ 567,121</u>	<u>\$ 685,451</u>	<u>\$ 692,473</u>	<u>\$ 676,110</u>	<u>\$ 640,242</u>	<u>\$ 518,247</u>	<u>\$ 589,347</u>	<u>\$ 513,444</u>	<u>\$ 502,482</u>
Covered payroll	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Total pension liability as a % of covered employee payroll	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A

Notes to Schedule:

There are no assets accumulated in a trust that meets the criteria of a qualified plan under GASB Statements 67/68.

REQUIRED SUPPLEMENTARY INFORMATION

The City of Redmond
Schedule of Changes in Total OPEB Liability and Related Ratios
OPEB Plan LEOFF 1
For the year ended December 31, 2023
Last 10 Fiscal Years*

	2018	2019	2020	2021	2022	2023
Service cost	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Interest	\$ 557,907	\$ 578,786	\$ 523,514	\$ 397,423	\$ 392,846	\$ 501,148
Changes in experience data and assumptions	\$ (567,119)	\$ 88,620	\$ 3,177,258	\$ 526,820	\$ (3,756,077)	\$ 1,032,514
Estimated benefit payments	\$ (547,753)	\$ (692,109)	\$ (637,970)	\$ (711,175)	\$ (728,562)	\$ (607,579)
Other changes	\$ -	\$ -	\$ -	\$ -	\$ -	\$ -
Net Change in total OPEB liability	\$ (556,965)	\$ (24,703)	\$ 3,062,802	\$ 213,068	\$ (4,091,793)	\$ 926,063
Total OPEB liability - beginning	\$ 15,855,449	\$ 15,298,484	\$ 15,273,781	\$ 18,336,583	\$ 18,549,651	\$ 14,457,858
Total OPEB liability - ending	\$ 15,298,484	\$ 15,273,781	\$ 18,336,583	\$ 18,549,651	\$ 14,457,858	\$ 15,383,941
Covered-employee payroll**	-	-	-	-	-	-
Total OPEB liability as a % of covered payroll	N/A	N/A	N/A	N/A	N/A	N/A

Notes to Schedule:

Changes of assumptions and other inputs reflect the effects of changes in the discount rate each period. The following are the discount rates used in each period.

2018	3.87%
2019	3.50%
2020	2.21%
2021	2.16%
2022	3.54%
2023	3.65%

* Until a full 10-year trend is compiled, only information for those years available is presented.

No assets are accumulated in a trust that meets the criteria in paragraph 4 of GASB 75.

** Covered-employee payroll is the payroll of employees that are provided with OPEB through the OPEB plan (GASB 75, par. 246).

Notes to the Required Supplementary Information

Pensions

Change in Assumptions and Methods: Actuarial results that the Office of the State Actuary provided within the Department of Retirement Systems Participating Employer Financial Information report reflect the following changes in assumptions and methods:

- For all plans except LEOFF Plan 1, how terminated and vested member benefits are valued was corrected.
- How the basic minimum COLA in PERS Plan 1 is valued for legal order payees was improved.
- The average expected remaining service lives calculation was revised. It is used to recognize the changes in pension expense to no longer discount future years of service back to the present day.

LEOFF 1 no longer requires contributions.

Other Postemployment Benefits

Beginning in year 2021, valuation calculations for the Medical and Long-Term Care Benefits were done using the Alternative Measurement Method for GASB 75 as directed by the Office of the State Actuary.

Budget to Actual Schedules

The City's budget is adopted on a GAAP basis. Expenditure appropriations include ending fund balance.

City of Redmond
Schedule of Expenditures of Federal Awards
For the Year Ended December 31, 2023

Federal Agency (Pass-Through Agency)	Federal Program	ALN Number	Other Award Number	Expenditures			Passed through to Subrecipients	Note
				From Pass- Through Awards	From Direct Awards	Total		
CDBG - Entitlement Grants Cluster								
ASSISTANT SECRETARY FOR COMMUNITY PLANNING AND DEVELOPMENT, HOUSING AND URBAN DEVELOPMENT, DEPARTMENT OF (via King County Department of Community and Human Services)	COVID 19 - Community Development Block Grants/Entitlement Grants	14.218	6181829	7,636	-	7,636	7,636	1
ASSISTANT SECRETARY FOR COMMUNITY PLANNING AND DEVELOPMENT, HOUSING AND URBAN DEVELOPMENT, DEPARTMENT OF (via King County Department of Community and Human Services)	COVID 19 - Community Development Block Grants/Entitlement Grants	14.218	6242299	13,755	-	13,755	13,755	1
ASSISTANT SECRETARY FOR COMMUNITY PLANNING AND DEVELOPMENT, HOUSING AND URBAN DEVELOPMENT, DEPARTMENT OF (via King County Department of Community and Human Services)	Community Development Block Grants/Entitlement Grants	14.218	6384393	41,787	-	41,787	-	1
ASSISTANT SECRETARY FOR COMMUNITY PLANNING AND DEVELOPMENT, HOUSING AND URBAN DEVELOPMENT, DEPARTMENT OF (via King County Department of Community and Human Services)	Community Development Block Grants/Entitlement Grants	14.218	6401425	41,787	-	41,787	41,787	1, 2
Total CDBG - Entitlement Grants Cluster:				104,965	-	104,965	63,178	

The accompanying notes are an integral part of this schedule.

City of Redmond
Schedule of Expenditures of Federal Awards
For the Year Ended December 31, 2023

Federal Agency (Pass-Through Agency)	Federal Program	ALN Number	Other Award Number	Expenditures			Passed through to Subrecipients	Note
				From Pass- Through Awards	From Direct Awards	Total		
OFFICE OF JUSTICE PROGRAMS, JUSTICE, DEPARTMENT OF	Bulletproof Vest Partnership Program	16.607	-	-	18,310	18,310	-	1, 2
OFFICE OF JUSTICE PROGRAMS, JUSTICE, DEPARTMENT OF	Body Worn Camera Policy and Implementation	16.835	15PBJA-21-GG -04458-BWCX	-	80,648	80,648	-	1, 2
FEDERAL HIGHWAY ADMINISTRATION, TRANSPORTATION, DEPARTMENT OF (via Washington Department of Transportation)	Highway Planning and Construction	20.205	STPUL-2075 (010)	22,388	-	22,388	-	1, 2
FEDERAL HIGHWAY ADMINISTRATION, TRANSPORTATION, DEPARTMENT OF (via Washington State Dept of Transportation)	Highway Planning and Construction	20.205	CM-2080(003)	333,303	-	333,303	-	1, 2
FEDERAL HIGHWAY ADMINISTRATION, TRANSPORTATION, DEPARTMENT OF (via Washington State Dept of Transportation)	Highway Planning and Construction	20.205	STPUL-2015 (094)	2,086,511	-	2,086,511	-	1, 2
FEDERAL HIGHWAY ADMINISTRATION, TRANSPORTATION, DEPARTMENT OF (via Washington State Dept of Transportation)	Highway Planning and Construction	20.205	STPUL-2085 (006)	961,657	-	961,657	-	1, 2

The accompanying notes are an integral part of this schedule.

City of Redmond
Schedule of Expenditures of Federal Awards
For the Year Ended December 31, 2023

Federal Agency (Pass-Through Agency)	Federal Program	ALN Number	Other Award Number	Expenditures			Passed through to Subrecipients	Note
				From Pass- Through Awards	From Direct Awards	Total		
			Total ALN 20.205:	3,403,859	-	3,403,859	-	
Federal Transit Cluster								
FEDERAL TRANSIT ADMINISTRATION, TRANSPORTATION, DEPARTMENT OF (via King County Metro Transit)	Federal Transit Formula Grants	20.507	WA-2020-087- 00	34,526	-	34,526	-	1, 2
		Total Federal Transit Cluster:		34,526	-	34,526	-	
Highway Safety Cluster								
NATIONAL HIGHWAY TRAFFIC SAFETY ADMINISTRATION, TRANSPORTATION, DEPARTMENT OF (via Washington Traffic Safety Commission)	State and Community Highway Safety	20.600	2023-HVE-4689	19,565	-	19,565	-	1
		Total Highway Safety Cluster:		19,565	-	19,565	-	
OFFICE OF THE SECRETARY, TRANSPORTATION, DEPARTMENT OF (via Puget Sound Regional Council)	Safe Streets and Roads for All	20.939	2024-01	5,909	-	5,909	-	1, 2
DEPARTMENTAL OFFICES, TREASURY, DEPARTMENT OF THE	COVID 19 - CORONAVIRUS STATE AND LOCAL FISCAL RECOVERY FUNDS	21.027	SL T-1220	-	7,553,437	7,553,437	1,313,895	1, 2

The accompanying notes are an integral part of this schedule.

City of Redmond
Schedule of Expenditures of Federal Awards
For the Year Ended December 31, 2023

Federal Agency (Pass-Through Agency)	Federal Program	ALN Number	Other Award Number	Expenditures			Passed through to Subrecipients	Note
				From Pass- Through Awards	From Direct Awards	Total		
FEDERAL EMERGENCY MANAGEMENT AGENCY, HOMELAND SECURITY, DEPARTMENT OF (via Washington Military Department)	Emergency Management Performance Grants	97.042	E23-110	43,854	-	43,854	-	1, 2
FEDERAL EMERGENCY MANAGEMENT AGENCY, HOMELAND SECURITY, DEPARTMENT OF (via Washington State Military Department)	BRIC: Building Resilient Infrastructure and Communities	97.047	EMS-2021-PC- 008	54,525	-	54,525	-	1, 2
Total Federal Awards Expended:				3,667,203	7,652,395	11,319,598	1,377,073	

The accompanying notes are an integral part of this schedule.

CITY of REDMOND
NOTES to the SCHEDULE of EXPENDITURES of FEDERAL AWARDS
For the Year Ended December 31, 2023

NOTE 1 – BASIS OF ACCOUNTING

This Schedule is prepared on the same basis of accounting as the City's financial statements. The City uses the modified accrual basis of accounting for governmental fund financial statements and agency funds and the accrual basis of accounting for internal service and proprietary funds.

NOTE 2 – FEDERAL INDIRECT COST RATE

The City has elected to use the 10-percent de minimis indirect cost rate allowed under the Uniform Guidance.

NOTE 3 – PROGRAM COSTS

The amounts shown as current year expenditures represent only the federal grant portion of the program costs. Entire program costs, including the City of Redmond's portion, are more than shown. Such expenditures are recognized following, as applicable, either the cost principles in the OMB Circular A-87, Cost Principles for State, Local, and Indian Tribal Governments, or the cost principles contained in Title 2 U.S. Code of Federal Regulations Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards, wherein certain types of expenditures are not allowable or are limited as to reimbursement. FY2022 expenditures were included in addition to the current (FY2023) expenditures in the SEFA.

ABOUT THE STATE AUDITOR'S OFFICE

The State Auditor's Office is established in the Washington State Constitution and is part of the executive branch of state government. The State Auditor is elected by the people of Washington and serves four-year terms.

We work with state agencies, local governments and the public to achieve our vision of increasing trust in government by helping governments work better and deliver higher value.

In fulfilling our mission to provide citizens with independent and transparent examinations of how state and local governments use public funds, we hold ourselves to those same standards by continually improving our audit quality and operational efficiency, and by developing highly engaged and committed employees.

As an agency, the State Auditor's Office has the independence necessary to objectively perform audits, attestation engagements and investigations. Our work is designed to comply with professional standards as well as to satisfy the requirements of federal, state and local laws. The Office also has an extensive quality control program and undergoes regular external peer review to ensure our work meets the highest possible standards of accuracy, objectivity and clarity.

Our audits look at financial information and compliance with federal, state and local laws for all local governments, including schools, and all state agencies, including institutions of higher education. In addition, we conduct performance audits and cybersecurity audits of state agencies and local governments, as well as state whistleblower, fraud and citizen hotline investigations.

The results of our work are available to everyone through the more than 2,000 reports we publish each year on our website, www.sao.wa.gov. Additionally, we share regular news and other information via an email subscription service and social media channels.

We take our role as partners in accountability seriously. The Office provides training and technical assistance to governments both directly and through partnerships with other governmental support organizations.

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